The Malaysian Insurance Institute

PCEIA
New Edition
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PRE CONTRACT EXAMINATION FOR INSURANCE AGENTS

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The Malaysian Insurance Institute

PRE CONTRACT EXAMINATION FOR INSURANCE AGENTS

New Edition 2014

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TABLE OF CONTENTS

PART A THE BASICS OF INSURANCE (Chapters 1 to 6)

Chapter 1 Risk and Insurance **1**
1.1 Meaning of Risk 1
1.2 Classification of Risk 1
1.3 Peril, Hazard and Loss 2
1.4 Risk Management 2
1.5 Risk Handling Methods 3
1.6 Insurance and Takaful 3
1.7 Functions of Insurance 5
1.8 Benefits of Insurance 6
1.9 Nature of Insurable Risks 7
1.10 Life and General Insurance 9
1.11 The Insurance Market 9
1.12 Insurance Industry Performance 10
1.13 Self-Assessment Questions 11

Chapter 2 Basic Principles of Insurance **13**
2.1 What are the Six Basic Principles of Insurance? 13
2.2 Utmost Good Faith 13
2.3 Insurable Interest 17
2.4 Indemnity 19
2.5 Subrogation 20
2.6 Contribution 21
2.7 Proximate Cause 22
2.8 Self-Assessment Questions 25

Chapter 3 Legislation and Consumer Protection **27**
3.1 Insurance Legislation 27
3.2 Companies Act 1965 31
3.3 Malaysia Deposit Insurance Corporation Act 2011 32
3.4 Financial Consumer Literacy and Education 33
3.5 Financial Consumer Complaints and Disputes 33
3.6 Personal Data Protection Act 2010 (PDPA) 35
3.7 Anti-Money Laundering and Anti-Terrorism Financing Act 2001 (AMLATFA) 37
3.8 Competition Act 2010 39
3.9 Self-Assessment Questions 41

Chapter 4 The Insurance Contract **43**
4.1 The Law of Contract 43
4.2 Formation of an Insurance Contract 43

4.3 Void, Voidable and Unenforceable Contracts 46
4.4 Parts of an Insurance Policy 47
4.5 Self-Assessment Questions 49

Chapter 5 Law of Agency 51
5.1 Law of Agency 51
5.2 Duties of an Insurance Agent to the Principal 52
5.3 Duties of the Principal to an Insurance Agent 53
5.4 Authority of Agents 53
5.5 Insurance Contracts Formed through an Agent 54
5.6 Termination of Agency 54
5.7 List of Prohibited Business Conduct 55
5.8 Self-Assessment Questions 56

Chapter 6 Medical and Health Insurance 59
6.1 Introduction 59
6.2 Types of Medical and Health Insurance (MHI) Products 59
6.3 Emergence of Managed Care Organisations 61
6.4 Regulations Applicable to Medical and Health Insurance 61
6.5 Underwriting Policies and Procedures 63
6.6 Group Medical and Health Insurance 65
6.7 Cost Containment Measures 66
6.8 Renewal of Medical and Health Insurance 67
6.9 Automatic Termination of a Policy 68
6.10 Personal Income Tax Exemption 68
6.11 Self-Assessment Questions 69

PART B GENERAL INSURANCE (Chapters 7 to 10)

Chapter 7 General Insurance Business 71
7.1 Introduction 71
7.2 Motor Insurance 71
7.3 Property Insurance 76
7.4 Marine Insurance 82
7.5 Liability Insurance 87
7.6 Miscellaneous Accident Insurance 88
7.7 Engineering Insurance 91
7.8 Self-Assessment Questions 95

Chapter 8 General Insurance Underwriting 97
8.1 Introduction 97
8.2 The Underwriting Process 97
8.3 Underwriting Guidelines 98
8.4 Pricing of General Insurance Premiums 98
8.5 Use of Tariffs 98
8.6 Motor Premium Computation 99
8.7 Fire Premium Computation 100
8.8 Underwriting Considerations and Rating Factors 101
8.9 Reinsurance 102
8.10 General Insurance Documents 102
8.11 Self-Assessment Questions 105

Chapter 9 General Insurance Claims 107
9.1 Introduction 107

9.2 Steps in the Claims Process 107
9.3 Claim Documents 109
9.4 Claim Settlement 109
9.5 Claim Recoveries 111
9.6 Application of Average in Claims 111
9.7 The Motor Insurers' Bureau 111
9.8 Knock-For-Knock Agreement 112
9.9 Centralized Database for Motor Repairs Estimation 113
9.10 Claim Disputes 114
9.11 Post-Settlement Action 115
9.12 Guidelines on Claims Settlement Practices 115
9.13 Self-Assessment Questions 116

Chapter 10 Registration and Regulation of General Insurance Agents 119
10.1 Introduction 119
10.2 General Insurance Agents Registration and Regulations (GIARR) 119
10.3 Functions of a General Insurance Agent 119
10.4 Registration of General Insurance Agents 120
10.5 Minimum Entry Qualification (Effective 1 April 2003) 120
10.6 Certificate of Registration 121
10.7 Biennial Certificates 121
10.8 Place of Business 121
10.9 Notification of Changes by an Agent 122
10.10 Conflicts of Interest 122
10.11 Refusal to Register or Cancellation of Registration 123
10.12 Minimum Maintenance Requirement 124
10.13 Code of Practice 124
10.14 Premiums or Monies Collected on Behalf of Principal 127
10.15 Compliance with Cash-Before-Cover (CBC) Requirements for Motor Insurance Policies 128
10.16 Continuing Professional Development (CPD) 129
10.17 Corporate Nominee 129
10.18 Contravention of GIARR 129
10.19 Inquiries into Complaints 130
10.20 Self-Assessment Questions 132

PART C LIFE INSURANCE (Chapters 11 to 16)

Chapter 11 Legal Aspects of Life Insurance 135
11.1 Introduction 135
11.2 Misstatement of Age 135
11.3 Objection to Life Policy 135
11.4 Insurable Interest 136
11.5 Capacity of Minor to Insure 136
11.6 Life Policy Monies to be Paid without Deduction 136
11.7 Surrender of Life Policy 137
11.8 Non-Payment of Life Policy Premiums 137
11.9 Election for Paid Up Policy 138
11.10 Disclosure Requirements 138
11.11 Requirements Relating to Group Policies 138
11.12 Non-Contestability for Life Insurance Contracts 139
11.13 Self-Assessment Questions 140

Chapter 12 Life Insurance Products **143**
12.1 Introduction 143
12.2 Types of Life Insurance Policies 143
12.3 Critical Illness Insurance 146
12.4 Group Life Insurance 147
12.5 Supplementary Contracts 148
12.6 Participating and Non-Participating Contracts 149
12.7 Methods of Distributing Surplus 149
12.8 Self-Assessment Questions 151

Chapter 13 Life Insurance Premium Rating **153**
13.1 Introduction 153
13.2 Costing the Risk 153
13.3 Level Premiums 155
13.4 Gross and Net Premiums 155
13.5 Loading for Contingencies 155
13.6 Group Insurance Premium 156
13.7 Personal Income Tax Relief 156
13.8 Self-Assessment Questions 157

Chapter 14 Life Insurance Underwriting and Documents **159**
14.1 Introduction 159
14.2 Risk Selection 159
14.3 Underwriting Guidelines 160
14.4 Assumption of Risk 161
14.5 Role of the Insurance Agent in the Underwriting Process 162
14.6 Insurance Documents 162
14.7 Self-Assessment Questions 164

Chapter 15 Life Insurance Claims **167**
15.1 Introduction 167
15.2 Types of Claims 167
15.3 Death Claims 167
15.4 Maturity Claims 169
15.5 Critical Illness Insurance Claims 169
15.6 Total and Permanent Disability Claims 170
15.7 Personal Accident Claims 170
15.8 Claims Register 170
15.9 Self-Assessment Questions 171

Chapter 16 Code Of Practice For Life Insurance Agents **173**
16.1 Introduction 173
16.2 Code of Ethics 173
16.3 Code of Practice 173
16.4 Selling Life Insurance 174
16.5 Providing Insurance Coverage 174
16.6 Disclosure Requirements 175
16.7 Accounts and Financial Aspects 175
16.8 Existing Policyholders 176
16.9 Claims 176
16.10 Self-Assessment Questions 177

Answers 179
Index 181

CHAPTER 1 Risk and Insurance

1.1 Meaning of Risk

Risk can mean hazard, danger, and chance of loss or injury, the degree of probability of loss, a person, thing or factor likely to cause loss or danger. Risk is also used as a verb. For example, 'to risk crossing a busy street' is to risk being exposed to hazard or to incurring the chance of unfortunate consequences by doing something.

With a large number of similar loss exposures, an insurance company is able to predict an expected loss; however, there is an element of *uncertainty* as the *actual loss* may not be the same as the *expected loss*.

Risk can be defined as the variation in outcomes in a given situation and can be referred to as:-

- Possibility of loss
- Exposure to danger
- Subject matter of insurance

1.2 Classification of Risk

There are four main types of risk:

1. **Pure risk** is traditionally the basis of insurance cover.
2. **Speculative** risk is where there is a possibility of financial gain.
3. **Fundamental** risk is a risk that cannot be measured in financial terms.
4. **Particular risk** is a risk that only affects individuals, as opposed to affecting society as a whole.

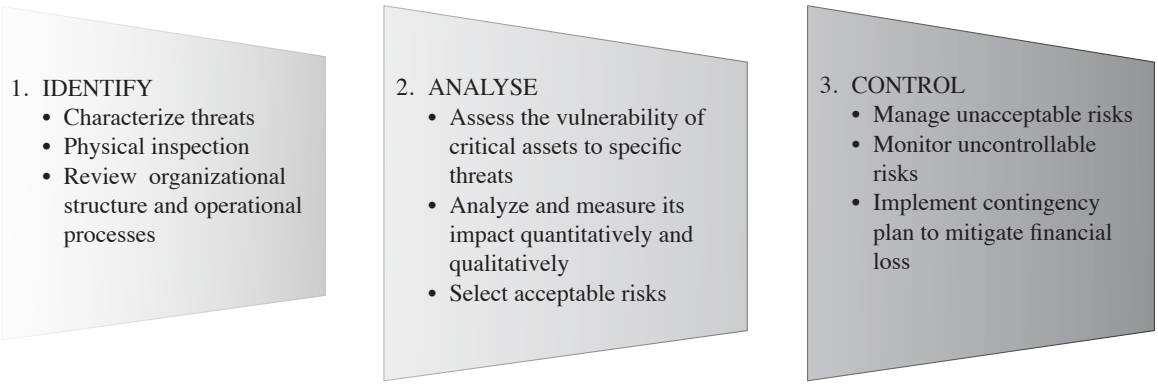
Risk	Outcome	Example
Pure risk	• May result in financial loss or break even.	Factory fire or risk of injury from a road accident.
Speculative risk	• May result in a loss, gain or break even.	Investments in the share market or in foreign currencies.
Fundamental risk	• May affect a large number of people or an entire community at one time.	Pandemic, natural disaster, war, terrorism, inflation or recession.
Particular risk	• May affect only an individual, a family or a group travelling together.	Death, illness or accident.

1.3 Peril, Hazard and Loss

Peril	Hazard	Example
Fire	Physical	The risk of fire is increased in the existence of physical hazard such as wooden construction instead of bricks or concrete.
Theft		
Accident	Moral	Moral hazard is prevalent in motor insurance if the driver is a drug addict, and in health insurance when dealing with an insured person who intends to make a false claim.
Illness		
Flood	Legal	Legal hazard arises in motor third party liability risks where generally large court awards for personal injuries are obtained.
Earthquake		

1.4 Risk Management

Risk management is defined as, *"the identification, analysis and economic control of those risks which can threaten the assets or earning capacity of an enterprise"*. The risk management process involves three basic steps:



1.5 Risk Handling Methods

There are various methods of handling risks, but the following are the main ones:

1.5.1 Avoid

Risk is avoided by the non-participation in an activity. For example, in the manufacturing sector, to avoid the risk of being sued for loss or injury from defective products, the manufacturer will cease production and recall products from the shelves if defects in the products sold or supplied have been identified.

1.5.2 Prevent

Risk can be prevented with the implementation of prudent risk management practices as a proactive measure to avert a possible loss occurrence.

1.5.3 Control

Risk of severe losses can be mitigated with adequate disaster recovery and business continuity plans to ensure business as usual within the shortest time possible. In addition, the use of fire resistant materials and automatic sprinkler systems in building construction help to reduce the likelihood and severity of fire losses.

1.5.4 Retain

Minor losses can be retained or self-borne within the financial capacity of the person.

1.5.5 Transfer

Insurance is a risk transfer mechanism by an insured to an insurance company. Similarly, reinsurance is risk transferred from an insurer to a reinsurance company in return for peace of mind, cost stabilization and other benefits of insurance.

1.6 Insurance and Takaful

What is Insurance?

In the early days, the adverse effects of risk led people to seek ways in which the severity (extent of financial loss) and probability of a loss could be reasonably measured. Marine insurance began when cargo owners transferred the risk of their cargo being lost or damaged at sea by paying a small premium to a group of businessmen (underwriters) who willingly assumed the risk. The role of insurance has developed since and the process of managing the 'uncertainties' attached to risks, further refined. However, the original purpose of insurance as a risk transfer mechanism remains unchanged.

Although insurance provides compensation in the event of premature death and/or financial protection against loss or damage by fire or floods, there are uninsured or underinsured losses that are not recoverable from insurance. It is therefore important for risk management to complement insurance in enforcing preventive measures to reduce the probability of loss, which in turn would ensure minimum disruption to business and life can resume to normal in the shortest time.

In Malaysia, certain types of insurance are compulsory by law. For example, motor insurance is mandatory under the Road Transport Act 1987 to ensure victims of road accidents are compensated by errant drivers. Professional indemnity is mandatory for the legal profession as well as for the licensing of insurance brokers and financial advisers so that consumers can pursue legal redress and compensation in court.

What is Takaful?

'Takaful', an Arabic term, means "to protect" or "to guarantee". Takaful is an alternative form of insurance based on the principle of **mutual assistance**, where participants (policy owners) own the takaful funds which are managed by the takaful operator. Participants give up individual rights to gain collective rights over the contribution and benefits. A takaful company is known as an 'operator', which acts as a trustee, manager and entrepreneur.

The operation of takaful and its practices are free from the elements of **Riba** (interest) and other un-Islamic elements, but revolves around the elements of **Mudharabah** (profit and loss sharing), **Tabarru'** (donation) and other Shariah justified elements.

Shariah Advisory Council of Bank Negara Malaysia (SAC)

The SAC consists of prominent Shariah scholars, jurists and market practitioners who are qualified individuals and have vast experience in banking, finance, economics, law and application of Shariah in the areas of Islamic economics and finance. Established in May 1997 as the highest Shariah authority in Islamic finance in Malaysia, the SAC has been given the authority for the ascertainment of Islamic law for the purposes of Islamic banking business, takaful business, Islamic financial business, Islamic development financial business, or any other business which is based on Shariah principles and is supervised and regulated by Bank Negara Malaysia (BNM).

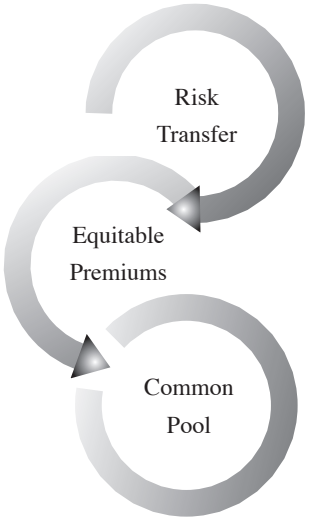
As the reference body and advisor to BNM on Shariah matters, the SAC is also responsible for validating all Islamic banking and takaful products to ensure their compatibility with Shariah principles. In addition, it advises BNM on any Shariah issues relating to Islamic financial business or transactions of BNM as well as other related entities.

The Central Bank of Malaysia Act 2009 further reinforced the role and functions of the SAC whereby the SAC was accorded the status of the sole authoritative body on Shariah matters pertaining to Islamic banking, takaful and Islamic finance. While the rulings of the SAC shall prevail over any contradictory ruling given by a Shariah body or committee constituted in Malaysia, the court and

arbitrator are also required to refer to the rulings of the SAC for any proceedings relating to Islamic financial business, and such rulings shall be binding.

1.7 Functions of Insurance

There are three functions which are interrelated, namely risk transfer, equitable premiums and creation of a common pool:



1.7.1 Sound Risk Transfer Mechanism

In exchange for protection, the insured pays a sum of premium to the insurance company and transfers the responsibility of carrying the risk of loss or damage to the insurer. Upon acceptance of the risk, the primary insurer is in the same position as the insured, in relation to the various uncertainties associated with the risk.

1.7.2 Creation of the Common Pool

The concept of common pool was introduced in the early days of marine insurance wherein the merchants contributed to anyone who suffered a loss during a voyage. Insurers today also have pools which are better known as a class of portfolio e.g. fire, into which all the premiums collected for that class of business are placed. In the event of any loss suffered by anyone contributing to this pool, the loss amount will be paid out from this pool.

1.7.3 Calculation of Equitable Premiums

The premium each insured contributes to the pool has to be equal to the risk brought to the pool. In other words, although the class of insurance may be similar, each insured will pay a premium that will justify the level of risk brought to the pool. For example, a wooden house will contribute more premium for a fire risk than a house constructed of concrete as a wooden house is more hazardous than a concrete one. A house built of wood will burn faster and the outcome in the event of a fire will more than often be a total loss as compared to a house made of concrete in which case the loss may only be partial.

1.8 Benefits of Insurance

The direct and indirect benefits of insurance are as follows:

- Compelled Savings
- Capital for Investment
- Loss Control
- Cost Stabilization
- Peace of Mind
- Financial Protection

1.8.1 Peace of Mind

The knowledge that insurance exists to meet the financial consequences of certain risks provides a form of peace of mind. This is important for private individuals when they insure their car, house, possessions and so on, but it is also of vital importance in industry and commerce.

This peace of mind or security has become an important aspect of business activity in many sectors where some forms of insurance are compulsory by law (motor insurance) and others are required to be in force under the terms of contracts (construction insurance) to have the security of knowing that the people they are doing business with are protected by insurance.

1.8.2 Cost Stabilisation

Insurance acts as a stimulus for the activity of business which is already in existence. This is done through the release of funds for investment in the productive side of the enterprise, which would otherwise be required to be held in easily accessible reserves to cover any future loss.

Insurance therefore provides a means of stabilizing the costs involved in managing risks by the payment of fixed and pre-determined amount of premiums for the required insurance coverage.

1.8.3 Loss Control

Insurers have a common interest in reducing the frequency and severity of losses, not only to enhance their own profitability but also to contribute to a general reduction in the economic waste which follows from losses. Traditionally, the expertise of surveyors was concentrated on pre-loss control (minimising the chance that something will happen) or post-loss control (after an event has occurred) of risks for which commercial insurance was available. Increasingly, the services include identification and control of all risks faced by organizations, as part of a wider risk and enterprise management service.

1.8.4 Social Benefits

Insurance provides business owners with the funds available to recover from a loss to continue employment of the workforce and the production of goods and services to ensure that there are no

unnecessary economic hardships to the community at large and at the same time contribute to the national economy.

1.8.5 Compelled Savings

With insurance, individuals are committed to compelled long term saving by putting aside funds for retirement or old age. For example, life endowment plans provide for the payment of the sum assured with bonus (for participating policies) upon maturity as well as protection against loss of income in the event of premature death or disablement.

1.8.6 Capital for Investment

Insurance companies have large amounts of money at their disposal due to the fact that there is a time gap between the receipt of a premium and the payment of a claim. The investment of funds constitute a wide range of different forms such as long, medium and short-term investments which provide a source of capital for industry and commerce and help the government access borrowing which in turn contributes towards the overall national economic development.

1.8.7 Creation of Employment

The insurance industry provides employment to professionals as well as others in insurance companies, insurance broking firms, loss adjusting, financial advisory services as well as to life and general insurance agents.

1.9 Nature of Insurable Risks

An uninsurable risk is one where a condition or situation fails to meet the requirements of an insurable risk such as where a loss is inevitable (as in the death of a patient suffering from a terminal illness) or where the damage is gradual (as in the corrosion or rusting of metals). Insurable risks, on the other hand, have the following characteristics:-

1.9.1 Fortuitous

The happening of the event must be entirely fortuitous or accidental in nature. The frequency and severity of any risk must be beyond the control of the insured. Although death is probably one of the few certainties, however, the timing of death is fortuitous and it is this element of uncertainty which life assurance is primarily concerned with.

It is not possible to insure against an event which will definitely occur and is inevitable such as damage caused by wear, tear and depreciation, and would rule out deliberate acts with intention to commit fraud.

1.9.2 Financial Value

The risk which is to be insured must result in a loss which is capable of being measured in financial terms. The monetary value of property loss or damage can be established while in a case of liability, the

court will decide the level of compensation due to an injured person and the legal liability to pay compensation is the financial value at risk.

In life assurance, the level of financial compensation is agreed at the beginning of a contract. It is impossible to place values on the life of a wife, husband or child but the financial sum assured can be determined at the commencement of the insurance.

1.9.3 Insurable Interest

There must be some kind of legal relationship between the insured and the financial loss which is described as 'insurable interest'. If an insured wishes to enforce a contract of insurance before the courts, he must have an insurable interest in the subject matter of the insurance. This means that he stands to benefit from its preservation and will suffer from its loss. The existence of insurable interest in contracts of insurance is one of the main factors that differentiate insurance from gambling.

1.9.4 Homogeneous Exposures

Insurers look for *homogeneous* or similar exposures to enjoy the benefits of the **law of large numbers** in order to forecast the expected extent of their loss. In the absence of a large number of *similar* risks, the task is much more difficult and the calculation of the required premiums becomes more of a 'guesstimate' than a mathematical calculation.

The law of large numbers states that as the number of loss exposures increases, the predicted loss tends to approach the actual loss. However, it can only operate efficiently if the following requirements are fulfilled: a) the loss exposures must be independent and b) there is a random or chance occurrence of a loss.

Even though the law of large numbers is characteristic of insurable risks, it is possible to cite cases, for example space satellites which are relatively rare and have not been around long enough for insurers to build up any kind of statistical base. In such cases, the premiums to be charged will be several times higher as the risk attached is unpredictable and exceptionally high.

1.9.5 Pure Risks

Insurance is concerned mainly with pure risks and not speculative risks which have an element of financial gain. Take as an example the marketing of a new line in clothing. The risk that the new line will sell or not is clearly a speculative one but the risk of fire damaging the factory in which the garments are made is a pure risk. Pure risks involve the chance of loss or no loss whereas the probability of loss or gain or break even exists in speculative risks.

1.9.6 Particular Risks

Particular risks affect individuals whereas fundamental risks are widespread and indiscriminate in nature, such as war, inflation and terrorism. Fundamental risks arising out of some physical cause such as typhoons, earthquakes and hurricanes may be insurable. The decision to insure such fundamental risks would depend on the geographical location and the frequency and severity of the risk.

1.9.7 Public Policy

In terms of risk and contracts of insurance, it would not be acceptable to insure against the risk of a criminal venture which is an act which contravenes the law or is contrary to what society would consider being the right and moral thing to do. For example, fines and penalties imposed on persons breaking the law cannot be insured even if the person has a financial relationship with the loss because it is unacceptable and against public policy that the punishment implicit in the fine is transferred to an insurer.

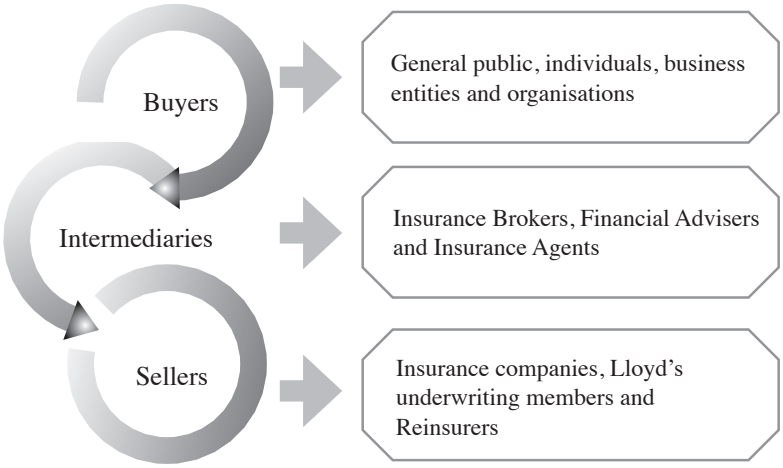
1.10 Life and General Insurance

Both life and general insurance provide financial protection. In addition to offering financial security, life insurance compels savings for retirement or old age. General insurance such as motor property and marine insurance covers all non-life risks. Throughout history, the distribution of insurance products has been mainly dominated by insurance agents.

However, with the introduction of **Bancassurance** (marketing through banking institutions) in late 1993, and licensed **Financial Advisers** (intermediaries approved by Bank Negara Malaysia to provide advice to the public on a whole range of insurance products from all licensed insurers) in 2005, the distribution of *life insurance products* was somewhat diversified and extended, giving consumers the option to select and make informed decisions.

1.11 The Insurance Market

The insurance market comprises buyers, sellers and the intermediaries who bring the buyers and sellers together:



In Malaysia, under the supervision of BNM, the sellers of insurance who comprise licensed insurers (life, general and composite insurance companies) have over the past decade or so, consolidated their business by raising paid up capital to strengthen operational and underwriting capacity through mergers and acquisitions.

The following table shows the gradual reduction in the number of insurance players from 53 to 33 over thirteen years from 2000 to 2013:

Selected Years	2000	2006	2011	2013
Insurance Companies	**53**	**42**	**36**	**33**
Life Insurers	*7*	*8*	*9*	*8*
General Insurers	*36*	*26*	*21*	*19*
Composite Insurers	*10*	*8*	*6*	*6*
Reinsurers	11	6	7	6

Source: Bank Negara Malaysia

Further consolidation of the insurance industry is expected in the next five years as *composite insurance companies* in Malaysia carrying on both life and general insurance business have to convert to *single* insurance business to comply with section 16(1) of the Financial Services Act 2013 (FSA). The FSA which came into force on 30 June 2013 stipulates that: "*a licensed insurer other than a licensed professional reinsurer shall* ***not*** *carry on both life business and general business.*"

1.12 Insurance Industry Performance

In 2012, the penetration rate or ratio of number of life policies and takaful certificates in force to total population was *54 per cent*. Based on the data as at February 2013, the life insurance industry in Malaysia grew 3.6% in 2012, as measured by new business total premium. The new business total premium in 2012 was RM8.20 billion, as compared to RM7.92 billion in 2011.

The general insurance industry registered a growth of 8.2% in gross premiums to reach RM15.180 billion in 2012, compared to the increase of 7.85% (RM14.029 billion) in 2011. Net premiums grew at a rate of 8.3% to reach RM10.528 billion.

(For more recent updates on industry performance, please refer to the Bank Negara Malaysia website).

1.13 Self-Assessment Questions

1. What is the correct definition of a pure risk?

a) A risk where there is only the possibility of a loss or break even outcome

b) A risk that only affects individuals as opposed to society as a whole

c) A risk that cannot be measured in financial terms

d) A risk where there is a possibility of financial gain

2. Which of the following is NOT a characteristic of an insurable risk?

a) It should not be against public policy.

b) It must be fortuitous or accidental in nature.

c) It must be a speculative risk.

d) Homogenous exposures with the same expectation of loss.

3. Which of the following is NOT a benefit of insurance?

a) Peace of mind

b) Means of saving

c) Speculative investment

d) Investment of funds

4. Which of the following is the least effective approach to handling risks?

a) Avoiding the risk

b) Transferring the risk

c) Retaining the risk

d) Ignoring the risk

5. For insurance purposes, fire damage is classified as

a) a speculative risk.

b) a fundamental risk.

c) a pure risk.

d) a physical hazard.

6. Which of the following descriptions is incorrect?

a) Peril is the prime cause of a loss.

b) Hazard will increase the chance of a loss.

c) Uncertainty regarding loss is often termed as risk.

d) Moral hazard is identified by the physical characteristics of the risk.

7. Which of the following is NOT a risk covered by insurance?

a) Death due to sickness or illness

b) Liability to consumers arising from the sale of products

c) Financial loss due to a drop in the share price

d) Damage to vehicle as a result of a chain collision

8. What is the difference between life and general insurance?

a) Both provide financial protection.

b) Life insurance is long term whereas general is yearly renewable.

c) Life insurance offers financial security after retirement and in old age.

d) General insurance covers risks other than life insurance.

9. What type of insurance operation is Lloyd's of London?

a) A proprietary insurance company

b) A mutual insurance company

c) A society of underwriters

d) A protection and indemnity club

10. What is meant by a "composite insurance company"?

a) A company consisting of a head office and regional branches

b) A company formed under the Companies Act

c) A company writing both life and general insurance business

d) A company that specialises in writing a single class of business

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 2 Basic Principles of Insurance

2.1 What are the Six Basic Principles of Insurance?

The basic principles of insurance are something that every new insurance agent learns before getting an insurance sales licence. These six tenets remind agents at all times of insurance industry standards. While each type of insurance has a different way to determine cost and coverage, there are six basic principles that all insurance policies rely on. Insurers must understand these principles to stay in business, and customers can make better purchasing decisions by learning about the basics behind an insurance policy.

The six basic principles of insurance are:

1. **Utmost Good Faith**
2. **Insurable Interest**
3. **Indemnity**
4. **Subrogation**
5. **Contribution**
6. **Proximate Cause**

2.2 Utmost Good Faith

The duty of utmost good faith (*uberrima fides)* is central to the buying and selling of insurance. Accordingly, insurance policies are described as contracts *uberrimae fidei (*of the utmost good faith). This means that the insurer and the person who is applying for insurance have a duty to deal honestly and openly with each other in the negotiations that lead up to the formation of the contract.

In other commercial contracts, there is no need for the parties to disclose information not requested as each party is expected to make the best bargain by examining the goods, assessing their quality and judging for themselves whether the price is fair, so long as neither party misleads the other. Such contracts are governed by the legal principle of '*caveat emptor' (*let the buyer beware). However, in the formation of an insurance contract, one party, (the insurer) is dependent on the other (the insured) to disclose any relevant information such as an existing health condition in order to get health insurance.

2.2.1 Disclosure Requirements

a) Pre-contractual stage

Before entering into a contract of insurance, at the commencement of negotiations, both parties (applicant and insurer) have a duty to disclose accurate and relevant information in a clear, concise and timely manner to enable the consumer to make an informed decision and the insurer to decide on suitable terms of acceptance of the risk.

b) Renewal of general insurance contracts

At renewal, the duty of utmost good faith must be similarly observed by both parties (insured and insurer) but the onus is on the insured to inform the insurer of any material changes in the risk to be insured (as renewal becomes a new contract) to allow the insurer to carry out an appropriate assessment of the risk so that a premium commensurate with the risk accepted can be charged.

c) During the currency of the contract

There is a continuing duty (imposed on the insured) to disclose new material facts affecting the risk under the following circumstances:

- c*hanges in the contract*- for example, when the insured changes his car or wishes to add new drivers; or

- *increase in the risk*- for example, the insurer must be notified of any alteration in the property insured, which increases the risk of damage as the cover will cease unless the alteration is admitted. Insurers often incorporate a clause in the policy to that effect.

d) During the claims process

The general duty of good faith exists when the insured makes a claim. For example, claiming for a loss that one knows has not occurred, or for property that has not been lost is clearly fraud.

2.2.2 Material Facts

The duty of the customer to disclose all information material to the insurance and the consequences of failure to disclose or wrongful disclosure depends on the relevance of the material fact and nature of the risk proposed for insurance. It is important for the applicant to ensure that the proposal form is completed accurately as it forms the basis of the insurance contract, for example the requirement for proof of age provided by the insurer avoids innocent or careless misrepresentation by the proposer.

In insurance, a *material fact* is that which will influence a *'prudent underwriter'* in deciding whether to accept or reject a risk and to determine the premium to be charged for the risk if accepted. As in the example earlier, the age of the life insured is a material fact in

a life insurance proposal but age of the proposer is not relevant to a marine underwriter who will be more interested to know the age of the vessel instead. The relevance of the material fact also depends on the circumstances surrounding the proposed risk, for example the driving experience of the applicant may not be relevant in a proposal for motor insurance if the vehicle owner is always chauffeur-driven.

2.2.3 The Proposal Form

An insurer is required to take reasonable measures to assist insurance applicants in fulfilling their **duty of disclosure** in respect of relevant information for underwriting assessments. For this purpose, an insurer shall ensure that its proposal forms: -

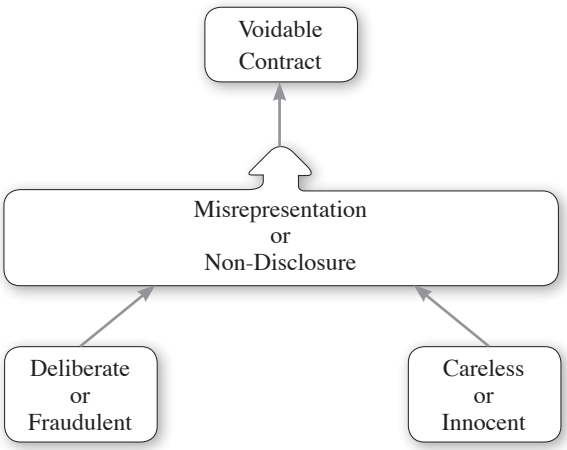
a) **Include specific questions** that are designed to elicit information that is relevant to the decision of the insurer as to whether or not to accept the risk, and the premium rates and terms to be applied. In principle, the questions should be appropriately scoped (in terms of details requested and reasonable time frame to which the questions apply) so as to enable an *insurance applicant* to answer the questions with a reasonable degree of confidence without running the risk of subsequently compromising his coverage as a result of *inadvertent* non-disclosures; and

b) **Expressly request** the insurance applicant to disclose any other relevant exceptional circumstance that is not a matter that the insurer could reasonably make the subject of a specific question under a) above.

2.2.4 Breach of Good Faith

A breach of good faith may occur on the part of the insured or more rarely on the part of the insurer. The insured may commit a breach of good faith in two ways:

- **Misrepresentation** which may be innocent or fraudulent, or
- **Non-Disclosure** which may be innocent or fraudulent (fraudulent non-disclosure is called concealment).



2.2.5 Remedies for Breach of Good Faith by the Insured

Insurer	Innocent Breach	Fraudulent Breach
1. Right to avoid the policy as a whole?	Yes	Yes
2. Right to keep the premium as well?	No	Yes
3. Right to ignore the breach and allow the policy to stand?	Yes	Yes
4. Right to refuse a particular claim but allow the policy to stand?	No	No

2.2.6 Schedule 9 of the Financial Services Act 2013 (FSA)

Schedule 9 of the FSA prescribes the application of 'pre-contractual disclosure and representations, and remedies for misrepresentations', and distinguishes between a *'consumer insurance contract'* (entered by an individual not related to the individual's trade, business or profession) and a *'non-consumer insurance contract'*.

Non-Consumer insurance contracts are subject to para 4 (1) part 2 of Schedule 9 of the FSA, which reinforces the duty of disclosure on the proposer to disclose all relevant material facts even when a specific question is not asked or contained in the proposal form:

"Before a contract of insurance is entered into, a proposer shall disclose to the insurer a matter that a) he knows to be relevant to the decision of the insurer on whether to accept the risk or not and the rates and terms to be applied; or b) a reasonable person in the circumstances could be expected to know to be relevant"

However, this duty does not require the disclosure of a matter that:-

a) diminishes the risk to the insurer;
b) is of common knowledge;
c) the insurer knows or in the ordinary course of his business ought to know; or
d) in respect of which the insurer has waived any requirement for disclosure.

Consumer insurance contracts, on the other hand, are considered as having complied with the duty of disclosure if the individual applicant has fully and faithfully answered all questions contained in the proposal form. In the absence of any specific question or an express request for relevant information, the insurer shall not subsequently repudiate a claim on grounds of non-disclosure as stipulated in para 5 (6) part 2 of Schedule 9 of the FSA which states:-
"Where a proposer fails to answer or gives an incomplete or irrelevant answer to a question contained in the proposal form or

asked by the insurer and the matter was not pursued further by the insurer, compliance with the duty of disclosure in respect of the matter shall be deemed to have been waived by the insurer".

2.3 Insurable Interest

Insurable interest is the legal right to insure arising from a **legitimate financial interest** which the insured has in the subject matter of insurance. The phrase "legitimate financial interest" refers to financial interest which is recognized by law. Therefore illicit trading and 'goods smuggling' for example are not only illegal but against public policy and will not be insurable even if it results in financial loss.

2.3.1 Who has Insurable Interest?

In accordance with para 3 to Schedule 8 of the Financial Services Act 2013 (FSA), a person has insurable interest in his **own life** to an unlimited extent. However, any person effecting a life insurance policy on the life of another must have insurable interest at the time of effecting the policy; otherwise, the policy is void.

A person shall be deemed to have insurable interest in relation to another person who is:-

a) his spouse, child or ward being under the age of majority at the time the insurance is effected;
b) his employee; or
c) a person on whom he is at the time the insurance is effected, wholly or partly dependent for maintenance or education.

2.3.2 When should Insurable Interest Exist?

In respect of general insurance, insurable interest must exist at:

a) the beginning; and
b) at the time of loss; otherwise, the insurance contract is void.

Marine insurance is an exception because the ownership of goods or cargoes changes hands during the voyage or transit. For example, the importer of goods will be able to validly arrange insurance on the goods/cargoes he expects to import on Cost and Freight (C&F) basis even before payment is made in anticipation of acquiring ownership of the goods/cargoes from the exporter. However, a person cannot arrange for motor insurance on a car which he anticipates owning in the future.

In property insurance, an owner, trustee, agent, mortgagee or hirer has insurable interest in the property owned, held in trust or on commission, mortgaged or hired. In liability insurance, any person who has a potential legal liability to third parties has insurable interest to take up an insurance coverage which includes the potential legal costs and expenses associated with it.

2.3.3 What is Subject Matter of Insurance?

The subject matter of insurance can be life, limb, property or even potential legal liability and may vary with the type of insurance available. Some examples of the subject matter of insurance which are insured by various types of insurance policies are stated below:-

Type Of Insurance	Subject Matter
1. Motor	➢ **motor vehicle and third party liability**
2. Marine	➢ **cargo or hull**
3. Life and Personal Accident	➢ **life and limb**
4. Aviation	➢ **aircraft and passenger liability**
5. Fire	➢ **building and contents**

2.3.4 What is Subject Matter of the Insurance Contract?

The subject matter of the insurance contract is the *financial interest* of the insured in the subject matter of insurance. For example, consider a bank who has granted a loan on a property for an amount of RM 300,000. While the subject matter of insurance in a fire policy is the building, the financial interest of the bank is limited to the amount of the loan which is RM 300,000.

2.3.5 What is Assignment?

Assignment is the transfer of rights and liabilities from one person to another. In insurance, the transfer of rights and liabilities of the insured to a new insured is referred to as "an assignment of policy". An *assignee*, the person who takes over the assigned rights, will have the same rights as the *assignor*. Thus, if the insurer is able to repudiate liability on any grounds against the assignor, the same ground may be used against the assignee.

Prior consent of the insurer is needed for an assignment to be valid:

- **Life insurance** contracts are mainly personal contracts based on the individual proposer's characteristics and qualities. Thus, after the insurer has entered into a contract with the insured, the insured must obtain prior written approval of the insurer before the assignment is endorsed into the policy.

  In Malaysia, as a matter of prudence, insurers require consent to be obtained for all assignments of life policies so that the assignments can be properly recorded and payments made to the proper party.

- **General insurance** contracts may involve transfer of interest in the property insured when property such as a motor vehicle or house is sold. The new owner is required to inform the insurer in writing of such particulars to effect the transfer of interest

in the policy. When a new contract is formed replacing the old one, it is termed "novation".

Exceptions to the rule:

- **Marine Cargo** policies are freely assignable by statutory provision (Marine Insurance Act 1906) and in practice, the certificate of marine insurance is an important document to facilitate international trade as it serves as financial security for bankers to issue letters of credit on behalf of the buyer to the seller. Marine hull policies, however, usually contain a clause which prohibits the assignment of a policy without the prior written consent of the insurer.
- **Transfer by will or operation of law:** Certain policies such as fire insurance provide automatic transfer of interest in the subject matter of insurance by operation of law on the death of the insured to his legal personal representatives or estate.

2.3.6 Assignment of Policy Proceeds

An assignment of policy proceeds can be effected when the insured instructs his insurer to pay the claim amount to a third party. For example, the claim payable under a fire policy can be assigned directly to the repairer and the proceeds of a life insurance policy can be assigned to a named beneficiary (other than the legal personal representatives) upon his death. Assignments of the policy proceeds do not alter the legal rights of the insured and he will continue to assume liabilities under the policy. All policy proceeds are freely assignable unless the contract provides otherwise.

2.3.7 Payment of Policy Monies under Life and Personal Accident Policies

Schedule 10 of the Financial Services Act 2013 deals with the payment of policy monies under life and personal accident policies. Para 2 of Schedule 10 provides that a policy owner who has attained the age of sixteen (16) years may nominate a person to receive the policy monies upon his death under the policy by notifying the insurer in writing the following details of the *nominee*:

a) Name,
b) Date of birth,
c) Identity card number or birth certificate number, and
d) Address.

Such nomination shall be witnessed by a person of sound mind who has attained the age of 18 years and who is not a nominee named under the policy.

2.4 Indemnity

Insurance contracts promise "to make good the insured loss or damage". This promise is subject to the principle of indemnity. The principle of indemnity requires the insurer to restore the insured to the same financial position as he had been enjoying immediately

before the loss. The object of the principle is to ensure that the insured, after being indemnified, shall not be better off than before the loss. The effect of the principle of indemnity is to ensure that the insured does not receive more than the loss although he may receive less than the loss as a result of policy conditions such as application of average (due to inadequate sum insured), policy excess or limits.

General insurance contracts are contracts of indemnity because the subject matter of insurance can be measured in terms of monetary value or replacement value, whereas in the case of life and personal accident insurance, the value of one's life or limb cannot be measured in monetary terms and one's life or limb is not replaceable.

2.4.1 Measurement of Indemnity

Type of Insurance	Basis of Indemnity
Property	• Cost of repair, replacement or reinstatement to make good property lost or damaged. Market value is the basis of the sum insured for property other than buildings where deduction will be made for wear, tear and depreciation.
Liability	• Potential court award for special and general damages including costs and legal expenses incurred in defence of the insured.
Pecuniary	• Financial loss suffered by the insured, for example under fidelity guarantee insurance, the policy indemnifies the employer for the financial loss caused by dishonest employees.
Marine	• Identifiable insured value which is agreed at the start, and this is unaffected by subsequent market price variation. The 'agreed value' is the amount paid to settle a total loss claim.

2.5 Subrogation

The principle of subrogation allows an insurer who has indemnified an insured for a loss to take over the insured's legal rights to recover from a negligent third party responsible for the loss. The purpose is to prevent the insured from getting more than indemnity when he has two or more avenues to recover the loss. Subrogation supports the principle of indemnity and is a corollary or a natural consequence of indemnity which ultimately reduces the insurer's cost of claims and penalizes the wrong doer.

2.5.1 How Subrogation may Arise

- **Subrogation rights exist at common law** and do not need to be stated in the policy. The purpose of the policy condition is to allow the insurer to commence a recovery action *before* it pays

a claim, thus giving the insurer more control over proceedings and a better chance of making a recovery. For example, when an insured person sustains a loss caused by the negligent act of another, the insured can recover the loss from his own insurer or sue the negligent person for damages. If the insured chooses to recover the loss from his insurer, the insurer can exercise subrogation rights in the insured's name ('*standing in the shoes of the insured')* to seek recovery from the negligent party even before indemnifying the insured for his loss.

The principle of subrogation does not apply to personal accident or life insurance as these are not policies of indemnity. The insured can claim from his personal accident or life insurance policies as well as recover from the negligent party who caused the injuries.

- **Subrogation rights may arise under contract.** For example, a business owner engages a security firm to escort his money while in transit to and from the bank. He also takes up a money insurance policy in the event of any loss caused by an untoward event. If the money is lost the business owner has two recourses: to make a claim against his insurance company or to recover the loss from the security firm. If an insurance claim is made, the insurer will be entitled to subrogation rights to recover the same loss from the security firm under contract with the business owner.

- **Salvage** - In the event of a total loss and upon claim settlement, the insurer is entitled to exercise subrogation rights (i.e. take over insured's ownership rights) by taking possession of the wreck or salvage in order to recover some amount of the total loss paid.

2.6 Contribution

When a loss is covered by two or more policies by the same insured, the principle of contribution allows an insurer who has indemnified an insured to call upon other insurers liable for the same loss to contribute proportionately to the cost of the indemnity payment. Contribution is also a corollary of indemnity, which has been developed to prevent the insured with two or more policies from being more than indemnified for the same loss. General insurance contracts, being contracts of indemnity, are subject to the principle of contribution except for personal accident policies.

2.6.1 Essentials of Contribution

For contribution to apply, the following conditions have to be fulfilled:

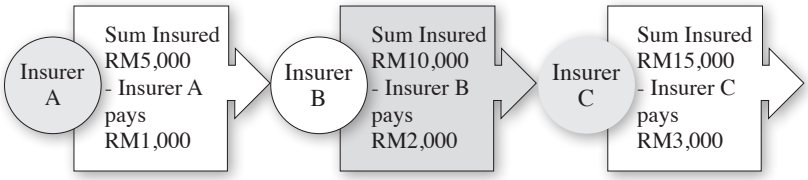
- the policies must be in force at the time of loss;

- the policies must cover a common interest;
- the policies must cover a common peril which gives rise to the loss;
- the loss must involve the same subject matter covered by all the policies;
- the policies must be legally enforceable.

The principle of contribution arises under common law and its application resulted in difficulties for the insurers. To avoid this, most property insurance policies now contain a *contribution condition* to state that whenever contribution applies, the insured is obliged to claim against *all* the insurers, each of whom will have to pay a rateable proportion of the loss in accordance with their respective sum insured.

The amount that each insurer has to pay is arrived at by the following formula:-

$$\frac{\textit{Sum Insured -each insurer}}{\textit{Total Sum Insured -all insurers (RM 30,000)}} \times \textit{Total amount of the loss (RM 6,000)} = \textit{Amount Payable}$$



2.7 Proximate Cause

The doctrine of proximate cause applies when the dominant or effective cause of a loss is identified. A classic definition of proximate cause was given in the English case of Pawsey v. Scottish Union & National Insurance Co. (1907) as follows:

"The active efficient cause that sets in motion a chain of events which brings about a result , without the intervention of any force started and working actively from a new independent source."

A loss can be caused by:

- **an insured peril**
- **an uninsured peril**
- **an excluded peril**

2.7.1 Operation of a Single Cause

If a loss is brought about by a single event, the question of liability can be easily ascertained by distinguishing between the **'proximate cause'** and the '**remote cause**'.

- **Insured Peril**

For example: A fire due to an electrical short circuit damaged a

building which was insured under a fire insurance policy. In the course of putting out the fire, the fire brigade caused water damage to the surrounding building and contents. Since fire is an *insured peril,* the resultant damage by water used to extinguish the fire is deemed to be proximately caused by the fire. The insurer is therefore liable for damage caused by the fire to the insured building as well as for the consequent water damage to property in the immediate vicinity.

- **Uninsured Peril**
  An example of an uninsured peril is the explosion of gas used for commercial purpose as in the case where a tank of acetylene gas is used for welding in a motor repair shop. If it explodes and fire breaks out causing severe damage to the building and its contents, the fire insurance will not cover such loss unless the peril was specifically included with the payment of additional premium. However, if the explosion happens *following* a fire which could have been started by an electrical short circuit, the insurer will be liable for the damage caused by the fire and the subsequent explosion if the loss was inseparable.

- **Excluded peril**
  The difference between an uninsured peril and an excluded peril is that an uninsured peril may be covered by the payment of additional premium but an excluded peril cannot be covered as it is more appropriately covered by another policy. For example, illness is an excluded peril under a personal accident policy. An insured who suffered accidental injuries was taken to a hospital and while undergoing treatment, was found to have contracted an infectious disease which caused his death. In this case, the court ruled that the *proximate cause* of death was the disease and the original accident only a *remote cause*. Hence the claim was *not payable* under a personal accident policy.

2.7.2 Concurrent Causes

Occasionally, two or more perils operate concurrently (i.e. at the same time) to bring about a loss. For example, a building might be damaged by a fire that was raging and a storm that was battering it at the same time.

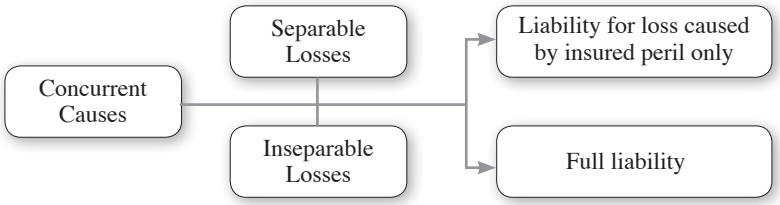
- If there are concurrent causes and **no excluded perils** are involved, there is liability if one of the causes is an insured peril, and the other causes may be ignored. For example, a man with heart disease sustains an accident which, coupled with his weak heart, leads to death. The proximate cause of death is accident, as a man with a normal heart would have recovered.

- If there are concurrent causes with an **excluded peril,** there will be no liability in respect of claims arising from the excluded

peril. For example, property stolen during a riot will not be covered under a burglary policy as the policy excludes loss or damage due to riot, strike and civil commotion.

- If the losses arising concurrently from an insured peril and an uninsured peril can be **separated**, the insurer will only be liable for the loss caused by the insured peril. For example, a fire breaks out during a storm but is not caused by the storm, and there is some burning damage and some wind damage. In this case, only the burning damage will be covered.

- However, if the **losses cannot be separated**, the insurer is liable for the full amount provided the loss was not caused by an excluded peril. For example, a fire breaks out during a riot but independently of it, and damage is caused by the original fire and by a fire started by rioters.



2.7.3 Successive Causes

- When a number of causes operate one after the other and the original cause happens to be an **insured peril**, there is apparent liability under the policy. However, loss by theft during or after the occurrence of a fire is **specifically excluded** under a fire insurance policy. This modifies the doctrine of proximate cause in that though the proximate cause was fire which is an insured peril, the subsequent loss by theft is not insured by policy exclusion.

- If the direct chain of events can be traced to an **excluded peril**, there is outright no liability. For example, a motor repair shop and its contents insured under a fire policy was damaged when a tank of acetylene gas used for welding exploded. The explosion of gas used for commercial purpose is an excluded peril. If the explosion occurred *before* the fire, the insurer would not be liable for the loss. However, if the explosion happened after the fire, the insurer would be liable for the loss.

- If the chain of events is broken by an intervention of a new and independent cause, liability will depend upon whether the new cause is an insured peril or an excluded peril.

2.8 Self-Assessment Questions

1. The proximate cause of a loss is always

a) the dominant cause.

b) the cause nearest the loss in time.

c) the cause nearest the loss in distance.

d) an insured peril.

2. Why do insurers insert a subrogation condition in their policies?

a) To give them the right to pursue a recovery action against a responsible party

b) To allow them to commence a recovery action before they pay a claim

c) To allow them to pursue a recovery action in their own name

d) To prevent the insured from claiming twice for the same loss

3. Which principle is a corollary of indemnity and gives the insurer the right to call on other insurers similarly liable to pay part of a claim?

a) Proximate cause

b) Subrogation

c) Contribution

d) Insurable interest

4. How is indemnity measured under property insurance policies?

a) According to a formula

b) On agreed value basis

c) On a reinstatement basis

d) On a first loss basis

5. For a life insurance policy to be valid, when must insurable interest exist?

a) At the inception of the policy only

b) At the time of a claim

c) At the inception of the policy and at the time of a claim

d) At the inception of the policy or at the time of a claim

6. What is meant by a 'consumer insurance contract' as defined under schedule 9 of the Financial Services Act 2013?

a) A contract entered into by a consumer of life and general insurance

b) A contract entered into by an individual not related to his trade, business or profession

c) An insurance contract entered into by a homeowner

d) Insurance policies bought by consumers in general

7. What distinguishes an uninsured peril from an excluded peril?

a) An excluded peril is uninsurable.

b) An uninsured peril can be covered with additional premium but an excluded peril is more appropriately covered by some other policy.

c) An uninsured peril can be included by removing the exclusion clause.

d) An uninsured peril is lower risk compared to an excluded peril.

8. When does the right of an insurer to repudiate liability arise in the event that a prospective policy owner failed to disclose relevant information that would affect the decision to accept or reject the risk?

a) At pre-contractual stage

b) During the currency of the policy

c) At the time of a claim

d) At renewal stage

9. Which remedy is NOT available to the insurer if there was fraudulent breach of good faith by the insured?

a) Avoid the policy as a whole

b) Avoid the policy and keep the premium

c) Ignore the breach and allow the policy to stand

d) Refuse a particular claim but allow the policy to stand

10. Which one of the following has no insurable interest in the life of another?

a) Child dependent on a parent

b) Employer on an employee's life

c) Principal on an agent's life

d) Legal guardian on a minor's life

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 3 Legislation and Consumer Protection

3.1 Insurance Legislation

3.1.1 Historical Development

The insurance industry in Malaysia was initially governed by the Insurance Act 1963 which was repealed and superseded by the **Insurance Act 1996 (Act)** which came into force on 1 January 1997. The Act was supplemented by the *Insurance Regulations 1996 (Regulations)* which prescribes details of mandatory requirements contained in certain provisions of the Act. In addition, the Act empowered **Bank Negara Malaysia** to specify matters pursuant to the provisions of the Act.

In 2005, the Act was amended for the first time since its enactment to put in place the legislative licensing framework for Financial Advisers (FAs) in Malaysia. The amendments which set out, among others, the forms of establishment and types of activities that could be undertaken by FAs, came into effect in August 2005 with the gazetting of the Insurance (Amendment) Act 2005.

3.1.2 Changes in Equity

The Insurance Act 1996 required a Malaysian incorporated licensee to maintain a minimum paid-up capital as prescribed by Bank Negara Malaysia. Licensed foreign-incorporated insurers are required to maintain a corresponding surplus of assets over liabilities in Malaysia.

Minimum paid-up capital or surplus of assets over liabilities prescribed by the Act:

a) RM100 million for local/foreign direct insurers and local professional general reinsurers;
b) RM50 million for local professional life reinsurers;
c) RM20 million for foreign professional life and general reinsurers;
d) Insurance brokers and adjusters are required to maintain a paid-up capital (unimpaired by losses) of RM 500,000 and RM 150,000 respectively.

3.1.3 Role of the Central Bank of Malaysia (Bank Negara Malaysia)

The power for promoting financial stability is vested with Bank Negara Malaysia under the *Central Bank of Malaysia Act 2009*. In addition, with the enactment of the *Financial Services Act 2013*, a more-risk focused and integrated approach to the regulation and supervision of financial institutions was introduced, empowering the central bank to enforce and compound any person in breach of the regulations.

Key regulatory objectives of Bank Negara Malaysia in relation to the insurance sector:

1. Foster fair, responsible and professional business conduct of financial institutions;
2. Strive to protect the rights and interests of financial consumers;
3. Keep a close watch on solvency and market conduct to enhance professional standards and consumer confidence in the insurance industry; and
4. Promote monetary and financial stability conducive to sustainable growth of the economy.

3.1.4 Risk-Based Capital Framework

In line with the objective to keep a close watch on solvency and market conduct to enhance professional standards and consumer confidence in the insurance industry, Bank Negara Malaysia introduced the Risk-Based Capital (RBC) Framework which came into force on 1 January 2009 to determine the Capital Adequacy Ratio (CAR) of insurance companies in Malaysia.

The RBC was formulated to conform to international trends towards risk-based capital frameworks (e.g. Solvency II and Basel II) and aims to better reflect the risk profiles of insurers with the following objectives:-

1. determine the capital adequacy ratio of the insurance and shareholders' funds;
2. preserve the fundamental principle that the valuation surplus of the participating life insurance fund is not used to support the capital requirements of other insurance or shareholders' funds;
3. ensure capital is available to protect policyholders against insolvencies of insurance companies.

Formula:

$$\text{Capital Adequacy Ratio (CAR)} = \frac{\text{Total Capital Available (TCA)}}{\text{Total Capital Required (TCR)}} \times 100\%$$

Note: BNM has set a Supervisory Target Capital Level of 130 per cent. Each insurer must set its own Individual Target Capital Level to reflect its own risk profile. The Individual Target Capital Level must be higher than the Supervisory Target Capital Level.

3.1.5 New Legislation

The **Financial Services Act 2013 (FSA)** and the **Islamic Financial Services Act 2013 (IFSA)** repealed the Insurance Act 1996 and the Takaful Act 1984 (*save for transitional provisions in respect of specific provisions of the repealed Acts for the insurance and takaful sectors respectively*).

The FSA and the IFSA came into force on 30 June 2013.
These new laws consolidate several separate laws in respect of financial services in Malaysia i.e. conventional banking and insurance as well as Islamic banking and takaful. Thus, the regulation and supervision of financial institutions (banks and insurance companies), payment systems and other relevant entities and the oversight of the money market and foreign exchange market is now under a **single legislative framework**.

FSA replaces four existing Acts:	IFSA replaces two existing Acts:
1. Banking and Financial Institutions Act 1989 (BAFIA)	1. Islamic Banking Act 1983 (IBA)
2. Exchange Control Act 1953 (ECA)	2. Takaful Act 1984
3. Insurance Act 1996	
4. Payment Systems Act 2003 (PSA)	

3.1.6 Purpose of the New Legislation

Primary objectives of the Financial Services Act 2013 (FSA) and the Islamic Financial Services Act 2013 (IFSA) are:

- Greater clarity and transparency in administration by the Central Bank of Malaysia (Bank Negara Malaysia);
- A clear focus on Shariah compliance and governance;
- Provisions for differentiated regulatory requirements that reflect the nature of financial intermediation activities and their risks to the overall financial system;
- Provisions to regulate financial holding companies and non-regulated entities;
- Strengthened business conduct and consumer protection requirements to promote consumer confidence in the use of financial services and products;
- Strengthened provisions for effective and early enforcement and supervisory intervention.

3.1.7 Main Provisions of the Financial Services Act 2013

Section	The Law	Provision
10	**Grant of Licence by Minister**	'authorized business' includes insurance business, insurance broking or financial advisory business
11 (3)	**Approval by the Central Bank**	insurance broking or financial advisory business shall at all times have in force a professional indemnity insurance or takaful of such amount as may be specified
16 (1)	**Licensed Insurer to Carry On Life *or* General Business**	licensed insurer other than a licensed professional reinsurer shall not carry on both life business and general business
17	**Registered Business**	only a registered person can carry on registered business as a registered adjuster other than an advocate or solicitor, an aviation or maritime loss adjuster or an employee of a licensed insurer or takaful operator who in the course of his employment acts or assists in adjusting insurance claims
126	**Financial Ombudsman Scheme**	ensures fair, accessible and effective way of handling complaints and resolution of disputes in connection with financial services or products
127	**Obtaining Insurance outside Malaysia**	no person shall enter into or cause to be entered into a contract of general insurance or takaful outside Malaysia without the prior written approval of Bank Negara Malaysia
128	**Provisions Relating to Policies**	Schedule 8 sets out the provisions relating to life insurance policies
129	**Pre-Contractual Duty of Disclosure and Representations & Remedies for Misrepresentation**	Schedule 9 (Part 2) sets out the duty of disclosure for insurance contracts other than consumer insurance contracts. Part 3 sets out on the non-contestability and remedies for misrepresentations
130	**Payment of Policy Moneys under Life and Personal Accident Policy**	Schedule 10 sets out the provisions relating to payment of policy moneys upon death of a policy owner under a life policy including a life policy under section 23 of the Civil Law Act 1956 and a personal accident policy effected by him upon his own life
275	**Savings & Transitional Provisions**	(a) subsections 147(4) & (5) and sections 150 & 151 (b) sections 144 & 224 of the repealed Insurance Act 1996 shall continue to remain in full force until such date to be appointed for the coming into operation of section 129 and schedule 9 of the FSA
276	**Conversion to Single Insurance Business**	composite insurers shall comply with subsection 16(1) within five years, or such longer period as may be specified by the Minister, of the appointed date of the law

3.2 Companies Act 1965

The Companies Act 1965 (Revised-1973) regulates the formation, registration, incorporation, management and dissolution of companies in Malaysia. The Companies Commission of Malaysia (CCM) or Suruhanjaya Syarikat Malaysia (SSM) is a corporate registry and regulatory authority that meets business needs through registration, information, regulation and advice.

There are two types of companies, namely:-

1. **A company limited by shares; or**
2. **An unlimited company.**

1. A **company limited by shares** is a company formed on the principle of having the liability of its members limited by the memorandum to the amount, (if any, unpaid) on the shares respectively held by them. A company limited by shares may be incorporated as:
   a) **a private company** (identified through the words 'Sendirian Berhad' or 'Sdn. Bhd.' appearing together with the company's name); or
   b) **a public company** (word 'Berhad' or 'Bhd' appearing together with the company's name).

   Insurance companies and takaful operators are required to be incorporated as *public companies*, whereas insurance brokers, financial advisers and registered adjusters are required to be incorporated as *private companies*. In the event of a conflict between the provisions of the Financial Services Act 2013 and the Companies Act 1965, the provisions of the Financial Services Act 2013 will prevail.

2. An **unlimited company** is incorporated in the same way as a company limited by shares; however, the difference is that for an unlimited company, the liability of its members must be stated in the Memorandum of Association as '*unlimited*'.

   A "corporation" means a body corporate formed or incorporated or existing within or outside Malaysia and includes any *foreign company* such as a *professional reinsurer,* which does not have its head office or principal place of business in Malaysia.

3.2.1 Main Provisions of the Companies Act 1965

Annual Returns

Profit and loss account (after provision for income tax), balance sheet and directors' report showing the state of the company's affairs as at the end of the financial year and if the company is a holding company, a report with respect to the state of affairs of the holding company and all its subsidiaries as well.

- **Statutory Report**

Shares allotted and the cash received in respect of those shares and the receipts and payments on capital account to be examined and reported upon by the auditors.

- **Dissolution of a Company**

Where assets of a company are collected and realised, the proceeds collected are used to discharge the company's debts and liabilities and the remaining balance (if any) will be distributed amongst the contributories according to their entitlement.

There are 2 modes of winding up, namely:-

- Voluntary winding up; and
- Winding up by the Court.

There is no voluntary winding up in respect of a financial institution (banks or insurance companies) without the prior written approval of Bank Negara Malaysia, which may exercise its powers (subject to *section 165 of the FSA*) if circumstances warrant for the winding up of a financial institution and file an application to the High Court. The Court will then appoint a liquidator.

3.3 Malaysia Deposit Insurance Corporation Act 2011

Perbadanan Insurans Deposit Malaysia (PIDM) is a statutory body established under the Malaysia Deposit Insurance Corporation Act 2005 to administer the national deposit insurance system aimed at protecting depositors in commercial and Islamic banks.

The Act was later expanded by Parliament to administer the **Takaful and Insurance Benefits Protection System (TIPS)** effective 31 December 2010 under the new Malaysia Deposit Insurance Corporation Act 2011 to replace the Insurance Guarantee Scheme Fund (IGSF) for life and general insurance business.

3.3.1 Financial Consumer Protection

PIDM complements the prudential regulatory and supervisory role of Bank Negara Malaysia by providing a safety net for depositors and insurance policy owners. It protects depositors against loss of up to RM 250,000 per depositor per member bank, and takaful certificate and insurance policy owners against the loss of their takaful and insurance benefits of up to RM 500,000 in the event of a member institution failure.

Membership of PIDM is compulsory for all licensed commercial and Islamic banks, insurance companies and takaful operators in Malaysia.

3.4 Financial Consumer Literacy and Education

The Consumer Education Programme (CEP) on insurance and takaful is known as ***insurance info*** and is a joint effort between Bank Negara Malaysia and the insurance and takaful industry. Designed as a long-term programme to provide educational information to enhance financial literacy and awareness, its key objectives are:

- to enable consumers to make well-informed decisions when purchasing insurance or takaful products;
- to assist consumers to be in a better position to select insurance or takaful products that best meet their needs;
- to understand their rights and responsibilities as consumers of insurance or takaful products and services.

3.5 Financial Consumer Complaints and Disputes

There are various avenues for consumers to lodge a complaint in order to resolve a dispute with a Financial Service Provider (an insurance company or takaful operator) before taking the case to court. Complaint mechanisms stated in 3.5.1, 3.5.2 and 3.5.3 were implemented to provide consumers with easy access, speedy response and fair and independent avenue to seek redress.

The following are the essential steps which a consumer must take in making a complaint:-

3.5.1 Complaint Unit of Financial Institutions

The Complaint Unit of the Financial Service Provider (FSP) must be easily accessible (via telephone, email or website) by customers and be able to address complaints effectively and promptly. The FSP must provide a written acknowledgement within two working days, and the final decision or request for more information (if the case is complicated) within two weeks of receiving the complaint.

If the complainant fails to respond within two weeks with the required information, the FSP must allow another two weeks' time for the complainant to respond and if there is still no response, the complaint can be treated as "No Further Action" and the complainant will be advised accordingly.

In all cases, the FSP will advise the complainant to submit the complaint either to the **Financial Mediation Bureau (FMB)** or **Bank Negara Malaysia (BNM)** if the complainant is not satisfied with the outcome of the complaint resolution by attaching a copy of the decision letter of the insurance company or takaful operator.

3.5.2 Financial Mediation Bureau (FMB)

The Financial Mediation Bureau (FMB) is an independent body set up to help settle disputes between financial consumers and financial service providers who are its members.

Members of FMB include all:

- Licensed banking institutions in Malaysia
- Licensed Insurance companies and Takaful operators
- List of Issuers of Credit Cards, Charge Cards, E-money and Remittance Service Providers.

The FMB provides consumers with a platform for an objective and timely resolution of disputes, claims and complaints arising from services provided by the member financial institutions. The services of the FMB are offered free of charge to refer disputes for resolution as an alternative to the courts. These disputes may be banking / financial related as well as insurance and takaful related.

Consumers are required to submit their complaints to FMB **within six months** from the date of the final decision of the financial service provider subject to the following limits:

- RM 200,000 for motor and fire insurance policies or takaful plans
- RM 100,000 for other types of insurance policies or takaful plans
- RM 5,000 for third party property damage

Types of complaints *not* handled by FMB:

- Cases involving claims exceeding the limits stipulated
- Complaints involving pricing of insurance products and underwriting issues
- Fraud cases (other than payment instruments such as credit cards, charge cards and cheques amounting to more than RM25,000)
- Cases that have been or are being referred to the court or arbitration

Upon adjudication of claim disputes, an award or decision of the FMB is **binding upon the Financial Service Provider** but is not binding on the claimant or complainant. who is free to seek legal redress in court or through arbitration.

Under the Financial Services Act 2013, Bank Negara may approve a financial ombudsman scheme for the purpose of ensuring effective and fair handing of complaints and for the resolution of disputes in connection with financial services or products but this has not been approved as yet.

3.5.3 BNMLINK

BNMLINK represents one of Bank Negara Malaysia's important points of contact with the general public. It acts as a centralised point of contact to facilitate a rapid and effective response for members of the public and small and medium enterprises (SMEs) in matters related to the financial sector. Through its exhibitions, self-service kiosks and booklets, BNMLINK also provides consumer financial education as well as awareness of the role of Bank Negara Malaysia in nation building to the public.

Types of Complaints *not* handled by BNM

- Complaints that have been referred to FMB
- Complaints that have been referred to and decided by FMB
- Cases that have been referred to solicitors or legal actions have been instituted
- Cases pertaining to institutions not under BNM's supervision, such as repair workshops and managed care organisations
- Complaints made by agents against their principals or on employer/employee relationships or other matters not related to insurance or takaful.

3.6 Personal Data Protection Act 2010 (PDPA)

The Personal Data Protection Act 2010 (PDPA) came into force in **November 2013** to regulate the processing of personal data in a commercial transaction.

PDPA applies to:

- Any person who processes or authorizes the processing of any personal data in respect of commercial transactions
- Personal data processed in Malaysia
- Uses of equipment in Malaysia for processing personal data

The purpose of the PDPA is to:

- protect personal data belonging to the public from being misused through commercial transactions;
- protect sensitive data from being misused;
- facilitate international trade;
- protect consumer rights

Personal Data

- Is any personal information in respect of commercial transactions
- Relates directly or indirectly to a data subject

- Includes sensitive personal data e.g. physical or mental health, political opinions, religious beliefs, offences or any other data as the Minister may determine
- Includes expressions of opinion about the data subject

3.6.1 Seven Principles of the Personal Data Protection Act 2010 (PDPA):

1. General	**Personal data shall be processed if:** • the data subject has given consent • the processing is necessary for or directly related to that purpose • it is adequate and not excessive in relation to that purpose **Sensitive data shall be processed if:** • the data subject has given explicit consent • processing is necessary for employment, vital interest, medical, legal, administration of justice and others where the Minister thinks fit • information has been made public by the data subject
2. Notice and Choice	**Data subjects should be informed by written notice:** • that their personal data is being processed and a description of the personal data is provided • of the purpose of the collection • of the source of the personal data • of their rights to: - request access to and correct the data - contact the data user for enquiries and complaint - be informed of the third parties to whom the data user discloses or may disclose the personal data - limit the choices and means of processing personal data. Whether it is obligatory or voluntary for the data subject to supply the personal data. NOTICE shall be given soonest possible:- • At the time the data subject is first asked by the data user to provide his personal data • At the time the data user first collects the personal data • Before data user uses the personal data or discloses to a 3rd party • NOTICE shall be given in the national and the English language.
3. Disclosure	**No PERSONAL DATA shall be disclosed without the consent of the data subject:-** • for any other purpose(s) other than the purpose(s) it was collected, or a purpose directly related to the purpose the data was collected • to any other party
4. Security	A DATA USER needs to take practical steps to protect the personal data from any:- • Loss • Misuse • Modification • Unauthorised or accidental disclosure • Alteration or destruction
	Need to consider the following:- • The nature of personal data • The harm that would result from such misconduct • The place or location where the personal data is stored • The security measures to ensure reliability and integrity • Measures taken to ensure the security transfer of the personal data

5. Retention	• The personal data processed shall not be kept longer than necessary for the fulfilment of the purpose. • The data user must take all reasonable steps to ensure that all personal data is destroyed or permanently deleted if it is no longer required for the purpose for which it was processed.
6. Data integrity	**Data user shall take reasonable steps to ensure that the personal data is:-** • Accurate • Complete • Not misleading • Kept up to date by having regard to the purpose of the data
7. Access	**A DATA SUBJECT shall be given their rights and access to:-** • their personal data, and • the ability to correct that personal data if it is: - Inaccurate - Incomplete - Misleading - Not up to date

3.7 Anti-Money Laundering and Anti-Terrorism Financing Act 2001 (AMLATFA)

The Anti-Money Laundering Act 2001 which came into operation on 15 January 2002 was further amended to include Anti-Terrorism Financing in December 2003. The AMLATFA imposes on a reporting institution an obligation to "promptly report to the competent authority any transaction:

1. exceeding such amount as the competent authority may specify; and
2. where the identity of the persons involved, the transaction itself or any other circumstances concerning that transaction gives any officer or employee of the reporting institution reason to suspect that the transaction involves proceeds of an unlawful activity"

What is money laundering?

Criminals have become more sophisticated in utilising reporting institutions to launder illicit funds and use them as conduits for money laundering and terrorism financing activities. Illegal proceeds from drug trafficking, corruption, smuggling, fraud, forgery and cheating are legalised through the banking system either using a nominee or family member, setting up fronting companies including using money changers and the use of cash transactions to conceal the money trail.

Money laundering activities may include the following:-

1. **Placement-** physical disposal of proceeds derived from illegal activities;
2. **Layering-** separating the illicit proceeds from their sources through transactions that disguise the audit trail and provide anonymity; or
3. **Integration-** integrating the laundered proceeds into the economy as normal funds.

The AMLATFA provides for the following measures to be taken to prevent money laundering and financing of terrorism:

- suspicious transaction reporting("STR");
- record-keeping;
- the functions of a financial intelligence unit that could co-operate with domestic as well as foreign enforcement agencies;
- investigation into money laundering activities;
- law enforcement agencies to freeze, seize and forfeit terrorist property and property involved in, or derived from, money laundering and terrorism financing offences as well as prosecution of money launderers; and
- prohibition of falsification, concealment and destruction of documents.

3.7.1 Anti-Money Laundering and Counter Financing of Terrorism (AML/CFT)

In September 2013, the regulators issued new guidelines on *Anti-Money Laundering and Counter Financing of Terrorism (AML/CFT)* for the Insurance and Takaful sectors with specific requirements on **Customer Due Diligence (CDD)** to enable reporting institutions to comply with the obligations imposed on them. It is important to note that CDD is also required for business transactions made through agents and the insurer has to enforce on their agents the requirements of CDD.

Summary of CDD requirements for Insurance and Takaful Sectors				
	Normal		**Simplified**	
	Premium > Threshold i. RM5,000 and above for annual premium; or ii. RM10,000 and above for single premium		**Premium < Threshold** i. RM5,000 and above for annual premium; or ii. RM10,000 and above for single premium	
On Whom?	Customer and its Beneficial Owner	Beneficiary	Customer and its Beneficial Owner	Beneficiary
What is Required? Identification*	When establishing business relationship	At the point of nomination	When establishing business relationship	At the point of nomination
Verification**	When establishing business relationship	Latest at the point of pay out	Latest at the point of pay out	

***Identification** - In conducting CDD on an individual customer and beneficial owner, the reporting institution is required to obtain at least the following information:

a) full name;
b) National Registration Identity Card (NRIC) number or passport number of the customer or beneficial owner;

c) residential and mailing address;
d) date of birth;
e) nationality;
f) occupation type;
g) name of employer or nature of self-employment/nature of business;
h) contact number (home, office or mobile); and
i) purpose of transaction

****Verification** - Reporting institutions shall verify the documents referred to under b) by requiring the customer or beneficial owner, as the case may be, to furnish the original document and make a copy of the said document. However, where biometric identification method is used, verification is deemed to be satisfied.

3.8 Competition Act 2010

The Competition Act 2010 has been in force since **1 January 2012** to provide a legal framework for curtailing anti-competitive practices in Malaysia and applies to any commercial activity within Malaysia and outside of Malaysia insofar as the activity was transacted outside Malaysia but which has an effect on market competition in Malaysia.

Currently, activities performed by the energy, communications and multimedia sectors have been exempted by the Act and other commercial activities may be further exempted by Ministerial order from time to time.

The Act introduces 2 main types of prohibition, namely against:

1. **Anti-competitive agreements** between enterprises which operate at the same level in the production or distribution chain as well as between enterprises operating at different levels. The prohibitions generally extend to agreements which have the object of, amongst others, price-fixing, sharing market or sources of supply, limiting or controlling production, market outlets or market access, technical or technological development, or investment, and bid rigging.
2. **Any abuse of a "dominant position"** by an enterprise in any market for goods or services. An enterprise occupies a dominant position in the market if it possesses such significant power in a market to adjust prices or outputs or trading terms, without any restraint from competitors or potential competitors, regardless of the level or percentage of market share of the enterprise.

3.8.1 Malaysia Competition Commission (MyCC)

MyCC is an independent body established under the Competition Commission Act 2010 to enforce the Competition Act 2010. Its main role is to protect the competitive process for the benefit of businesses, consumers and the economy.

Commission's Main Functions:-

- Implement and enforce the provisions of the Competition Act 2010;
- Issue guidelines in relation to the implementation and enforcement of the competition laws;
- Act as advocate for competition matters;
- Carry out general studies in relation to issues connected with competition in the Malaysian economy or particular sectors of the Malaysian economy;
- Inform and educate the public regarding the ways in which competition may benefit consumers in, and the economy of Malaysia.

3.9 Self-Assessment Questions

1. Which of the following is NOT a function of Bank Negara Malaysia?

a) Enhance professional standards and business conduct of the agency force

b) Foster fair, responsible and professional business conduct of insurance companies

c) Strive to protect the rights and interests of financial consumers

d) Keep a close watch on solvency and market conduct of the insurance industry

2. Which new legislation replaced the Insurance Act of 1996?

a) Islamic Financial Services Act 2013

b) Financial Services Act 2013

c) Insurance Act 2013

d) Financial Services Authority 2013

3. Which of the following is NOT true of the Risk-Based Capital (RBC) framework?

a) Determines the capital adequacy ratio of insurance companies

b) Preserves the valuation surplus of the participating life insurance fund

c) Ensures capital is available to protect policyholders against insolvencies of insurers

d) Ensures fair and equitable premium rates charged by insurers

4. Which of the following is NOT a complaint or dispute resolution mechanism for financial consumers?

a) Financial Mediation Bureau (FMB)

b) Complaints Unit of an insurance company

c) Malaysia Competition Commission (MyCC)

d) BNMLINK

5. On whom is Customer Due Diligence (CDD) to be conducted as required by the Anti-Money Laundering and Counter Financing of Terrorism (AML/CFT) guidelines?

a) Insurance intermediary or agent

b) Financial Institutions

c) Customer and its Beneficial Owner

d) Financial Consumer

6. Which of the following is NOT considered 'personal data' by the Personal Data Protection Act 2010?

a) Any personal information in respect of commercial transactions

b) Personal information posted on social media

c) Sensitive personal data e.g. physical or mental health, political opinions, religious beliefs, offences or any other data as the Minister may determine

d) Expression of opinion about the data subject

7. Which types of complaints are handled by the Financial Mediation Bureau (FMB)?

a) Complaints involving pricing of insurance products and underwriting issues

b) Fraud cases (other than payment instruments such as credit cards, charge cards and cheques amounting to more than RM 25,000)

c) Cases involving claims below RM 200,000 for motor and fire insurance policies

d) Cases that have been or are being referred to the court or arbitration

8. Who administers the Takaful and Insurance Benefits Protection System (TIPS)?

a) Financial Consumer Protection

b) Bank Negara Malaysia (BNM)

c) Insurance Companies and Takaful Operators

d) Malaysia Deposit Insurance Corporation (PIDM)

9. Under the Financial Services Act 2013 'authorized business' licensed by the Minister include the following EXCEPT

a) insurance business

b) insurance broking

c) insurance loss adjuster

d) financial advisory business

10. Which law requires an insurance company to be incorporated as a public company and a broker, financial adviser and loss adjuster to be incorporated as a private company?

a) Companies Act 1965

b) Financial Services Act 2013

c) Insurance Act 1996

d) Competition Act 2010

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 4 The Insurance Contract

4.1 The Law of Contract

A contract is a legally binding agreement i.e. one which the courts will recognise and enforce. An insurance contract therefore is a **legally binding agreement to insure**. It is the binding nature of an insurance contract which provides a solid foundation for the business of insurance and enables people to buy policies with confidence.

In Malaysia, all types of contracts such as insurance, sale of goods or land, employment, hire, etc. are governed by the rules of the law of contract prescribed by the **Contracts Act 1950.**

4.2 Formation of an Insurance Contract

The following are five essential factors for the formation of a valid contract:-

- **Offer and Acceptance**
- **Intention to Create a Legal Relationship**
- **Consideration**
- **Capacity to Contract**
- **Legal Form**

4.2.1 Offer and Acceptance

An offer may be made in writing, orally or by conduct. It can be made to one person, a group of people or the public as a whole. If an offer has been made, a contract will come into existence when the offer is accepted, provided all the essential terms of the contract are agreed. For example: a proposer for insurance makes an offer by submitting a completed and signed proposal form directly to an insurer or through an insurance agent. The insurer may accept the offer upon assessing the proposed risk or may reject it entirely or in some cases, offer to accept the risk subject to the proposer agreeing to certain terms and conditions imposed. This constitutes a counter-offer by the insurer for acceptance, at the option of the proposer.

4.2.2 Intention to Create a Legal Relationship

Even when two parties have reached an agreement, there may be no contract if they did not intend their arrangement to be legally binding. Insurance contracts as commercial transactions are almost invariably intended by the parties to be legally binding. However, (under the most unusual circumstances) the intention is negatived by an express term of the agreement as the case in *Orion Insurance Co. plc v. Sphere Drake Insurance Ltd (1992),* the Court of Appeal held that the agreement between two insurers to run off the outstanding liabilities under two insurance pools in the London market was a 'goodwill' agreement that was not intended by the parties to be legally binding even though a written memorandum of the meeting where the agreement was made had been taken and all the parties had signed it.

4.2.3 Consideration

Consideration can be defined as *"some right, interest, profit or benefit accruing to one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other"*.

The rules of consideration apply to insurance in the ordinary way. The consideration furnished by the insured in an insurance contract is **the premium** payable and that given by the insurer is the promise to pay claims, in other words, **the cover** which is provided. While a valid contract of insurance will come into force once an offer has been accepted, the risk may not attach immediately. Equally, it is important to understand that under English law, a valid insurance contract may exist before the insured has actually paid the premium, provided they have agreed to pay. **A promise to pay is as good consideration as payment itself**. However, insurers may stipulate that the risk will not run until the premium is paid.

In Malaysia, the 'cash-before-cover' ruling applies to motor insurance, individual travel and personal accident insurance. The ruling requires actual payment of the premium to complete the contract and assumption of risk by the insurer. In marine insurance, however, insurers often agree in advance to extend the policy to cover some risks excluded from the original contract if the need arises, with the additional premium to be fixed afterwards.

4.2.4 Legal Form

In some cases, the law requires a contract to be in a particular form and this will always involve some type of *written documentation*. Writing obviously makes for greater certainty as to what has been agreed and may warn people against entering into a contract too lightly. In Malaysia, all insurance contracts must be in writing but under English law, there is no general requirement for an insurance contract to be recorded in written documentation. Insurance cover may be given orally (often by telephone) and, although a written

policy is eventually issued in almost every case, a claim may well happen before the policy is prepared. Only a marine insurance contract must be in writing under the Marine Insurance Act 1906 (s 22).

In Malaysia, section 91 of the Road Transport Act 1987 requires a 'policy' of insurance to be in force and para (4) states that a policy shall be of no effect unless and until a **certificate of insurance** is issued in the prescribed form and delivered to the policyholder.

Life insurance contracts are also subject to some formal rules as required by the Financial Services Act 2013. Schedule 8 (2) provides for '*objection to life policy'* by the insured within 15 days after the delivery of the life policy. The insured is entitled to cancel the policy by returning the policy document within the *'cooling-off'* period and the insurer must allow a full refund of the premium immediately.

4.2.5 Contractual Capacity

The validity of a contract depends on the parties having full legal capacity to contract and some people and organisations are subject to special rules which restrict their capacity to contract. The main categories are **minors, people who are mentally ill or drunk,** and **corporations**.

In the context of insurance, a minor is a person below the age of 18 and is not competent to enter into a contract. However, this position is altered by statute i.e. the *Financial Services Act 2013 s.128 schedule 8(4),* which provides for a minor to insure on his own life or upon the life of another as more specifically described below:

- A minor who has attained the age of 10 but not attained the age of 16 *with the consent in writing of his parent or guardian* may effect a life policy on his own life or upon another life in which he has an insurable interest; and may assign the life policy on his own life or take an assignment of a life policy.
- A minor who has attained the age of 16 may effect a life policy on his own life or upon another life in which he has an insurable interest; and may assign the life policy on his own life (*with the consent in writing of his parent or guardian)* or take an assignment of a life policy.

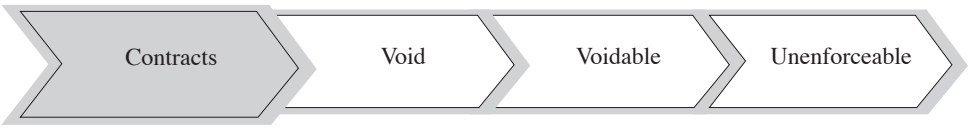
The Contractual Capacity of Insurers

In Malaysia, insurers are corporations formed and registered under the Companies Act 1965 as public limited companies. Corporations in general have the same legal rights and duties as a private individual of full age and capacity and may therefore make contracts. However, a corporation has an existence which is independent of its members

and can be wound up or liquidated if it is unable to pay its debts. Legislation has been enacted specifically to regulate the activities of insurers to reduce the risk of an insurer becoming insolvent in order to protect its policyholders as discussed in Chapter 3.

4.3 Void, Voidable and Unenforceable Contracts

An agreement to commit a crime such as to forge banknotes or a plan to steal from a bank is contrary to the law and would be illegal. An act of negligence which causes harm to other people, for example driving recklessly, is punishable by law and the wrongdoer who commits a wrongful act that injures another will be liable to face a civil tort action. In this case, while damages to the injured party are covered by an insurance contract, the fines and penalties imposed by the court have to be borne by the insured as such contracts would be contrary to public policy.



4.3.1 Void Contract

A void contract has no binding effect on either party. Because a void contract is no contract at all, the expression is used to describe agreements which neither party can fully enforce. A contract can become void for a number of reasons such as due to changes in law, one party to the contract lacks the capacity to enter into a contract because he is a minor or mentally incapacitated, or declared null and void by the courts because it violates a fundamental principle.

An insurance contract would be deemed void for the following reasons:

- **No insurable interest** at the time of effecting a life insurance policy: Insurance law (*Para 3 to Schedule 8 of the Financial Services Act 2013)* states that any person effecting a life insurance policy on the *life of another* must have insurable interest at the time of effecting the policy; otherwise, the policy is void.
- **No 'consensus ad idem'** or there was a fundamental mistake or disagreement from the start.
- **There was fraudulent misrepresentation** or concealment at the pre-contractual stage.
- **Non-fulfilment of a policy condition precedent** to the contract. For example, life insurance will not come into effect until the premium is paid.

4.3.2 Voidable Contract

A voidable contract, unlike a void contract, is a valid contract. It is binding but one party (or possibly both) will have the right to set it

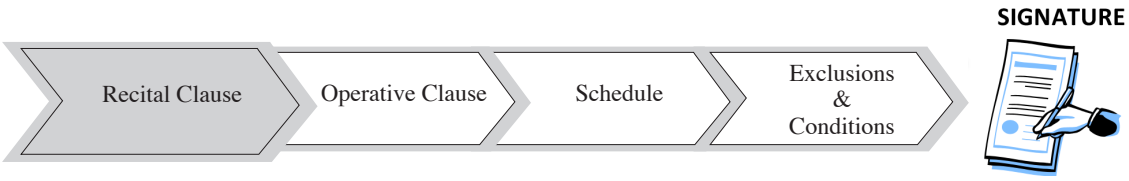
aside. Contracts may be voidable on a number of different grounds such as misrepresentation, drunkenness, duress or insanity. An insurance contract is voidable because of innocent or fraudulent misrepresentation; however, the insurer has the right to ignore the breach of good faith by the insured and allow the policy to stand. However, if a particular claim is repudiated because of the misrepresentation of a material fact, the policy will not be allowed to stand or continue as the contract is terminated from the date of the breach.

4.3.3 Unenforceable Contract

An unenforceable contract is valid, but it cannot be enforced in a court if one party refuses to keep to the agreement. This is usually used in contradistinction to **void** (or ***void ab initio***) and **voidable**. If the parties perform the agreement, it will be valid, but the court will not compel them if they do not. Such a contract may be useful for other purposes such as a defence to a claim.

4.4 Parts of an Insurance Policy

The legal form of the contract of insurance is the printed policy document which comprises the following main sections:



4.4.1 The Recital Clause

The recital clause describes the parties to the insurance contract. The head of the policy form will contain the registered name and address of the insurance company and refer to the other party as the insured described in the schedule. The preamble states that the insured had applied for insurance by a proposal and declaration which shall be the basis of the contract and has paid or agreed to pay the premium in consideration of the cover afforded by the policy subject to the terms, conditions, endorsements, clauses or warranties forming part of the policy.

4.4.2 The Operative Clause

The operative clause describes or refers to the cover provided and specifies the events upon which the policy becomes operative to trigger a claim. In life insurance, for example, the sum assured becomes payable on the death of the life assured while in non-life insurance, the perils or contingencies insured and the basis of settlement describes the premise on which the policy operates.

4.4.3 The Schedule

The policy schedule contains the insured's particulars and details of the risk and subject matter insured. The information contained

in the schedule includes the following and is not exhaustive as it varies with the type of policy:-

- Commencement date or period of insurance;
- Date of proposal and declaration which forms the basis of the contract;
- Description of interest insured;
- Sum insured;
- Situation of risk;
- Date of birth or age (for life insurance);
- Amount of premium, service tax (if any) and stamp duty.

4.4.4 Exclusions

It is normal for an insurance policy to exclude fundamental risks such as war, terrorism and nuclear risks due to the catastrophic nature of such losses. At the same time, there are certain risks which are more appropriately covered by a separate policy, for example theft of property is excluded by a fire policy and should be covered by a commercial theft policy. Exclusions are also excluded perils which may be extended on payment of additional premium by endorsement to the policy.

4.4.5 Conditions

Policy terms and conditions exist so that parties to the contract understand their respective duties, rights and obligations. For example, a condition precedent to liability is that the insured must give immediate notice in the event of a claim. Conditions can also restrict the scope of cover, for example committing suicide within the first 13 months of a life insurance policy will not be covered. There are conditions which provide special privileges such as the 15-day 'cooling-off' or 'free-look' period as well as fundamental conditions which go to the root of the contract such as the requirement to pay premium before assumption of risk by insurers.

4.4.6 Attestation (Signature)

An attestation is a declaration by a witness that an instrument in this case, an insurance policy, has been executed according to the formalities required by law. By signing one's name to it, the authorized person affirms that it is genuine.

4.5 Self-Assessment Questions

1. What are the essentials for the formation of a valid contract?

I. There must be an agreement by offer and acceptance.

II. There must be an intention to create legal relationships.

III. The parties must have capacity to contract.

IV. The agreement must be in the form required by law.

V. There must be consideration.

a) I, II III and IV

b) II, III, IV and V

c) I and III

d) I, II, III, IV and V

2. What is the operative clause of an insurance policy?

a) The clause that describes what the insured must do in the event of a claim

b) The clause that describes or refers to the cover provided by the insurers

c) The clause that describes the risks excluded from the policy cover

d) The operating clause that refers to the proposal, the parties and the premium

3. Which of the following does NOT make an insurance contract void?

a) No insurable interest at the time of effecting the policy

b) No consensus or a fundamental mistake or disagreement from the start

c) Fraudulent misrepresentation or concealment at the pre-contractual stage

d) Innocent misrepresentation at the time of filling up the proposal form

4. Which of the following have the capacity to contract?

a) Minors

b) Persons above the age of 18

c) People who are mentally ill or drunk

d) Corporations

5. Which of the following does NOT form an integral part of an insurance policy?

I. Schedule

II. Proposal Form

III. Operative Clause

IV. Attestation

V. Exclusions and Conditions

a) I, II, III and IV
b) II only
c) II and IV
d) II, IV and V

6. What is a voidable contract?

a) A breach of contract by one or both parties
b) A fundamental mistake rendering the contract void
c) A contract which is binding but either party has the right to set it aside
d) One party's legal incapacity to enter a contract

7. Which of the following is NOT normally found in the Schedule of a policy?

a) Name and address of the insured
b) Period of insurance
c) Amount of premium
d) Exclusions

8. Which of the following best describes an unenforceable contract?

a) Legally binding even if one party refuses to keep to the agreement
b) A valid contract but cannot be enforced in a court
c) A valid contract which is not illegal
d) A legal contract which is not binding

9. What is meant by "consideration" in relation to an insurance contract?

a) Cover note in return for proposal for insurance
b) Premium payable in return for cover provided
c) Payment of claim in return for premium paid
d) A promise to pay the sum assured

10. Which rule of law governs contracts in Malaysia?

a) Sale of Goods Act 1965
b) Financial Services Act 2013
c) Contracts Act 1950
d) Insurance Act 1996

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 5 Law of Agency

5.1 Law of Agency

An agent is a person who has the authority or power to act on behalf of another person known as the **'principal'**. Usually, the task of the agent is to bring about a contract between their principal and a third person who in insurance is referred to as a **'financial consumer'**.

An **insurance agent** is defined by the *Financial Services Act 2013* as a person who does all or any of the following:-

a) "solicits or obtains a proposal for insurance on behalf of an insurer;
b) offers or assumes to act on behalf of an insurer in negotiating a policy; or
c) does any other act on behalf of an insurer in relation to the issuance, renewal or continuance of a policy"

The relationship between the principal and the agent may come about in three main ways:

1. **Agency by agreement (or consent):** An agency by agreement is a legal contract creating a fiduciary relationship whereby the first party ("the principal") agrees that the actions of a second party ("the agent") binds the principal to later agreements made by the agent as if the principal had himself personally made the later agreements. The power of the agent to bind the principal is usually legally referred to as authority. Agency created via an agreement may be a form of implied authority, such as when a person gives their credit card to a close relative, the cardholder may be required to pay for purchases made by the relative with their credit card.
2. **Agency by ratification:** An agency relationship is created retrospectively by ratification where the agent does not have actual authority. The doctrine of ratification facilitates the utility of the law of agency as an agent who exceeds his authority can have his acts adopted if the principal wishes to affirm the agent´s acts, albeit retrospectively.
3. **Agency by necessity:** Agency by necessity refers to a situation where an agent by necessity makes a critical decision on behalf

of another party who is not in a condition to do so. For example, if Person A was severely injured in a car accident and was in a coma, Person B could make the decision to allow medical staff to operate on Person A. Under normal circumstances, Person A would have to give consent, but if he or she was unable to do so, an agent can make the decision instead.

In Malaysia, insurance agencies are created only through **appointment by express agreement** i.e. by execution of a written contract. The agency agreement will normally be embodied in a written contract and the agent must act in accordance with its terms. The terms of the agency including the authority and powers of the agent, the duties to be performed, the period of the agreement and the commission and other remuneration payable will be set out in detail.

5.2 Duties of an Insurance Agent to the Principal

5.2.1 To obey the principal's instructions

An agent must carry out all lawful instructions. Where an insurance intermediary has no instructions on a particular point, he may follow market usage where such practice is clear.

5.2.2 To exercise proper care and skill

An agent owes a duty to his principal to exercise reasonable care and skill and may on occasion be found to have assumed a duty to third parties.

5.2.3 To perform duties personally

An agent may not delegate duties to a 'sub-agent' and must perform his duties in person except for the delegation of routine clerical and administrative tasks to employees.

5.2.4 To act in good faith towards the principal

The agent must act in perfect good faith when dealing with the principal. He must not conceal any relevant information, must maintain confidentiality, not accept secret commissions, and generally act in the principal's best interest and not for his own at all times.

5.2.5 To account for monies received on behalf of the principal

An agent must account to the principal for all monies received on his behalf. Insurance brokers are required by their professional code of practice to keep their clients' money separate from their own.

A number of remedies are available to the principal if an agent fails in his duties:

The principal may:

- sue the agent for damages for breach of contract;
- in certain cases, sue the agent in tort (for example, where the agent has refused to return the principal's property);
- for a serious breach, dismiss the agent without notice or compensation;

- if the breach is fraudulent, rescind any contract made through the agent and refuse commissions.

5.3 Duties of the Principal to an Insurance Agent

5.3.1 To pay the agreed remuneration

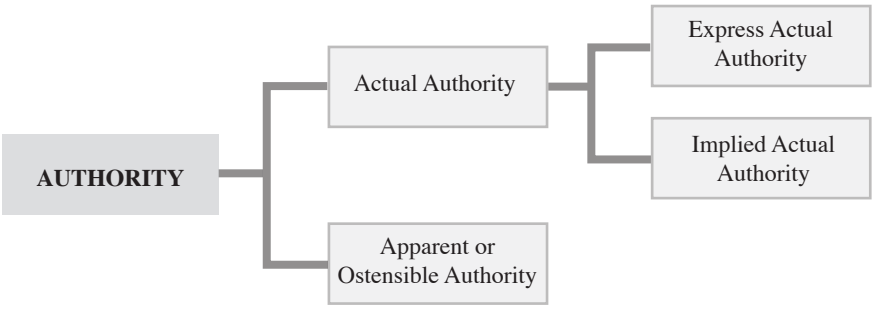
The expenses of running the insurance agency are normally funded by the agent out of his commission. The level of commission for various lines of business will normally be set out in the agency agreement.

5.3.2 To indemnify the agent

The agent is generally entitled to reimbursement from his principal if he pays out or expends money in the course of his agency duties. This is called the agent's right to indemnity.

5.4 Authority of Agents

There are two different types of authority: actual or apparent authority:



5.4.1 Actual Authority

Actual authority is real in the sense that the agents have been given the right or power to act on behalf of the principal either expressly or by implication. There are two types of actual authority: express and implied authority.

- **Express actual authority** arises from the instructions which have been given to the agent, stating what is required and what is allowed. These instructions form part of the agency agreement and may be oral or in writing. If the instructions are ambiguous, the agent should seek clarification from the principal. However, if the principal cannot be contacted, no liability will fall on the agent provided that the agent acted in good faith and interpreted the instructions in a reasonable way, even if it was not the way the principal intended.
- **Implied actual authority** is authority to do anything which is incidental to, or necessary for the carrying out of the agent's express instructions. An agent may also have implied authority to perform those acts which are usually performed by persons in the agent's position or usual in a particular trade or profession. This is known as usual authority (or customary authority).

5.4.2 Apparent (or Ostensible) Authority

This arises where the agent has no real authority to do the act in question. However, it appears in the eyes of the third party that they have such authority and are therefore able to bind their principal.

A principal is bound not only by acts which are within the actual authority of the agent but also by acts which are within the authority they appear to have. The principal can be held liable on the grounds of apparent authority even if the agent acted fraudulently and for his own benefit.

Apparent authority arises only when the principal gives the agent the appearance of authority. The principal must make some representation, by word or conduct to the third party that the 'agent' is entitled to act on their behalf and the third party must rely upon the representation.

Apparent authority can arise in cases where:

- the principal has restricted the authority of a validly appointed agent;
- the apparent agent has never been appointed at all; and
- unknown to the third party, the authority of the agent has been terminated.

5.5 Insurance Contracts Formed through an Agent

When agents are engaged to bring about contracts with third parties, the effect of their actions will depend on whether or not the existence of the principal is **disclosed** or **undisclosed**. For example, a person who is authorized by a licensed insurer to be its insurance agent and who solicits or negotiates a contract of insurance in that capacity shall be deemed, for the purpose of the formation or variation of the contract of insurance, to be the **agent of the insurer** and the knowledge of that insurance agent shall be deemed to be the knowledge of the insurer.

5.6 Termination of Agency

The principal and agent relationship may be terminated by act of the parties or by operation of law as follows:

- by notice of *revocation* given by the principal to the agent;
- by notice of *renunciation* given to the principal by the agent;
- by the *completion* of the transaction where the authority was given for that transaction only;
- by *expiration* of the period stipulated in the contract of agency;
- by *mutual agreement;*
- generally, by *death, lunacy* or *bankruptcy* of the principal or the agent; or
- by *operation of any law* which renders the contract of an agent illegal.

5.7 List of Prohibited Business Conduct

Schedule 7 of the Financial Services Act 2013 comprising the list of prohibited business conduct would apply equally to insurers and insurance intermediaries including agents as follows:

1. Engaging in conduct that is misleading or deceptive, or is likely to mislead or deceive in relation to the nature, features, terms or price of any financial service or product.
2. Inducing or attempting to induce a financial consumer to do an act or omit to do an act in relation to any financial service or product by:-
   a) making a statement, illustration, promise, forecast or comparison which is misleading, false or deceptive;
   b) dishonestly concealing, omitting or providing material facts in a manner which is ambiguous; or
   c) recklessly making any statement, illustration, promise, forecast or comparison which is misleading, false or deceptive.
3. Exerting undue pressure, influence or using or threatening to use harassment, coercion, or physical force in relation to the provision of any financial service or product to a financial consumer, or the payment for any financial service or product by a financial consumer.
4. Demanding payments from a financial consumer in any manner for unsolicited financial services or products including threatening to bring legal proceedings unless the financial consumer has communicated his acceptance of the offer for such financial services or products either orally or in writing.
5. Exerting undue pressure on, or coercing a financial consumer to acquire any financial service or product as a condition for acquiring another financial service or product.
6. Colluding with any other person to fix or control the features or terms of any financial service or product to the detriment of any financial consumer except for any tariff or premium rates or policy terms which have been approved by the Bank.

5.8 Self-Assessment Questions

1. Which of the following is NOT true about the role of an insurance agent?

a) Responsible for the sales of insurance products and services

b) Considered to be the agent of the insurer and bound to the insurer he represents

c) Represents many insurers and shops for an insured

d) Assists the insured in submitting covered claims for payment

2. Under which circumstances can agency be terminated?

I. By the completion of the transaction where the authority was given for that transaction only

II. By expiration of the period stipulated in the contract of agency

III. By mutual agreement

IV. By death, lunacy or bankruptcy of the principal or the agent

V. By operation of any law which renders the contract of an agent illegal

a) I , II and III

b) II, IV and V

c) II, III and IV

d) I, II, III, IV and V

3. Under what circumstances, if any, can an agent delegate a task to someone else?

a) Under no circumstances. An agent must always perform his duties and tasks personally.

b) Where the agent has the status of a del credere agent

c) Where the work delegated is purely clerical

d) Where the sub-agent has himself acted as an agent for the principal in a previous transaction

4. How is the relationship between an insurer and an agent created?

I. By agreement or consent

II. By ratification

III. By necessity

IV. By statute

a) I, II and III

b) I and II

c) II and III

d) I, II, III, IV and V

5. Which of the following statements describes an agent's right to indemnity?

a) If an agent does what is asked of him under the agreement, he has the right to be paid for his services.

b) If an agent arranges an insurance contract on behalf of his principal, both agent and principal are entitled to indemnity under the contract.

c) If an agent expends money in the course of his duties, he is entitled to be reimbursed by his principal.

d) If an agent commits the principal to expenditure under the contract, the agent is liable if the principal fails to pay.

6. It would be unlawful for an agent to

I. engage in conduct that is misleading or deceptive.

II. exert undue pressure or coerce a financial consumer to buy a product.

III. eisclose confidential information obtained in the course of his duties as an agent to parties other than his principal.

IV. eemand payments from a financial consumer.

a) I and II

b) I, II and IV

c) III and IV

d) I, II, III and IV

7. In which of the situations stated below is the agent working for the insurer and NOT the customer?

a) Agent seeks a quotation for an insurance policy

b) Agent relays the price quoted by underwriters to the customer

c) Agent confirms to the underwriter that the quotation has been accepted

d) Agent collects the premium from the customer and passes it on to the insurer

8. Which of the following statements is NOT true about actual authority?

a) Actual authority may be express or implied

b) Express actual authority may be oral or in writing

c) Authority that may appear to be apparent

d) Implied actual authority is also termed usual authority or customary authority

9. An insurance agent is a person who does any of the following EXCEPT

a) act on behalf of an insurer in the issuance, renewal or continuance of a policy.

b) arrange an insurance contract on behalf of his principal.

c) delegate his duties to a sub-agent.

d) act on behalf of an insurer in negotiating policy terms.

10. Which of the following is NOT a valid remedy for a principal if the agent fails in his duties?

a) Sue the agent for damages for breach of contract

b) Terminate the insurance policies sold by the agent

c) Dismiss the agent without notice or compensation for a serious breach

d) Rescind any contract made through the agent and refuse commissions if the breach is fraudulent

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 6 Medical and Health Insurance

6.1 Introduction

Medical inflation, increase in the utilisation of medical services and changing demographics have resulted in significant developments in the medical and health insurance sector in Malaysia. Total expenditure on healthcare has continued to experience an increasing trend, with a greater number of Malaysians turning to private insurance to finance their healthcare expenditure. Structural changes have also taken place, most evident in the broadening range of medical and health insurance products, and providers with the emergence of managed care organisations as an increasingly important feature in the financing and delivery of healthcare.

Medical and health insurance (MHI) in Malaysia is written by both life and general insurance companies, as a *stand-alone policy* (solely against medical expenses). A licensed life insurer however may also sell MHI as a rider or supplementary cover to a life insurance policy. Group medical and health insurance is also becoming popular with employers as it complements employees' health benefit compensation package.

6.2 Types of Medical and Health Insurance (MHI) Products

An MHI policy is generally defined as a policy of insurance on disease, sickness or medical expense that provides specified benefits against risks of persons becoming totally or partially incapacitated as a result of sickness or infirmity. The benefits may take the form of the reimbursement of medical expenses incurred by the policy owner, a lump sum payment of the sum insured, or payment of an allowance or income stream at regular intervals for the period that the policy owner is incapacitated and/or hospitalised.

6.2.1 Medical Expense or Hospital and Surgical Insurance (HSI)

A hospital and surgical insurance (HSI) policy provides **reimbursement of medical expenses** incurred by the policy owner for necessary medical treatment due to illness, sickness, disease or injury.

For example, the following table lists the "*Benefits*" which are usually covered by a HSI policy but the list is *not* exhaustive while the figure given for "*Inner Limit*" are just example amounts.

Benefits (Limit Per Disability)	Inner Limit (RM)
1. Hospital Room and Board (daily maximum up to 120 days)	300
2. Intensive Care Unit (daily maximum up to 20 days)	400
3. Hospital Supplies & Services	4,000
4. Pre-Surgical Diagnosis & Consultation	600
5. Surgical fees including anaesthetist fees & operating theatre fees (subject to Schedule of surgical procedures)	31,000
6. Pre-Hospital Diagnosis & Consultation	600
7. In-Hospital Physician's Visits (daily maximum up to 60 days)	200
8. Post-Hospital follow-up (within 31 days following discharge)	600
9. Ambulance Fees	250

With additional premium, The HSI policy can also be extended to include other benefits such as:-

- Overseas cover
- Accidental death benefit
- Outpatient day care surgery and consultation
- Daily cash allowance at government hospitals
- Outpatient cancer treatment or kidney dialysis
- Organ transplant
- Insured child's daily guardian allowance

6.2.2 Critical Illness (CI) or Dread Disease Insurance

A critical illness (CI) policy provides a **lump sum payment of the sum insured** upon diagnosis of any of the (36) dread diseases or illnesses specified in the policy. This is to assist the insured to defray the substantial cost of medical care to treat a chronic or debilitating disease. Some products are designed exclusively for certain segments of the population such as females in the case of female-related illnesses such as breast or ovarian cancer. Others include juvenile cancer riders to provide protection against critical illnesses common among children.

6.2.3 Disability Income Insurance

The disability income insurance policy is intended to replace occupational income lost as the result of a disabling accident or sickness. The objective is to give the disabled insured an **income stream to replace wages lost** due to the disability. Generally, the maximum amount of disability income that can be purchased is 60% to 70% of occupational earnings.

6.2.4 Hospital Income Insurance

A hospital income insurance policy will make **payment of an allowance** on a daily, weekly or monthly basis (subject to an annual limit), as the result of hospitalisation of the insured due to illness, sickness or injury. It is sold as a stand-alone policy or as a rider to a life or medical and health insurance policy. The insurance pays a pre-agreed amount of allowance for each day the insured person is hospitalised.

6.3 Emergence of Managed Care Organisations

Managed Care Organisations (MCOs) specialise in the management and administration of healthcare systems. Insurers, to a certain extent, have relied on the services of MCOs to increase administrative efficiencies and curb rising claims costs by exercising some form of control over the utilisation of medical services by policy owners to conform to normative or clinical-based standards.

MCOs are required to register with the **Ministry of Health** and are not directly regulated by Bank Negara Malaysia (BNM). However, an insurer must obtain the approval of BNM to engage the services of an MCO for the management of its MHI claims which is regarded as a core insurance activity. Under almost all of these arrangements, MCOs do **not** have the authority to approve or settle claims. The prior approval of such arrangements has enabled BNM to institute regulatory measures to ensure proper dealings between insurers and MCOs, and by extension, policy owners.

In 2001, insurers were prohibited from selling group MHI policies to MCOs which covered their members under multi-level marketing schemes. The move followed reports of MCOs which had failed to remit premiums received from their members to insurers, hence depriving members of cover which they thought they had purchased. The sale of MHI insurance policies bundled together with other healthcare services provided by MCOs under medical-card facilities which were offered to the public was also prohibited. This was aimed at ensuring transparency in price and benefits relating to MHI covers purchased and eliminating the forced sale of MHI policies.

6.4 Regulations Applicable to Medical and Health Insurance

Regulations implemented by Bank Negara Malaysia (BNM) are intended to enhance access to healthcare through private insurance while containing costs to promote long-term sustainability of the private health insurance sector. In addressing some of the key challenges, the regulators have issued the Guidelines on Medical and Health Insurance Business, and the Guidelines on Product Transparency and Disclosure in the sale of medical and health insurance products to reduce mis-selling and misrepresentation to consumers.

6.4.1 Guidelines on Medical and Health Insurance Business (Revised)

The revised Guidelines which came into effect on **1 January 2006**, aim to promote more equitable and consistent treatment of consumers covered under MHI policies issued by both general and life insurance companies in Malaysia. The Guidelines stipulate the minimum standards that must be observed by insurers in relation to policy terms and coverage, setting of premium rates, exclusions and limitations to core benefits.

6.4.2 Guidelines on Product Transparency and Disclosure

To enhance consumer awareness and enable consumers to make informed decisions in the purchase of MHI products, product disclosure and transparency in the sale of MHI policies was improved further with the revised Guidelines which came into effect on **1 January 2010.**

The Guidelines must be read together with Schedule 8 of the Financial Services Act 2013 (FSA) on '**Disclosure Requirements**' which states:-

"No person shall invite any person to make an offer or proposal to enter into a contract of insurance without disclosing:

a) the name of the licensed insurer;
b) his relationship with the insurer; and
c) the premium charged by the licensed insurer"

"No person shall arrange a group policy for persons in relation to whom he has no insurable interest without disclosing to that person:

a) the name of the licensed insurer;
b) his relationship with the insurer;
c) the conditions of the group policy; including the remuneration payable to him; and
d) the premium charged by the licensed insurer"

For other group MHI policies where the group policy owner has insurable interest, the insurer should ensure that the disclosures are made to the master policy owner.

6.4.3 Requirements under Guidelines on Medical and Health Insurance Business to Enhance Policy Owner Protection

- Insurers must provide a mandatory minimum "free-look" period of 15 days for policy owners to review the suitability of a newly purchased policy before confirming their purchase.
- Standard definitions are to be used for key policy terms and conditions where applied to facilitate comparability between products and minimise public confusion over coverage due to variations that may not be apparent to policy owners at the point of purchase.
- Insurers are not permitted to unilaterally terminate cover during the period of insurance (for example, following a change in the health profile of a policy owner).

- The waiting or qualifying period before a policy owner is entitled to claim for benefits (e.g. 30 days from policy inception) is to be reduced.
- The exclusion of cover for pre-existing conditions must be in relation to medical conditions which a policy owner must have been reasonably aware of at the time of purchase of the MHI policy.
- Premium increases imposed on higher-risk individuals must be suitably moderated based on the aggregate experience of the portfolio.
- Proposal forms must include reasonably specific questions to prompt prospective policy owners to provide relevant information to an insurer for underwriting purposes before an insurer can repudiate a claim on grounds of non-disclosure.
- Information sheet containing key product features, including but not limited to, information regarding the terms of issue, major benefits and limitations and indicative premium rates, must be furnished to policy owners at the point of sale.
- Cost-sharing provisions shall not be mandatory and where applicable, shall be limited to the lower of 20% (excluding deductibles) or RM3,000 (inclusive of deductibles) on every claim, and shall not be mandatory.

6.5 Underwriting Policies and Procedures

An insurer is required to establish clearly defined underwriting policies which shall be applied consistently for its medical and health insurance business. The underwriting policies should, at a minimum, address:-

- Parameters for risk evaluation and selection;
- Categories of risk that the insurer is prepared to accept or is restricted from accepting;
- Circumstances under which further medical investigations and/or documentation is required prior to acceptance of risks and the types of investigations or documentation required;
- Underwriting authority limits;
- Concentration limits, including concentrations arising from exposures to specific health characteristics, occupations, individuals or groups; and
- Required staff competencies, having regard to the need for specialist knowledge or relevant experience, for the underwriting of MHI business.

6.5.1 Risk Evaluation and Selection

The process of risk evaluation involves scrutinising information provided by an applicant to make an informed judgment in the selection and pricing of the risk. The proposal form includes specific questions in relation to the following underwriting factors:-

1. **Medical history including family history** such as diabetes or haemophilia (slow blood clotting) and current physical condition such as height and weight are important considerations in underwriting. An adverse medical history may prompt an underwriter to seek additional information or charge a higher premium.

2. **Financial situation** is an important consideration in determining the appropriate level of insurance coverage especially in the case of disability income insurance as an exceptionally high disability income benefit may discourage the policyholder from returning to work and increase the tendency of extending the period of disability for the purpose of benefiting from insurance (known as malingering).
3. **Occupational hazard** increases the chance of work-related injuries and diseases which in turn affect the premium rates particularly for disability income insurance. Typically, occupational classification is used to categorise low to high hazard. Class 1 is confined to sedentary and administrative jobs and Class 2 to occupations which require moderate physical activity or field work such as restaurant workers. Class 3 applies to workers engaged in manual or skilled work such as electricians, plumbers and mechanics and Class 4 to construction workers and agricultural labourers.
4. **Age and gender** are important considerations in medical and health insurance as age increases the rate of morbidity (i.e. the incidence or prevalence of a disease) and statistics indicate that females have a higher rate of morbidity compared to their male counterparts.

6.5.2 Further Medical Investigations and/or Documentation

Circumstances under which further medical investigations and/or documentation is required include an applicant considered to be an impaired risk with adverse medical history. Evidence of the medical condition or history which increases the probability of a recurrence or prolong the recovery period will be required prior to acceptance of the risk and underwriters will specify the types of investigations or documentation required.

For example, if an applicant is receiving medical attention for elevated blood pressure, he will be required to disclose the name of the attending physician or obtain a statement from the physician to enable the underwriter to make a proper evaluation. An applicant with a recent history of a peptic ulcer, for example, is more likely to be admitted to hospital for ulcers in the future than someone who has never had a history of ulcer. On the other hand, if the applicant had been receiving treatment for a broken arm which had subsequently healed, no further information will be required by the underwriter.

6.5.3 Risk Classification

Upon assessment, the risk may be classified into the following categories:

1. **Standard** - normal risk, acceptable by standard policy terms and premium rates;

2. **Sub-standard** - higher than normal risk, acceptance is made subject to special terms, higher premiums or limitations in coverage or both;
3. **Decline** - unacceptable risk due to adverse claims history, poor medical condition or dangerous occupation or sports such as professional racing.

6.5.4 Modification to Policy Benefits and Coverage

In dealing with sub-standard risks or high-risk individuals, underwriters have several methods to avoid anti-selection. More restrictive terms may be imposed if there is doubt on the overall desirability of the risk and if the physical and moral hazards indicate that standard cover can only be granted with extra premium loadings:

1. Pre-existing or inherent illness such as hypertension or an unusually hazardous activity (such as underwater diving) will be excluded from the coverage. The **'exclusion endorsement'** depends on the nature and severity of the impairment and the underwriting policy. The impact of such exclusions to the policy owner is that he will be denied the very protection he needs and will result in dissatisfaction and loss of confidence in the insurance company. On the other hand, the use of such exclusions is an alternative to charging higher premiums and provides the impaired person with coverage, although limited in form.
2. Certain medical conditions such as cardiovascular disorders resulting from high blood pressure, diabetes or obesity are too complicated to be excluded. Hence coverage may be granted by imposing **extra-premium or loading**. Payment of additional premium in return for full coverage (without exclusion) is generally more acceptable to the applicant.
3. Modification to medical and health insurance coverage is called **'benefit limitations'** where the amount of benefit payable is reduced or the payment period of disability income is shortened, or a larger deductible is imposed on medical expense policy for high-risk individuals.

6.6 Group Medical and Health Insurance

Group MHI policies mainly cater for healthcare benefits provided by employers, which comprise an essential component of an employee's remuneration package. The healthcare benefits provided by employers may be arranged on reimbursement basis or by payment of the medical expenses incurred for hospitalisation and surgery directly to the hospital. In this regard, employers contribute a significant portion in financing healthcare expenditure in the country.

6.6.1 No Individual Risk Evaluation or Selection

All eligible employees or members (of an association or club) can be covered and premium is based on the group size and key characteristics such as occupation class, average age band, claims

experience and overall profitability of the account. A loading will be imposed for expenses (if the services of an MCO are used) and for catastrophes (severe losses from a single event) to sustain continued coverage in the future.

6.6.2 Contributory or Non-Contributory Insurance

A group medical and health insurance may be on a contributory or non-contributory basis. A non-contributory plan covers *all* eligible employees or members where the premium is paid by the group policy owner or employer. A contributory plan requires the participation of at least seventy-five percent (75%) of eligible group members, where the premium may be partly subsidised or contributed in full by the member or employee.

6.6.3 Insurable Interest of Group Policy Owner

An insurer is liable to the person insured under a group policy if the group policy owner has no insurable interest in the life of that person insured and if that person has paid the premium to the group policy owner regardless that the insurer has not received the premium from the group policy owner. The benefits, rights and obligations of the persons insured are contained in the master policy. If the group policy owner has no insurable interest in the persons insured, the insurer is required to provide details of such coverage, rights and obligations to each of the persons insured.

6.7 Cost Containment Measures

A hospital and surgical insurance (HSI) policy is generally issued on "as charged" basis which means the policy will reimburse the actual cost incurred or charged by health care providers for medical expenses (other than room and board), subject to the "reasonable and customary charges" condition and "limit per disability" and/or an "overall annual limit".

However, "as charged" policies opened the flood gates to abuse and claims fraud and drove insurers to implement cost control measures to curtail rising claims cost and prevent claims leakage. By imposing limitations to the amount of benefits payable, insurers were able to better manage claims cost, obtain insight into the source of claims so that premium pricing commensurates with risk.

The following are examples of limitations applied to core benefits of the HSI policy:

1. **Inner Limits;**
2. **Schedule of Surgical Procedures;**
3. **Maximum Period of Compensation; and**
4. **Time Frame**

Benefits (Limit Per Disability)	Inner Limit (RM)
• Hospital Room and Board (**daily maximum up to 120 days**)	**300**
• Intensive Care Unit (**daily maximum up to 20 days**)	**400**
• Hospital Supplies & Services	**4,000**
• Pre-Surgical Diagnosis & Consultation	**600**
• Surgical fees including anaesthetist fees & operating theatre fees (**subject to schedule of surgical procedures**)	**31,000**
• Pre-Hospital Diagnosis & Consultation	**600**
• In-hospital Physician's Visits (**daily maximum up to 60 days**)	**200**
• Post-Hospital Follow-up (**within 31 days following discharge**)	**600**
• Ambulance Fees	**250**

MHI policies may pay for expenses from the first dollar or may impose some form of deductible or co-sharing so that premiums become more affordable. A basic hospitalisation and surgical insurance policy usually pays from the first dollar. Major medical expenses policies generally pay amounts above a pre-agreed deductible. In the case of an upgraded 'room and board' (higher than the policy benefit), a co-payment is required from the insured for the extra expense.

- **Deductible** is a fixed amount the policyholder must first pay regardless of the total cost of an eligible benefit. If a deductible of RM 3,000 is selected, the policyholder will have to pay the first RM 3,000 of the total cost of an eligible benefit (excluding cost of daily room and board) and the remaining balance will be paid by the insurer up to the annual limit.

- **Cost-sharing** provisions shall **not** be mandatory and where applicable, shall be limited to the lower of 20% (excluding deductibles) or RM 3,000 (inclusive of deductibles) on every claim, and shall not be mandatory.

6.8 Renewal of Medical and Health Insurance

6.8.1 For existing MHI policies which are renewable, the insurer shall:-

a) In relation to polices renewed with **modified terms and conditions**, notify the policy owner of its decision to modify the terms and conditions and the reasons for the modifications, at least 30 days before the policy anniversary date; and

b) In relation to policies which will **not be renewed**, or for which the renewal is to be deferred, notify the policy owner of its decision to decline or defer renewal, together with reasons where appropriate, at least 30 days before the policy anniversary date.

6.8.2 For continuity of coverage, the insurer shall not:-

a) **Unilaterally terminate** an MHI policy during the period of insurance;
b) **Refuse to renew cover for a risk already insured** by it solely because the policy owner has made a claim in the preceding year. However, an insurer may, upon renewal, modify the terms and conditions of cover, or specifically exclude the condition or disability which gave rise to a previous claim, and
c) **Refuse to renew a policy that is guaranteed renewable** except where conditions for non-renewal as approved by the Bank exist, and the conditions have been clearly disclosed to the policy owner. In the case of HSI policies, such conditions shall be limited to the applicable conditions for guaranteed renewable policies stipulated in the HSI Guide.*

Ensuring continuity of coverage is intended to secure a degree of certainty for policy owners, particularly the more vulnerable (usually higher risk) policy owners who are likely to face significant difficulties replacing their insurance coverage at reasonable cost. A policy owner, however, shall retain the right to cancel the policy at any time by giving written notice to the insurer, and in the case of HSI policies, shall be entitled to a refund of premiums according to the refund schedule stipulated in the HSI Guide.

**Note: The 'HSI Guide' refers to the Hospital and Surgical Insurance Guide adopted by Persatuan Insurans Hayat Malaysia (LIAM) and Persatuan Insurans Am Malaysia (PIAM).*

6.9 Automatic Termination of a Policy

A medical and health insurance policy is automatically terminated at the earliest happening of the following events:

1. **Exhaustion of the annual limit or lifetime limit stipulated in the policy terms**
2. **On the policy anniversary date following the insured's maximum eligibility age**
3. **On the death of an insured person**

6.10 Personal Income Tax Exemption

A tax relief of **RM 3,000** for the purchase of Medical and Health Insurance (MHI) and education policies is allowed (since 1996). The initial tax allowance of RM 2,000 was increased to the current limit in 2000. The tax allowance serves as an incentive to individuals resident in Malaysia to purchase MHI policies as the tax allowance is in addition to the RM 6,000 deduction from taxable income allowed in respect of life insurance premiums and other approved contributions such as the Employees Provident Fund (EPF).

To qualify for the tax allowance, proof of such premium payment is required by the Inland Revenue Board and the policyholder is required to file the relevant receipts for tax auditing and verification purposes.

6.11 Self-Assessment Questions

1. Which of the following events does NOT automatically terminate a medical and health insurance policy?

a) Exhaustion of the annual limit or lifetime limit stipulated in the policy
b) The anniversary date following the insured's maximum eligibility age
c) Breach of a policy condition
d) The death of an insured person

2. What are the various methods used by insurers to contain medical claims cost and inflated claims?

I. Inner limits
II. Schedule of surgical procedures
III. Maximum period of compensation
IV. Time frame
V. Deductible or Cost – Sharing option

a) I and II
b) II, III and IV
c) I, II, III and IV
d) I, II, III, IV and V

3. Which of the following is NOT a Medical and Health Insurance Product?

a) Hospital and surgical insurance
b) Critical illness or dread disease insurance
c) Permanent disability income
d) Disability income insurance

4. Which of the following is NOT an option with the renewal of a medical and health insurance policy?

a) Notify the insured that renewal is on a level premium
b) Notify the insured that renewal is with an increased premium
c) Notify the insured 30 days before the policy anniversary that policy is not renewed
d) Refuse to renew a policy that is guaranteed renewable

5. What benefits are payable under a hospital income insurance policy?

a) Income stream to replace a portion of the pre-disability income if insured is not able to work due to illness
b) Fixed allowance on regular intervals due to hospitalisation caused by illness or injury
c) Reimbursement of medical expenses due to hospitalisation caused by illness or injury
d) Lump sum payment of sum insured upon diagnosis of any of the 36 dread diseases

6. What is the best option available to an insurer in dealing with a previous claim under an existing medical and health insurance policy?

a) Impose more restrictive terms and limitations
b) Specifically exclude the condition or disability which gave rise to a previous claim

c) Refuse to renew cover because the policy owner has made a claim in the preceding year
d) Charge extra premium loading and surcharge

7. What is the main purpose of the revised Guidelines on Medical and Health Insurance Business?

a) To increase premium rates on higher-risk individuals
b) To reduce escalating claim costs
c) To prescribe minimum standards to be observed by life and general insurers
d) To introduce new limitations on core benefits

8. Which of the following is NOT a role of Managed Care Organisations (MCOs) in Malaysia?

a) Administer hospital admission and discharge for HSI policies
b) Approve and settle MHI claims promptly on behalf of the insurer
c) Administer MHI claim transactions between policyholders and health care providers
d) Ensure utilisation of medical services conform to clinical-based standards

9. Why is it important to use standard definitions for key policy terms and conditions in MHI policies?

a) To promote competition in product pricing
b) To minimise public confusion and facilitate comparison between products
c) To unilaterally exclude pre-existing conditions from policies
d) To enhance customer service and marketing of health products

10. Which of the following circumstances does NOT require further medical investigations and/or documentation in underwriting medical and health insurance?

a) An impaired risk with adverse medical history
b) A pre-existing condition which increases the probability of a recurrence
c) A medical condition which is capable of prolonging the recovery period
d) An accidental injury which had caused temporary disablement

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 7 General Insurance Business

7.1 Introduction

All insurance business other than life insurance is termed General Insurance. In Malaysia, an insurance company must be authorised under the Financial Services Act 2013 (FSA) to carry out general insurance business. General insurance mainly comprises annual or short term contracts with variable premiums based on the nature of the risk to be insured, the overall experience of a particular class of business (motor or non-motor), or a portfolio of risks within the same class (motor third party liability risks). General insurance is specifically designed for the indemnification of financial loss and to restore a policy owner to the same financial position he occupied immediately before the loss. General insurance or non-life insurance is broadly segregated into motor and non-motor.

7.2 Motor Insurance

The **Road Transport Act 1987** (RTA) regulates motor vehicles and traffic on roads in Malaysia and enforces compulsory insurance. Section 90 (1) of the RTA states that: '*it shall not be lawful for any person to use or to cause or permit any other person to use, a motor vehicle unless there is in force a policy of insurance or such other security in respect of third party risks*'.

Why is motor insurance made compulsory by law?

- To make available funds needed to compensate victims of road accidents.
- To ensure funds are readily available when damages are awarded by the courts.
- To ease the Government's financial burden and to protect national interest.

What is the penalty for contravention of the law?

Section 90(2) of the RTA states that a person who contravenes this section of the law shall be guilty of an offence and liable to a *fine not exceeding RM1,000* or *3 months imprisonment* and if the court deems fit, the offender will be *disqualified from holding a driving licence for 12 months* from the date of conviction.

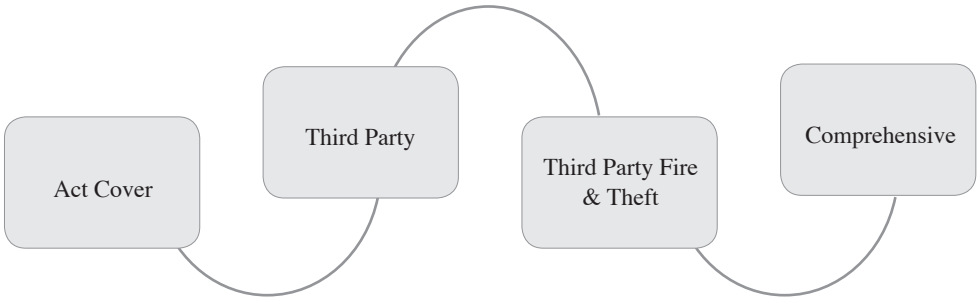
What is the minimum cover required by law?
Section 91(b) of the RTA states that a policy of insurance must be issued by an 'authorized insurer' to cover **liability for death or bodily injury to any person** caused by or arising out of the use of the vehicle or land implement drawn on a road.

What is the definition of a 'road' under the law?
The RTA defines 'road' to mean *any public road and any other road to which the public has access (i.e. including private roads)*. 'Road' also includes bridges, tunnels, lay-bys, ferry facilities, interchanges, roundabouts, traffic islands, road dividers, all traffic lanes, acceleration lanes, deceleration lanes, side-tables, median strips, overpasses, underpasses, approaches, entrance and exit ramps, toll plazas, service areas, and other structures and fixtures to fully effect its use, and a road under construction.

7.2.1 Classification of Motor Vehicles

Private Car	Commercial Vehicles	Motor Cycles
• Used for solely domestic and pleasure purpose and insured's own business only. • Excludes use for hire and reward, racing, reliability trials, speed testing, tuition, carriage of goods other than samples, carriage of passengers for hire and reward, etc.	• Used for the carriage of goods: private goods carrier ('C' permit) or public goods carrier ('A' permit). • Public hire taxis • Private hire: self drive or chauffeur-driven • Private and public buses and coaches • Special types such as ambulance or hearse • Motor Trade	• Private motor cycles used for social, domestic and pleasure purpose and insured's own business only. • Commercial motorcycles with or without side-cars used for business or trade including carriage of goods but excluding carriage of passengers.

7.2.2 Types of Motor Insurance Coverage



1. **Act Cover** is the minimum statutory insurance prescribed by the Road Transport Act 1987 (RTA). The term 'Act' implies that the insurance policy is issued in accordance with the requirements of the RTA, which is to cover **liability for death or bodily injury to any person** arising from the use of a motor vehicle on a road. In Malaysia, 'Act Cover' is *not sold as a policy* but is provided together with *third party* insurance which includes liability for property damage. A main reason for this is the low premiums and the high risk of providing unlimited third party liability for bodily injury claims.

2. **A Third Party** policy insures **liability for property damage** in addition to liability for death or bodily injury to any person arising from the use of a motor vehicle on a road. While third party insurance premiums are higher than those for Act Cover, they are very much lower than those for comprehensive policies. Because of its low premiums, third party cover is sought after mainly by owners of older vehicles (since their value is low anyway) while insurers become more selective in providing third party insurance because the premiums do not commensurate with long-tailed liability risks. Cost of claims invariably escalates as claim reserves, eroded by inflation, have to increase with time and in line with the trend of large court awards for personal injury claims.

3. **Third Party, Fire and Theft** insurance covers **loss of or damage to the insured vehicle as a result of fire or theft** in addition to third party insurance described above. The premium rate for the coverage is 75 percent of the premium charged for comprehensive insurance and is favoured by consumers who wish to save on premiums and still enjoy wider coverage than third party insurance.

4. **Comprehensive** insurance is the widest form of cover available and caters for newer vehicles, in particular those under hire purchase or finance. As the term 'comprehensive' suggests, the scope of cover is for **any loss of or damage caused by specified perils** which includes accidental collision or overturning including collision or overturning *consequent upon wear and tear or mechanical breakdown*. The policy comprises two sections: one covers loss of or damage *to* the insured vehicle and the other covers third party liability arising *from* the use of the vehicle.

7.2.3 Private Car Comprehensive Insurance

Scope of Cover:

Section A- Loss Or Damage To The Vehicle caused by:	
a)	accidental collision or overturning;
b)	collision or overturning caused by mechanical breakdown or wear and tear;
c)	impact damage caused by falling objects *provided no* flood, typhoon, storm, volcanic eruption, earthquake, landslide, subsidence or other convulsion of nature is involved;
d)	fire, explosion or lightning;
e)	burglary, housebreaking or theft;
f)	malicious act;
g)	when in transit (including its loading or unloading) by:
	i. road, rail or inland waterway
	ii. direct sea route across the straits between the island of Penang and the mainland
Section B- Liability To Third Parties Causing:	
a)	death or bodily injury to any person for unlimited liability
b)	damage to property as a result of an accident limited to RM3 million any one claim

Main Exclusions

- death or bodily injury to any passenger being carried for hire or reward or to any person where such death or injury arises out of or in the course of employment by the insured or his authorised driver.
- Loss, damage or liability arising from flood, typhoon, hurricane, storm, tempest, volcanic eruption, earthquake, landslide, landslip, subsidence or sinking of the soil/earth or other convulsion of nature is involved.
- Loss, damage or liability if the vehicle is used for any motor sport or competition (other than treasure hunts), reliability trials, hill climbing tests and rallies.
- Claims, legal costs and expenses outside Malaysia, Singapore or Brunei.

Extra Benefits

These are 'buy-back' options in respect of certain exclusions on payment of additional premiums. The table below summarises the extra benefits and their respective premium rates:

Extra Benefits	Additional Premium
1. **flood, windstorm, rainstorm, typhoon, hurricane, volcanic eruption, earthquake, landslide, etc.**	▸ 0.5% of the sum insured or minimum RM15

2.	**breakage of glass in windscreen or windows**	▸ 15% of the value of glass or minimum RM30
3.	**strike, riot and civil commotion**	▸ 0.3% of the sum insured or minimum RM5
4.	**car accessories**	▸ 15% of value of accessories
5.	**tuition and testing purposes for privately owned cars, not owned and operated by a driving institute/school**	▸ 50% of the scheduled premium (without no-claim discount)
6.	**additional named driver**	▸ RM10 each additional driver
7.	**all drivers (private cars issued to a company or business organization)**	▸ RM50 per vehicle
8.	**liability to passengers**	▸ 25% of third party premium (additional RM10 for every seat exceeding 5 including driver)
9.	**liability of passengers for acts of negligence**	▸ RM7.50 per vehicle

Policy Excess

An excess is the first amount that must be borne by the insured in the event of a claim. Imposing a policy excess will avoid small (petty or frivolous) claims which are expensive to administer. An excess also acts as a deterrent to ensure the insured acts as if he was uninsured to prevent a loss since he will have to bear the first portion of the claim.

Compulsory Excess - Endorsement 2(f)

In addition to the policy excess, an additional excess of **RM 400** will apply in the event of any claim (other than fire, or theft) arising under Section A of the private car comprehensive policy if the vehicle is being driven by any person who is:-

- under the age of 21 years;
- the holder of a provisional or probationary driving licence;
- not a named driver in the policy;
- the named driver, under the age of 21 years and/or holder of a provisional or probationary driving licence

7.2.4 Commercial Vehicle Insurance

The scope of coverage is similar to private car insurance described earlier except for two additional exclusions, namely *1. Damage caused by overloading or strain; and 2. Damage caused by explosion of any boiler forming part of or attached to or on the insured vehicle*.

7.2.5 Liability to Passengers

Liability to passengers is not compulsory in Malaysia EXCEPT for:-

i. passengers carried for hire or reward (affects public or private buses, coaches or taxis); or

ii. passengers carried by reason of or in the pursuance of a contract of employment with the insured (e.g. employees carried in their employer's vehicle)

In this regard, commercial vehicles, particularly buses and taxis which carry passengers for hire or reward must have compulsory insurance to cover **liability to passengers for death or injuries sustained while travelling including entering or alighting from the vehicle**.

Unlike private car policies, a commercial vehicle policy does **not** include the following policy exclusion: *'death or bodily injury to any passenger, being carried for hire or reward'* under the third party liability section.

However, the commercial vehicle policy **excludes** liability to any person in the following circumstances:-

i. Death or bodily injury to any person where such death or injury arises out of and in the course of the employment of such person by the insured or his authorized driver. For example, bus drivers, conductors or lorry attendants are more appropriately covered by workmen's compensation or employer's liability insurance instead of motor insurance; and
ii. Death or bodily injury to any person being carried in or upon or entering or getting on to or alighting from the vehicle **unless** the person is required to be carried in or on the vehicle by reason of or in pursuance of his contract of employment with the insured, his authorized driver and/or the person's employer. For example, an employee of the insured being carried as a passenger in the employer's vehicle.

7.2.6 Motor Trade

A motor trade insurance policy is also referred to as ***'road risk'*** insurance. It is taken out by motor traders who are engaged in the business of manufacture, repair and dealership of motor vehicles. A motor trade policy provides indemnity only while the motor vehicle is on the road or is temporarily garaged during the course of a journey anywhere within the geographical boundaries and while on the business premises of the insured.

For example, a 'motor trade licence' or motor trade plate is required for each motor vehicle traded or a general licence may be taken out for all motor vehicles in the trader's custody as compulsory insurance for road risk is required if the vehicle is used on a public road.

7.3 Property Insurance

Property insurance covers tangible property such as buildings, machinery, plant, etc. against loss or damage caused by fire, flood

and other extraneous perils. Although the term 'property' includes such things as motor vehicles, ships and aircraft, insurance for such property are dealt with separately by specialised types of insurance such as motor, marine and aviation.

Policy	Property Insured
• Fire and Special Perils	• Buildings, machinery, stock, etc.
• All Risks	• Articles of value
• Business Interruption	• Gross Profit or Revenue
• Houseowners	• Dwelling House or Flat
• Householders	• Household contents and personal effects
• Theft	• Moveable property

7.3.1 Fire and Special Perils

The basic fire insurance policy provides cover for physical loss of or damage to the property insured as a result of:

- ***fire,***
- ***lightning or***
- ***domestic explosion***

Main Exclusions under a Basic Fire Insurance Policy:

- earthquake, volcanic eruption or other convulsion of nature;
- typhoon, hurricane, tornado and the like;
- burning of property by order of any public authority;
- subterranean fire;
- explosion other than explosion of gas used for illuminating and domestic purposes;
- burning of forest, bush, lallang, prairie, pampas or jungle and the clearing of land by fire;
- goods held in trust or on commission;
- bullion or unset precious stones;
- manuscripts, plans, drawing or designs, patterns, models or moulds;
- securities, obligations or documents of any kind, stamps, coins or currency notes, cheques, books of account or other business books or computer systems records;
- explosives;
- loss by theft during or after occurrence of fire;
- loss or damage to property resulting from its own fermentation, natural heating or spontaneous combustion.

In addition to the basic fire, lightning and explosion cover, the fire insurance policy can be extended to include various extraneous or special perils upon payment of additional premiums.

Special Perils

- Aircraft Damage
- Earthquake and volcanic eruption
- Storm tempest
- Flood damage
- Explosion
- Impact Damage
- Bursting or overflowing of water tanks, apparatus, or pipes
- Riot, Strike and Malicious Damage
- Electrical Installation Clause B
- Bush or Lallang Fire
- Subsidence and Landslip
- Spontaneous Combustion
- Damage by falling trees or branches and objects therefrom
- Sprinkler leakage
- Smoke damage

7.3.2 All Risks

All risks insurance is wider in scope compared to fire and special perils insurance because it covers against any '**accidental damage**' as well as '**theft'**. Some all risks policies are issued on '*named perils*' basis, for example fire, water damage, theft and accidental damage while others provide cover for '*any physical loss of or damage by a misfortune not specifically excluded*'.

The all risks policy insures specific property especially articles of value such as jewellery, watches, cameras, artworks, antiques or collectibles, etc. The sum insured is usually on an 'agreed value' basis because indemnification on market value or replacement value may be difficult for such items.

Main Exclusions

- loss or damage consequent upon riot, strike, civil commotion, earthquake or volcanic eruption;
- loss or damage arising from wear and tear, depreciation, gradual deterioration, moth, vermin or from any process of cleaning or restoring any article;
- scratching and breakage of lenses, glass or other brittle substances, mechanical or electrical breakdown or derangement of any mechanical or electrical equipment;
- loss or damage arising from confiscation or detention by customs or other official authorities;
- theft by deception

7.3.3 Business Interruption

Business interruption (BI) policies endeavour to relieve the hardship associated with consequential loss following an event such as a fire. The BI policy covers the loss of 'profits' while the premises

are rebuilt or repaired. It is intended to replace the loss of income as a result of cessation of production during the restoration period. The method of providing indemnity normally used to settle a claim under a BI insurance policy is by cash payment based on a formula.

The formula used takes into account the loss of gross profit due to the reduction (shortage) in turnover (sales) and the additional (increased) cost of working expended to minimize the loss of gross profit.

Definitions:
Gross Profit = (Turnover + closing stock + work in progress) – (Opening stock + work in progress + uninsured working expenses).

Uninsured Working Expenses = purchases, cost of transport, advertisement, water and electricity, etc.

Indemnity Period = beginning from the date of the material damage and ending no later than the number of months specified as the indemnity period.

Sum Insured (SI) = the multiple of the Gross Profit (GP) corresponding to the Indemnity Period (IP). Example: IP = 18 months; SI = Annual GP x 18/12.

The business interruption policy covers consequential losses that arise following material damage which directly results in a necessary interruption of operations. It is quite possible for a small amount of material damage to cause a serious business interruption. For example, lightning or fire may cause minor damage to some equipment but may shut down a production line until the damaged machinery is restored to its working condition. The loss can be aggravated if the spares are unavailable locally and the necessary overseas express freight charges will add cost to minimize the waiting period.

Business interruption insurance EXCLUDES the following types of losses:-

- Loss of production that results from industrial action or sabotage
- Cost of recovering lost reputation
- Loss of customers or business
- Loss of key personnel or skilled manpower
- Loss due to bankruptcy or closure of business
- Loss of goodwill, copyright, trademarks and economic losses

7.3.4 Houseowners Insurance

The houseowners policy is designed to cover buildings occupied as private dwelling houses, flats and apartments used solely for

residential purposes, including fixtures and fittings, garages, out-buildings, walls, gates and fences against loss or damage caused by specified or named perils.

Specified perils under houseowners insurance:

1.	Fire, Lightning, Thunderbolt and Subterranean Fire
2.	Bursting or Overflowing of Domestic Water Tanks, Apparatus and/or Pipes
3.	Theft by actual, forcible and violent means
4.	Explosion
5.	Earthquake and Volcanic eruption
6.	Aircraft and other aerial devices and/or articles dropped therefrom
7.	Impact with any of the buildings by any road vehicles or animals not belonging to or under the control of the Insured or any member of his family
8.	Hurricane, Cyclone, Typhoon, Windstorm
9.	Flood but excluding loss or damage caused by subsidence or landslip
10.	Rent (up to 10% of total sum insured) if building is rendered uninhabitable by an insured peril.
11.	Public Liability up to RM 50,000 including legal expenses with insurer's consent.

Main Exclusions under houseowners insurance policy:

- loss or damage caused by hurricane, cyclone, typhoon, or windstorm to any building under construction, reconstruction or repair; metal smoke stacks, awnings, blinds, signs and other outdoor fixtures and fittings including gates and fences;
- loss or damage caused by subsidence and landslip except where it is occasioned by earthquake or volcanic eruption

7.3.5 Householders Insurance

The householders insurance policy covers household goods and personal effects kept in the private dwelling home or residence. The total value of jewellery, gold and silver articles, etc. is normally restricted to one-third of the total sum insured on contents. The scope of cover is exactly the same as the specified perils from items 1 to 11 of the houseowners insurance policy mentioned above and includes:

12.	Property temporarily removed but remaining in Malaysia, up to 15% of the total sum insured on contents.
13.	Property in transit or on the person but excluding loss or damage by earthquake, volcanic eruption, hurricane, cyclone, typhoon,

windstorm and flood, cover up to 15% of the total sum insured on contents.
14. Breakage of Mirrors excluding hand mirrors.
15. Fatal injury causing death (within 3 months) up to RM 10,000 or one half of total sum insured on contents whichever is lower.
16. Loss or damage caused by any of the insured perils to servants' clothing and personal effects.

Additional Coverage under Householders Insurance:
Main Exclusions under Householders Insurance

- subsidence or landslip except if occasioned by earthquake or volcanic eruption;
- loss or damage to contents resulting from its own fermentation, natural heating and spontaneous combustion

Optional extensions available under houseowners and householders insurance:-

Applicable to houseowners insurance (building policy only)	Applicable to householders insurance (contents policy only)	Applicable to both
• Plate glass exceeding RM500 per piece • Alterations, repairs and additions	• Un-occupancy in excess of 90 days • Full theft cover *(i.e. theft without being accompanied by actual, forcible and violent means)*	• Riot, Strike and Malicious Damage • Subsidence and Landslip • Increased Limits to Public Liability

7.3.6 Burglary Insurance

Theft of property usually arising out of violent entry into or exit from the premises is covered by burglary insurance. The policy provides cover against loss of or damage to insured property usually on a business premises (for example, stocks and materials-in-trade, furniture, office equipment, plants and machinery, and personal effects of employees). Damage to the business premises (either to the building or property insured) following a burglary or housebreaking is covered even if no items were stolen as a result.

Burglary insurance can be insured on full value or on first loss basis:

1. **Full Value** is the actual total value of the property to be insured. Such basis is normally adopted for high value goods that are easily disposable and which can be carted away by thieves in one attempt.
2. **First Loss** sum insured represents the maximum probable loss estimated by the insured considering that the property is heavy or bulky and may be difficult for thieves to remove the

entire lot in one attempt. The first loss sum insured represents a percentage of the actual value or 'full value' of the property at the business premises. A lower percentage, for example 20% of the actual total value will attract a higher premium than a higher percentage of, say 50% as the level of exposure is reduced.

Main Exclusions under Burglary Insurance

- depreciation, consequential loss, loss of market and losses discovered at stock-taking;
- loss or damage occasioned by fire or explosion;
- loss or damage brought about by or in collusion with the insured, members of his household, employees, servants or any person lawfully on the premises;
- loss or damage when the premises are left vacant or abandoned

7.4 Marine Insurance

Marine insurance is one of the earliest forms of insurance and had its humble beginnings in *Edward Lloyd's Coffee House* which became the meeting place for parties in the shipping industry wishing to insure cargoes and ships, and those willing to underwrite such ventures. These informal undertakings eventually led to the establishment of the insurance market called *Lloyd's of London* and several related shipping and insurance businesses. Marine insurers provide cover for known quantifiable risks, mainly hull and machinery insurance for shipowners, and cargo insurance for cargo owners.

The subject matter of marine insurance and their potential exposure to risks are summarized below:

Hull and Machinery	• Sinking, stranding, grounding or capsizing • Collision liability
Cargo and Freight	• Loss or damage caused by perils of the sea, fire, theft and pilferage including while loading, unloading and temporary storage
Ship Builders' Risks	• Loss or damage to vessel in the course of construction.

7.4.1 Marine Hull Insurance

Marine hull insurance covers loss or damage to the vessel and machinery arising from maritime perils as well as salvage costs and limited property damage liability. The terms and conditions of the coverage are spelt out in the Institute Time Clauses – Hulls. Ship Builders' risk policies, on the other hand, protect these same vessels during construction until they are ready for operation.

3/4th Collision Liability

Marine hull insurance covers damage caused by **collisions with other ships** for only ¾ of the liability for such damage (a quarter of such damage is paid by Protection & Indemnity Clubs). The maximum recovery under hull policies, including damage to the insured ship and liability for the damage it had caused is the insured value of the ship.

Protection & Indemnity (P&I)

P&I Clubs provide insurance cover for broader, indeterminate risks, such as third party liabilities that marine insurers usually do not cover. Third party risks include a carrier's liability to a cargo-owner for damage to cargo, a shipowner's liability after a collision, environmental pollution and P&I **war risk insurance,** that is to say legal liability arising out of acts of war affecting the ship.

For example, assume that both vessels in a collision are insured for ¾ collision liability with their hull underwriters and for ¼ with their P&I Clubs. Vessel A is 75% to blame for the collision and vessel B is 25% to blame. Vessel A suffers damage costing $100,000 and vessel B suffers damage costing $200,000.

The payments by each underwriter are illustrated below.

	Vessel A	Vessel B
Per cent to blame	75%	25%
Own damage	$100,000	$200,000
Liability to other vessel	$150,000 (75%x$200,000)	$25,000 (25%x$100,000)
Net settlement	$125,000 paid to B	
Underwriter's pay	$112,500 (3/4 x $150,000)	$18,750 (3/4 x $25,000)
P&I pays	$ 37,500 (1/4 x $150.000)	$ 6,250 (1/4 x $25,000)

Each collision liability underwriter reimburses its share of each vessel's gross liability to the other vessel. In most maritime jurisdictions, the question of responsibility for collisions is determined with reference to the International Regulations for the Prevention of Collisions at Sea, which codify how vessels should conduct themselves in order to avoid collisions. The apportionment of liability between the vessels is normally based on the causative importance of any breaches of these Regulations.

7.4.2 Marine Cargo Insurance

Marine cargo may take the following forms of insurance when using sea or inland waterway transportation:-

1. **Free on Board (FOB) -** risk passed on to the buyer including payment of all transportation and insurance cost once delivered on board the ship by the seller.

2. **Cost and Freight (CFR) -** title, risk and insurance cost passed on to the buyer when delivered on board the ship by the seller who pays the *transportation cost* to the destination port.
3. **Cost, Insurance and Freight (CIF) -** title and risk passed on to the buyer when delivered on board the ship by the seller who pays the cost of *transportation and insurance* to the destination port.

There are three main types of marine cargo policies which would incorporate any one of the following clauses:-

1. Institute Cargo Clause A - All Risks
2. Institute Cargo Clause B - Specific Risks
3. Institute Cargo Clause C - Specific Risks

The perils insured by the respective Institute Cargo Clauses are described below:

Named Perils	Institute Cargo Clauses		
	A	B	C
Sinking, stranding, grounding, capsizing	√	√	√
Fire, explosion	√	√	√
Collision	√	√	√
Overturning, derailment of land conveyance	√	√	√
Earthquake, volcanic eruption, lightning	√	√	X
General Average Sacrifice	√	√	√
Jettison	√	√	√
Discharge of cargo at port of distress	√	√	√
General average and salvage charge	√	√	√
Washing overboard	√	√	X
Entry of sea, lake, river water into vessel	√	√	X
Total loss of package during loading or discharge	√	√	X
Pirates and thieves	√	X	X
Deliberate damage or destruction	√	X	X
Wilful misconduct of the insured	X	X	X
Ordinary leakage, loss in weight or volume, wear and tear	X	X	X

Insufficiency or unsuitability of packing	X	X	X
Inherent vice or nature of the subject matter	X	X	X
Unseaworthiness and unfitness of vessel (when the insured is privy to it)	X	X	X
Insolvency or financial default of carrier	X	X	X
War, strikes, riots and civil commotions	X	X	X
Atomic and nuclear weapons	X	X	X

Marine Cargo Extensions:

The following extensions are provided on payment of additional premiums as prescribed by the Institute of London Underwriters (ILU):-

- Institute War Clause
- Institute Strike Clause

Marine Cargo Exclusions:

- Wilful misconduct of the Assured
- Ordinary leakage, loss in weight or volume, wear and tear
- Improper packing
- Inherent vice
- Delay
- Insolvency or financial default of carrier

7.4.3 Aviation Insurance

Most aviation insurance policies are issued on an **"**all risks**"** basis covering damage to the hull, liability to passengers and public liability.

Generally, for mid-range aircrafts, there are two main types of policies:-

- Hull, spares and third-party liability (usually in combined single limit), and
- War and allied perils

In addition, aviation insurance policies may include cover for the following:

- Freight liability to cover aircraft owner's liability to cargo owners
- Personal accident for crew
- Loss of licence of pilot, flight engineers

Aviation insurance buyers mainly comprise large commercial airliners who may arrange "Fleet Policies" to cover all aircrafts owned or operated by them.

Other buyers may include:

- Corporate/business aircraft owners
- Private owners; and
- Flying clubs

Malaysian risks and Malaysian interests abroad are written collectively by the Malaysian Aviation Pool comprising eight local insurers and four reinsurers with an underwriting capacity of RM393 million. No single insurer has the resources to retain a risk the size of a major airliner, or even a substantial proportion of such a risk. The catastrophic nature of aviation risks can be measured in the number of losses that have cost insurers hundreds of millions of dollars.

The Montreal Convention (formally, the Convention for the Unification of Certain Rules for International Carriage by Air) was adopted by a diplomatic meeting of International Civil Aviation Organization (ICAO) member states in 1999. The multilateral treaty came into force in 2003 and standardizes the rights of passengers on international flights.

7.4.4 Goods in Transit Insurance

Goods in transit insurance covers conveyances of goods as a direct result of domestic sales or purchases. The insurance is normally taken out by the owner of the goods or by a professional carrier or logistics company, who are equally responsible for the goods in their custody. The goods in transit policy usually offer *'all risks'* type of coverage on an annual basis or on each and every transit basis.

Scope of Cover:

- indemnity for physical loss of or damage to goods by fire, accident, theft or pilferage while being conveyed on land by road, rail and inland waterway (e.g. by ferry from the mainland to Penang island); and
- while loading and unloading from the vehicle or trailers and during temporary storage in the ordinary course of transit within the geographical boundaries (e.g. Malaysia and Singapore).

Main Exclusions under Goods in Transit Insurance

- wear, tear and depreciation
- delay, loss of market, consequential loss of any kind;
- theft or pilferage by the insured's employees;
- earthquake and subterranean fire;
- moth, vermin, insects, damp, mildew or rust;
- deterioration and changes by natural causes;
- goods accompanying commercial travellers;

- cargo such as explosives, hazardous chemicals and acids, cash, bank and currency notes, securities, jewellery, and business books,

7.5 Liability Insurance

Liability insurance provides indemnity against claims made by third parties for bodily injury or property damage and, in the case of professional indemnity and directors' and officers' liability insurance, for economic or pure financial loss for which the insured may be held legally liable.

7.5.1 Main Types of Liability Policies and Scope of Coverage

Public Liability	• Covers legal liability of a business enterprise for bodily injury to any member of the public and/or loss of or damage to their property arising from the operation of their business. • Environmental risks are included but only for sudden and accidental pollution liability.
Product Liability	• Covers legal liability of a manufacturer towards third parties who have sustained bodily injury or property damage caused by a defective product. • Indemnity is for losses occurring after the delivery of goods produced.
Professional Indemnity	• Covers legal liability of a professional for financial loss sustained by a third party, particularly his customers, for breach of professional duty of care. • Policy is normally issued on claims-made basis.
Directors' and Officers' Liability	• Indemnity for directors and officers of a company, trust, organization, etc., against their personal liability for financial loss suffered by third parties • as a result of their wrongful acts e.g. imprudent investments.

7.5.2 Difference Between Workmen's Compensation and Employer's Liability

In Malaysia workmen's compensation insurance for *foreign workers* is compulsory under section 26(2) of the Workmen's Compensation Act 1952 (WCA) (amended August 1996), while the Employees' Social Security Act 1969 (ESSA) enforces compulsory contributions to the Social Security Organization (SOCSO) by both employer and employee.

Malaysian workers (earning below RM 3,000 a month) are no longer subject to the WCA from 1 July 1992, but they (both the employer and employee) are required to contribute to SOCSO, which administers the ESSA.

Section 42 of the ESSA prohibits an employee who receives compensation from SOCSO to receive '*any other benefit under any other written laws';* This means that an employee is prohibited from taking his employer to court for additional compensation (more than that provided by SOCSO) even if he can prove negligence of the employer.

Workmen's Compensation	Employer's Liability
• A 'no-fault' system where the employee is not required to prove negligence.	Employee must prove negligence to receive 'full' compensation under common law.
• Provides reasonable redress for economic or financial loss for work-related injury.	Contributory negligence (by the employee) will be considered by the court.
• Uses fixed scales of compensation for medical care, cost of rehabilitation, lost earnings and benefits for surviving dependents.	Common law liability includes general damages such as pain and suffering, loss of amenity and loss of faculty.

Scope of Cover:

Employer's Liability

- Provides indemnity to the employer for damages and defence costs in respect of employer's liability to employees injured in the course of their employment.

Workmen's Compensation Insurance

- Provides payment of compensation to workmen (as per the scale of compensation under the Workmen's Compensation Act 1952) for injury sustained in the course of their employment.

Foreign Workers Compensation Scheme

- Provides payment of compensation to foreign workers for injury sustained in the course of their employment including repatriation expenses and 24-hour Personal Accident coverage (issued by a panel of authorised insurers).

7.6 Miscellaneous Accident Insurance

The types of insurance which may be found in the miscellaneous accident department include personal accident insurance and other policies termed 'pecuniary' (exacted in money or monetary payments) such as money insurance, fidelity guarantee, bonds, etc. which are not specifically covered under motor, property, marine, aviation, liability or engineering insurance.

7.6.1 Personal Accident

Personal accident insurance provides protection against the economic consequences of accidents, usually in the form of loss of earnings. Unlike worker's compensation which is obligatory, the cover provided under personal accident insurance applies not

only to accidents at work but worldwide for accidents of any kind whether at home, while travelling, during leisure time, during sports activities, and in road traffic, and is known as '24-hour cover'.

Personal accident insurance is offered to individuals or to a group of employees in one policy to cover bodily injury caused solely and directly by violent accidental external and visible means which directly and independently of any other cause results in death or disablement.

Extent Of Cover	Benefit
Death	Lump sum payment of the sum insured in the event of accident death.
Permanent Disablement	Lump Sum Payment of the Sum Insured or a Percentage of It for Permanent and Total Disablement (for the Rest of One's Life) Or Partial Disablement Referenced To A Dismemberment Schedule.
Temporary Disablement	Weekly Rate of a Fixed Allowance in the Event of Temporary Disablement from Attending to Usual or Main Occupation, Limited to a Maximum Compensation Period of 104 Weeks.
Daily Hospital Cash Allowance	Daily Rate of a Fixed Allowance in the Event of Hospitalisation due to an Accidental Injury.
Medical Expenses	Reimbursement of Actual Medical Expenses Incurred due to an Accident.

Personal accident insurance does *not* cover death or disablement caused by:

- Suicide, Insanity or under the influence of drugs or intoxicating drinks
- AIDS, Sexually Transmitted Diseases and any illness
- Unlawful Acts
- Flying or navigating an aircraft or crew member
- Armed police or military duty
- Professional sports and hazardous sports
- Pregnancy, childbirth, miscarriage, abortion
- Pre-existing physical or mental defect

7.6.2 Money Insurance

The term "money" includes cash, bank and currency notes, cheques, postal orders, currency, postage and revenue stamps belonging to the insured or for which he is legally responsible. Money insurance is usually issued on 'All Risks' basis covering loss of money in the following circumstances:

- in transit between the insured's premises and the bank by the insured's authorized employees or representatives;
- on the insured's premises during business hours;

- in a locked safe or strong room on the insured's premises after business hours;
- in the private residence of any principal or director of the insured;
- other specified situations

In addition to loss of money, the money insurance policy provides indemnity for the following losses up to a specified limit:

- cost of repair or replacement of the safe or strong room as a result of damage consequent upon forcible and violent entry or as a result of armed robbery
- compensation to carriers for injuries sustained during transit of money as a result of robbery or hold-up
- infidelity of the carrier who may abscond with the money

The money policy does not pay any claims arising from:

- fraud or dishonesty of employees (other than limited cover of the carrier);
- shortage due to errors or omissions;
- loss occurring outside the territorial limit;
- loss from any safe or strong room following the use of the key (left in the same room);
- depreciation in value of currency;
- loss of money from an unattended vehicle (escorted by security guards);
- confiscation, nationalization, requisition or wilful destruction by any government authorities.

7.6.3 Fidelity Guarantee

The object of fidelity guarantee insurance is to provide cover against loss by reason of the dishonesty of persons holding positions of trust. Employees who are responsible for handling money or stocks belonging to their employer may commit acts of misappropriation, embezzlement or fraudulent conversion of property belonging to the employer for personal gain.

Type of Policy	Type of Guarantee
1. Individual -named employee or a specified position	• per employee/person
2. Collective -selected number of named or unnamed employees by position	• per person and event • per year
3. Blanket -all employees of the organization	• per person and event • in the annual aggregate/per policy

There are two issues pertaining to what triggers a claim under a fidelity guarantee policy:

1. the act of misappropriation has to be committed *during* the period of insurance and during the employee's uninterrupted service or employment;
2. the *discovery* of the loss has to be within a specified period (i.e. usually six to twelve months) after the resignation, death, dismissal, retirement of the guilty party/employee or after the termination of the policy, whichever happens first

The fidelity guarantee policy does not pay any claims for:

- Indirect financial losses e.g. loss of interest, losses due to business interruption
- Negligence, stocktaking or inventory losses
- Bankers' blanket bonds

7.6.4 Bonds

Bonds are a form of surety insurance. Surety exists when one party guarantees performance by another party of an undertaking or obligation. A surety bond is a written agreement, whereby the surety, who issues the bond, obligates itself to a beneficiary or employer to pay a stipulated amount in the event of breach or default of a contractor.

Under a performance or construction bond, the insurance company stands as surety to the principal or employer that if the construction company is unable to complete the contract works, then the insurance company will provide the financial means to do so (usually limited to 5 percent of the total contract value). Other types of bonds include tender bonds, advanced payment bonds, maintenance bonds and supply bonds.

Bonds are written in conjunction with engineering works for which construction insurance and workmen's compensation insurance are taken by the principal and the main contractor appointed to execute the works. The insurer provides for the payment of the amount guaranteed should the contractor fail to fulfil his obligations under the contract.

7.7 Engineering Insurance

Engineering insurance comprises specialised classes of insurance business and policies may be classified as:

1. Renewable; and
2. Non-Renewable policies

7.7.1 Renewable Engineering Policies

The table below lists three of the most common types of *renewable* policies issued in the engineering department and briefly describes the coverage and main exclusions of each of the policies:

1. Boiler and Pressure Vessels

- Damage (other than by fire) to boiler or pressure vessel (driven by steam or hot water) due to explosion or collapse
- Legal liability for third party (surrounding) property damage
- Legal liability for third party injury or death

2. Machinery Breakdown and Loss of Profits

- Sudden and unforeseen damage (other than by fire) to machinery and plant at work or being dismantled for the purpose of cleaning, inspection, overhauling, subject to a) Annual maintenance agreement; and b) Regular inspection warranty
- Loss of profits policy covers loss of operating profits and standing charges consequent to machinery breakdown

3. Electronic Equipment

- 'All Risks' basis of cover for any physical loss of or damage to electronic data processing systems and its peripherals.
- Section 1 Material Damage to computer hardware
- Section 2 External Data Media and cost of reprocessing lost data
- Section 3 Increased Cost of Working

Main Exclusions:

1. Boiler and Pressure Vessels

- wear and tear but explosion or collapse *arising from* wear and tear is covered;
- failure of expendable parts (that is, parts requiring routine maintenance) *unless* such defects result in explosion or collapse;
- damage caused by fire to property belonging to the insured;
- damage or liability caused by wilful act or neglect by the insured;
- loss sustained by stoppage of work;
- loss or damage caused by typhoon, hurricane, volcanic eruption, earthquake and the like

2. Machinery Breakdown and Loss of Profits

- normal wear and tear;
- loss or damage arising from fire and explosion;
- inundation, subsidence, earthquake and the like

3. Electronic Equipment

- earthquake, volcanic eruption, hurricane, cyclone or typhoon;
- faults or defects existing at the commencement of policy within the knowledge of the insured;
- failure or interruption of any gas, water or electricity supply;
- atmospheric conditions;
- maintenance costs;

- loss or damage for which the supplier or manufacturer is responsible by law or contract;
- loss or damage to hired equipment for which the owner is responsible by law or contract;
- consequential loss or liability

7.7.2 Non-Renewable Engineering Policies

These types of policies are mainly issued in conjunction with civil or mechanical engineering project works which are associated with high insured values and long duration of cover which may last several years in some cases.

Contractors' All Risks

Contractors' all risks (CAR) insurance is designed for the purpose of complying with a contractor's obligations under a *civil engineering* contract which includes construction of buildings, bridges, and roads, etc. on an 'all-risks' basis. Material damage to the works and third party liability arising from the works occurring during the period of construction and during the 'maintenance' or 'defects liability' period will be covered.

Section 1 - Material Damage – covers physical loss of or damage to:

a) Contract works and all materials incorporated and on site
b) Contractor's plant, machinery and equipment used in the construction
c) Existing or surrounding properties of the principal or employer

Section 2 - Third Party Liability – covers insured's legal liability for:

a) Accidental property damage and/or
b) Bodily injury to a third party arising from the execution of the contract work

The purpose of contractors' all risks insurance is to provide immediate funds following an accident to mitigate the risk of delay or non-completion. The risk becomes more acute nearing completion due to the high insured value which in turn would increase the severity of a loss or damage compared to the beginning stage of the construction.

Erection All Risks

Erection all risks (EAR) insurance is similar to contractors' all risks insurance in that the coverage is on an '*all-risks*' basis covering material damage to the works and third party liability arising from the works. The distinction is that EAR involves *mechanical engineering* projects and covers the erection of a plant or installation of specialised machinery, whereas CAR covers mainly civil engineering works as explained above.

The policy has two sections:

1. **Material Damage** section covers damage to the plant or machinery including materials on site. The limit of indemnity represents the total contract value including all materials on site.
2. **Third Party Liability** section covers property damage and/or bodily injury that result from the execution of the work insured. The limit of indemnity should take into account the existing and surrounding properties and inhabitants exposed to such peril.

The period of insurance begins from the time of installation, and continues during *testing* and *commissioning* until handed over to the principal.

EAR may cover a single large machinery, its apparatus and assembly lines or a turnkey project involving a power producing plant and its facilities. Both types of work may include the following items:

- Incidental and related civil engineering works;
- Contractor's plant, machinery or equipment used in execution of the work;
- Existing property on site, belonging to or held in the care and custody of the insured;
- Expenses incurred for the clearance of debris after a loss;
- Additional expenses incurred for overtime, express freight, etc.

Main Exclusions under CAR and EAR:

- faulty design, defective materials or workmanship;
- wear and tear, corrosion, and deterioration;
- mechanical and/or electrical breakdown of construction plant and machinery;
- motor vehicles licensed for public road use or waterborne vessels or aircraft;
- documents, files, drawings, accounts, bills, currency, notes, securities and cheques;
- stock taking or inventory;
- excess or deductibles;
- consequential loss;
- wilful acts of any director, manager or employee.

7.8 Self-Assessment Questions

1. Which of these types of damage would be covered automatically under a commercial fire policy?

a) Damage caused by an explosion that results from a fire

b) Damage caused by the fire brigade in putting out a fire

c) Damage caused by spontaneous combustion

d) Damage caused as a result of a subterranean fire

2. What is business interruption insurance primarily designed to cover?

a) The loss of production that results from industrial action

b) Consequential losses that arise following material damage

c) The cost of recovering lost reputation following a product liability claim

d) The loss of profits that results from a key customer going out of business

3. When is liability to passengers compulsory in Malaysia?

a) Passengers while travelling in a motor vehicle including entering or alighting from it

b) Passengers carried for hire or reward or being carried in the employer's vehicle in pursuance of their employment

c) Employees travelling as passengers in a vehicle belonging to the employer

d) Any person who has a contract of employment with the insured or his authorised driver.

4. A windstorm damages property and claims were received under a houseowners policy for roof repairs, repairs to garden fence and repainting of the ceiling as a result of water damage. What will be covered by the policy?

a) Roof repairs only

b) Roof repairs and damage to the ceiling only

c) Roof repairs and repairs to garden fence only

d) Roof repairs, repairs to garden fence and repainting of the ceiling

5. Which of these claims will be covered under a comprehensive private motor car policy?

a) Car's front tyres were damaged under severe braking to avoid a collision

b) Reduction in value of the car following after an accident repair

c) Cost of hiring a temporary replacement after the car was impounded by the police

d) Fire damage to the interior of the car which resulted from an electrical short circuit under the dashboard

6. The basis of cover for machinery and plant under an engineering policy is in respect of

a) fire and explosion damage.

b) explosion or mechanical breakdown.

c) sudden and unforeseen damage.

d) explosion and consequential loss.

7. Commercial theft insurance normally covers loss of the insured property caused by

a) any means of theft including deception.

b) theft involving entry into or exit from the premises by forcible and violent means.

c) any means of theft except misappropriation of funds due to the dishonesty of an employee.

d) any means of theft except shoplifting.

8. A contractors' all risks insurance policy insures the contract works against

a) mechanical or electrical breakdown.

b) losses that arise due to defective design or workmanship only.

c) fire and limited explosion only.

d) 'all-risks' of loss or damage, subject to specific exclusions.

9. A professional indemnity policy EXCLUDES liability arising from the insured's

a) dishonesty.

b) breach of duty.

c) negligent acts.

d) errors or omissions.

10. Motor insurance is made compulsory under the Road Transport Act 1987 for the following reasons EXCEPT

a) to make available funds needed to compensate victims of road accidents.

b) to ensure funds are readily available when damages are awarded by the courts.

c) to compensate victims of untraceable (hit and run) drivers.

d) to ease the Government's financial burden and to protect national interest.

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

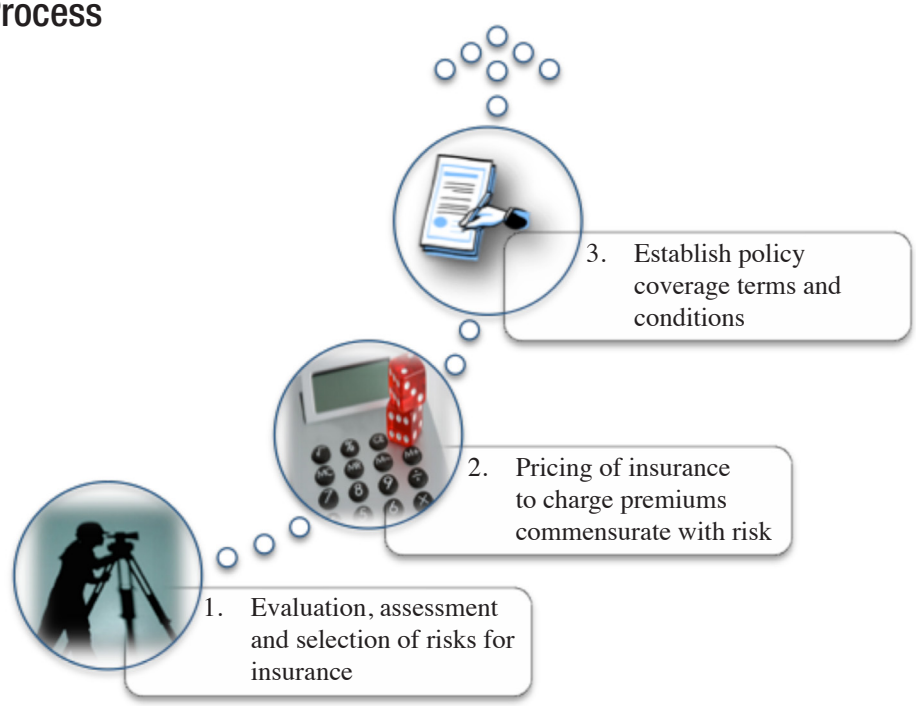
CHAPTER 8 General Insurance Underwriting

8.1 Introduction

Underwriting is the process of selecting risks for insurance and classifying them according to their degrees of insurability so that the appropriate rates may be assigned. The process also includes rejection of those risks that do not qualify.

An underwriter would normally refer to an 'Underwriting Guide' to decide which risks are acceptable and which to decline according to the underwriting practices of the insurance company. Underwriting also involves the pricing of insurance coverage. It is important to ensure that insurers charge the right amount for the coverage they provide. This is because if an insurer charges too little, it would suffer underwriting losses; if loss experience deteriorates and if it charges too much, it may lose business to its competitors. The underwriter's job requires a certain level of skill to balance between premium growth and profitability.

8.2 The Underwriting Process



8.3 Underwriting Guidelines

1. Each insurance company has its own list of **'preferred risks'**. For example, in respect of motor insurance, older and experienced drivers, usually married males above the age of 30 years have shown good claims record and will be regarded as 'good risks'.
2. On the other hand, **'referred risks'** are those considered hazardous due to certain characteristics attaching to the risk. For example, in writing fire insurance, furniture and wood working risks will be re-evaluated after a **survey is conducted by a risk engineer** or surveyor to assess the structures, processes and overall housekeeping. The underwriter would require such information to decide whether to accept the risk or decline it and if acceptable will determine the appropriate rates, policy terms and may even recommend risk improvement measures.
3. Risks are **declined** by insurers because of the **'high risk exposures'**. For example, motor vehicles such as taxis, tour coaches, and express buses which carry passengers for hire or reward may cause accumulation of losses in the event of an accident involving damage to the vehicle, third party property damage and liability to passengers. This is similar to aviation risks which can cause a catastrophic loss as a result of an air crash. In Malaysia, insurance for such risks is arranged by pooling as in the case of the Malaysian Motor Insurance Pool and the Malaysian Aviation Pool.

8.4 Pricing of General Insurance Premiums

The calculation of insurance premiums has to take into account the minimum and maximum rates and the extent to which premiums are adjustable in the light of its volume and loss amounts in respect of a particular class of business.

Generally, the gross premium comprises the following factors:-

a) risk premium,
b) expenses, commission and brokerage,
c) contingency or security (for variation in losses),
d) margin of profit

8.5 Use of Tariffs

There are two types of tariffs which are enforced by the General Insurance Association of Malaysia or PIAM which regularly updates member companies through tariff notices and circulars. Licensed general insurers transacting general insurance business in Malaysia are required to adhere to the rules, regulations and premium rates prescribed by the respective tariffs.

1. The **Malaysian Motor Insurance Tariff** (introduced in 1978) prescribes the types of motor insurance cover, basis of premium rating, standard policy wording, exclusions, extensions, extra benefits and their respective premiums and level of no-claim

discounts applicable for the various types of motor vehicles used in peninsular and east Malaysia.

2. The **Revised Fire Tariff** (RFT 2000) regulates fire insurance business in Malaysia and prescribes the basis of premium rating, discounts for fire extinguishing appliances (FEA), construction and town classifications, scope of cover of the standard fire insurance policy, warranties, clauses and endorsements applicable to the various types of trade and its processes.

8.6 Motor Premium Computation

The following is an example of how motor insurance premium is calculated using the tariff rates:

Risk Details:

Owner	:	ABC COMPANY Limited
No-Claim-Discount	:	NIL (history of 2 previous claims)
Vehicle	:	BMW 5281 SALOON
Cubic Capacity	:	2,793
Year of Manufacture	:	2008
Sum Insured	:	RM 300,000

Extra Benefits:

- Windscreen for RM 3,000
- Strike, Riot, Civil Commotion
- Flood and Windstorm
- Liability to Passengers

Motor Tariff Rates:

Cubic Capacity	Comprehensive Premium		Third Party Premium	Act Cover Premium
1400	225.20	Plus RM26 for each RM1,000 or part thereof on the value exceeding RM1,000	72.00	60.75
1650	251.50		81.00	67.50
2200	277.90		90.00	76.50
3050	304.20		99.00	85.50
4100	330.50		108.00	92.25
4250	356.80		117.00	99.00
4400	383.20		126.00	108.00
Over 4400	409.50		135.00	114.75

Motor premium computation for ABC Company Limited:

Basic Premium (RM 304.20 + 26.00 x 299)	RM 8,078.20
Less No-Claim-Discount (if any)	NIL
Strike, riot and civil commotion - 0.30% of sum insured	900.00
Breakage of glass in windscreen or windows - 15% of windscreen sum insured	450.00

Flood, windstorm, rainstorm, typhoon, hurricane, volcanic eruption, earthquake, landslide - 0.50% of sum insured	1,500.00
Liability to Passengers - 25% of third party premium	24.75
All drivers (private cars issued to a company or business organization)	50.00
Total Premium	11,002.95
Add: 6% Service Tax	660.18
Add: Stamp Duty	10.00
Total Amount Payable	**11,673.13**

8.7 Fire Premium Computation

The following is an example of how fire insurance premium is calculated using the tariff rates:

Risk Details:

Insured	:	XYZ Company Limited
Situation of risk	:	Ground floor, shop lot in Jalan Ampang Kuala Lumpur
Construction	:	Brick walls and concrete roofing
Trade	:	Printers and book publishers

Interest		**Sum Insured**
Building	:	RM 500,000
Plant and Machinery	:	RM 100,000
Stock	:	RM 200,000
Office Equipment	:	RM 20,000

Special Perils:

- Bursting or Overflowing of Water Tanks, Apparatus, Pipes
- Electrical Installation Clause (B)
- Riot, Strike and Malicious Damage
- Flood

Fire Tariff Rates

Code	Trade/Occupation Classification	Construction Classification				Warranties Applicable
		1A	1B	2	3	
2100	**PAPER AND PRINTING**					
2104	**Printers**					
2124	**Magazine/periodicals/book printers**	**0.190**	**0.254**	**0.411**	**0.644**	

Fire premium computation for XYZ Company Limited:

Basic fire, lightning and domestic explosion cover:		
Trade Code: 2124	Sum Insured	Premium
Basic Rate: 0.190%	**RM 820,000**	RM 1,558.00
Additional Perils :		
Riot, Strike & Malicious Damage:	**0.014 % of sum insured**	114.80
Bursting or Overflowing of Water Tanks	**0.005% of sum insured**	41.00
Electrical Installation Clause (B)	**0.056% on electrical machinery**	56.00
Flood	**0.086% of sum insured**	705.20
Add Service Tax	**6 % of Gross Premium**	148.50
Stamp Duty		10.00
Premium Payable		RM 2,633.50

8.8 Underwriting Considerations and Rating Factors

In this section we will examine the underwriting considerations and rating factors of the following classes of insurance.

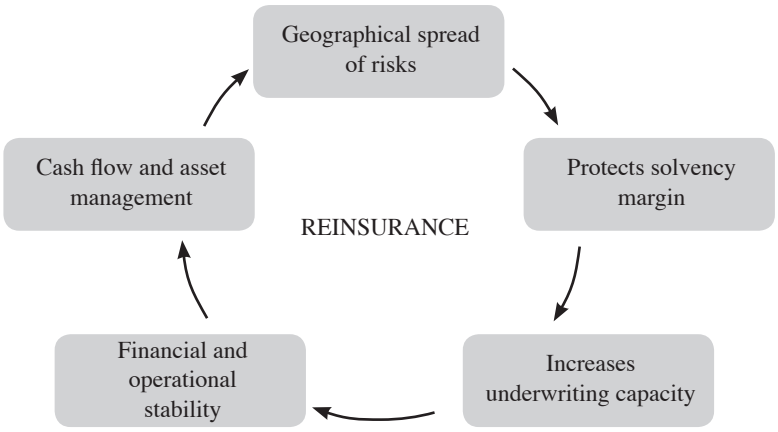
Type of Insurance	Underwriting Considerations	Rating Factors
Motor	• Vehicle type (private car, motor cycle or commercial) • Use of vehicle (passenger or goods carrying) • Age and condition of vehicle • Modification to the vehicle, if any • Occupation of the vehicle owner	• Cubic capacity or tonnage • Market value of the vehicle • Year of manufacture • Claims history • Driving experience
Fire	• Hazardous process (spray painting) or storage (explosives) • Basis of indemnity (market value or agreed value • Location and terrain (hill slope or low lying and flood prone) • Adequacy of sum insured (on reinstatement as new basis)	• Trade or occupation • Construction class • Extraneous perils such as subsidence or landslip • Fire extinguishing appliances installed • Duration of cover (short term or annual)
Burglary	• Type of goods (high value, precious or heavy and bulky) • Location of risk (busy commercial lot or out of town and remote) • Structure of building (entry and exit points) • Security and burglar alarms installed	• Type of goods and business retail general store, warehouse, showroom or factory • Sum insured (first loss or full value)
Personal Accident	• Age of person to be insured • Health and physical condition • Hazardous sports or activities	• Occupation • Benefits (lump sum payments, weekly disablement or reimbursement of medical expenses)

Contractors' All Risks	• Exposure to technological changes such as new materials, new methods of construction, prototype design, new dimensions and higher operational temperatures • Exposure to natural hazards such as flood	• Insured values for material damage and third party liability • Duration of cover including maintenance period • Background and experience of contractors in carrying out similar projects

8.9 Reinsurance

Reinsurance is the **transfer of risks** by an insurer to a reinsurer, in other words, it is "**insuring insurers**". A reinsurance contract is formed between the **reinsured and the reinsurer.**

Reinsurance has many uses and benefits:



Two key functions of reinsurance are:

1. To cushion the impact of **a catastrophic loss** such as earthquake, tsunami and flood where a single event can stretch the financial resources of an insurer to breaking point.
2. To protect against the **accumulation of losses** arising from a single catastrophic event such as an air crash or terrorist attacks at the World Trade Center on 9/11 which could cause the accumulation of individual losses under various types of insurances such as property, liability and casualty.

8.10 General Insurance Documents

8.10.1 The Proposal Form

Proposal forms are documents drafted by the insurer in the form of questionnaires for each class of insurance to gather relevant information required to assess the risks appropriately. The use of the proposal form enables an underwriter to exercise prudent judgement based on the answers given and if the need arises, further information or clarification may be sought from the proposer before a final decision is made.

Before entering into a contract of insurance, both parties (applicant and insurer) have a duty to disclose accurate and relevant information in a clear, concise and timely manner to enable the consumer to make an informed decision and the insurer to decide on suitable terms of acceptance of the risk.

Proposal forms are not used in marine cargo insurance because shipping documents such as invoice, purchase order and shipper's receipt provide underwriters with the necessary information and documentary evidence to decide quickly before the shipment takes off.

8.10.2 The Cover Note

A cover note is a temporary document to confirm insurance cover while waiting for the policy form to be issued. The cover note is documentary evidence of a valid insurance contract entered into by the insured with the insurer and is subject to the standard policy terms, conditions and exclusions for the class of insurance.

Most insurance contracts must be in writing as in the case of marine insurance (Marine Insurance Act 1906 s.22). In Malaysia, an insurance contract where written documentation is required is motor insurance, currently governed by the Road Transport Act 1987. **Section 91** requires a 'policy' of insurance to be in force and, para (4) states that a policy shall be of no effect unless and until a **"certificate of insurance"** is issued in the prescribed form and delivered to the policyholder.

8.10.3 Motor e-Cover Note

The electronic motor cover note system replaced the physical motor cover note in the year 2005 as part of the e-Government initiative. A policy of insurance (which includes a cover note) is required for registration and licensing of motor vehicles. Insurers transmit the cover note to the Road Transport Department (JPJ) electronically for confirmation (unsettled summonses, etc. may prohibit confirmation) for renewal of road tax or registration of new vehicles.

8.10.4 Certificate of Insurance

a) A motor certificate of insurance is documentary proof of motor insurance coverage and must be issued and delivered in the form prescribed by the Road Transport Act 1987. If the policy is cancelled during the period of insurance by either party, the policy owner must within seven (7) days of the cancellation, surrender the certificate to the insurer or, if it has been lost or destroyed, make a statutory declaration to that effect, and if he fails to do so, shall be guilty of an offence.
b) Certificates are also used in marine insurance transactions in the case of a marine open cover covering marine cargo shipments under a floating policy. A certificate of marine insurance is documentary evidence of a valid contract of insurance.

8.10.5 The Policy Form

An insurance policy is a document drafted by insurers and is **evidence in writing** of a contract of insurance and is not the contract itself. A policy has to be stamped in accordance with the provisions of the Stamp Act; otherwise, it cannot be used as evidence in court. Where the class of business is governed by a tariff which prescribes policy wordings, it becomes obligatory for insurers to use the standard policy wording provided by the tariff in the case of fire and motor insurance.

8.10.6 The Renewal Notice

Most general insurance contracts are issued on an annual basis and are renewable except for contractors' and erection all risks and marine cargo insurance. There is no legal obligation on the part of the insurer to advise the insured that his policy is due to expire on a particular date; however, insurers usually invite renewal in order to retain good business which may otherwise be lost to competitors.

At renewal, the duty of utmost good faith must be observed by both parties (insured and insurer) but the onus is on the **insured to inform** the insurer of any **material changes** in the risk to be insured (as renewal becomes a new contract) to allow the insurer to carry out a re-assessment of the risk so that the renewal premium is commensurate with the risk covered.

The renewal notice incorporates relevant particulars of the policy including the insured's name, policy number, expiry date of policy, existing sum insured and premium. Renewal is the time to review the adequacy of the sum insured particularly in the case of property and motor insurance. The insured will be requested to revise the sum insured in line with the current market value or reinstatement value for insurance on buildings; otherwise, the condition of 'average' will apply for underinsurance at the time of a claim.

8.10.7 The Renewal Certificate

Whenever a general insurance policy is renewed for a further period, a new contract is formed. If the renewal is on similar terms as the original contract, insurers frequently confirm the renewal by issuing a renewal certificate. On the other hand, if the renewal is on different terms, a fresh policy form is usually issued. A renewal certificate contains information similar to that found in the Schedule of a policy and will highlight any amendments made to the original policy terms and conditions.

8.11 Self-Assessment Questions

1. Which of the following is NOT part of the underwriting process?

a) Establishing policy coverage terms and conditions

b) Pricing of insurance to charge premiums commensurate with risk

c) Investigating and assessing of loss

d) Evaluating, assessing and selecting risks for insurance

2. Why is it important for insurers to establish underwriting guidelines?

I. To set standards of acceptance in line with insurer's risk appetite

II. To distinguish hazardous from non-hazardous risks

III. To segregate high risk exposures into separate underwriting pools

IV. To rank according to preferred, referred or risks to be declined

a) I, III and IV

b) II, III and IV

c) I and IV

d) I. II, III and IV

3. Kevin sells his car and therefore wishes to cancel his motor policy during the period of insurance. He has a hard copy of the policy document and certificate of insurance. What is the correct position?

a) Only the insurer has the right to cancel the policy during its term.

b) The insured must return the certificate within 7 days of cancellation.

c) The insured must return the policy document within 14 days of cancellation.

d) The insured must destroy the certificate within 21 days of cancellation.

4. For which type of insurance is the premium fixed by the tariff?

a) Employer's Liability

b) Private Motor

c) Personal Accident

d) Burglary

5. Which of the following is NOT a direct benefit of reinsurance?

a) Geographical spread of risks

b) Protects solvency margin of the insurer

c) Increases underwriting profitability

d) Increases underwriting capacity

6. **Under which section of the Road Transport Act 1987 does it state that a certificate of insurance must be issued in the prescribed form and delivered to the policyholder?**
   a) Section 91(4)
   b) Section 94(1)
   c) Section 90(1)
   d) Section 90(4)

7. **The following are important factors in considering whether to accept a proposal for burglary insurance EXCEPT**
   a) type of goods (high value, precious or heavy and bulky).
   b) location of risk (busy commercial lot or out of town and remote).
   c) number of employees handling cash.
   d) security and burglar alarm installed.

8. **Which of the following is NOT a peril that can be extended with payment of additional premium under a commercial fire insurance policy?**
   a) Bursting or overflowing of water tanks, apparatus, pipes
   b) Theft of property following a fire
   c) Riot, strike and malicious damage
   d) Floods

9. **How do insurers normally incentivise policyholders to improve their physical risks to a standard beyond the accepted or required minimum?**
   a) By offering increased sums insured
   b) By offering premium discounts
   c) By imposing lower excesses
   d) By increasing the scope of cover

10. **For which of these proposers might a first loss insurance arrangement be suitable?**
   a) Paul has recently bought a vintage sports car that he wants to insure against loss or damage.
   b) Raju has been told he must insure his liability for injury to his employees.
   c) Mr Lim owns a large warehouse and wants to insure the contents against theft.
   d) Farida wants to insure her new office building against a terrorist attack.

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

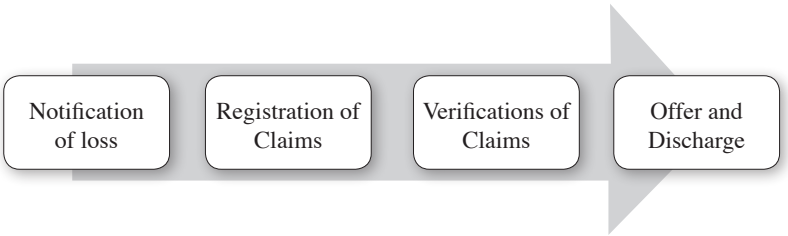
CHAPTER 9 General Insurance Claims

9.1 Introduction

The insurer has a legal and moral duty to pay claims promptly and fairly and the hallmark of an insurance company in fulfilling its contractual obligations is in the efficient handling and settlement of claims. A satisfied customer will inevitably 'by word of mouth' advertise the products and services of the insurance company, which in turn will facilitate sales and marketing of insurance products by agents and intermediaries.

Regulators have established guidelines on the minimum standards and timelines for the settlement of claims; however, the challenge for insurers is in ensuring that only valid claims are paid and preventing fraudulent or exaggerated claims which would otherwise increase the cost of claims and eventually the cost of insurance.

9.2 Steps in the Claims Process



9.2.1 Notification of Loss by the Insured

It is a condition precedent to liability that when a loss occurs, immediate notification of the loss is given to the insurer. Depending on the wording of the notification condition, notice may be verbal or written and it may require the insured to furnish full particulars together with the claim form with details of the loss, identity of the claimants, etc. with supporting documents as proof within 14 to 30 days as stipulated in the policy.

In this regard, Motor Tariff Notice No. 9 of 2007 provides clear timelines for claim notifications under a motor insurance policy, which reads as follows:

"We must be notified in writing or by phone in either case with particulars of the vehicles involved, date of accident and, if possible,

a brief description of the circumstances of the accident within the specific time frame as follows after an event which may become the subject of a claim under this Policy:-

a) Within 7 days if you are not physically disabled or hospitalised following the event.
b) Within 30 days or as soon as practicable if you are physically disabled and hospitalised as a result of the event.
c) Other than (a) and (b), a longer notification period may be allowed subject to specific proof by the insured."

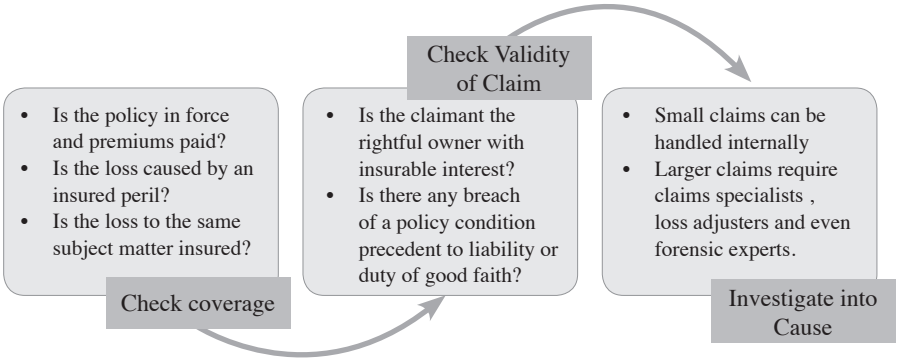
It is also a condition precedent to liability that the insured acts in *good faith* to take immediate remedial action to minimize further loss in the event of a claim. For example, a clause in the comprehensive motor policy provides that the insured shall take reasonable steps to safeguard the motor car from loss or damage, and in the event of an accident or breakdown, the motor vehicle should not be left unattended. In liability insurance, the insured is required to submit all writs, summons or other legal documents to the insurer and should **not** admit any liability, reply to any letters, and acknowledge summonses, without the prior written consent of the insurer.

9.2.2 Registration of Claims

Every insurer is required to maintain an up to date register of all insurance claims immediately upon becoming aware of any claim intimated or notified. This is to ensure proper and accurate provisions are maintained and these claim reserves cannot be removed from the claims register as long as the claim is still outstanding or unsettled.

The claims register serves as an **official record** of claims notified to the insurer and may be in any form, either stored electronically in a computer database or in manual form or both. Upon registration of a claim, an acknowledgement letter will be issued to the claimant within seven (7) days, in compliance with the guidelines on claims settlement.

9.2.3 Verification of Claims



9.2.4 Investigation of Claims

Upon verification of the claim, the next step is to proceed with investigation into the cause of loss and to ascertain the amount of loss. Depending on the estimated size and complexity of the claim, an expert trained in the field of claims investigation and loss adjustment will be appointed by the insurer.

Insurance loss adjusters must be registered to conduct adjusting business in Malaysia. They are independent professionals appointed by insurance companies to investigate the cause and circumstances of a loss and ascertain the quantum of the loss in relation to an insurance claim.

The loss adjuster plays an important role and his responsibilities include and are not limited to the following:

- negotiate and act as a settlement agent to bring about a swift resolution for the benefit of the claimant;
- preserve the interest of the insured and to provide immediate assistance to prevent aggravated damage and reduce further loss;
- advise the insurer on possible risk improvement measures to prevent recurrence of a similar loss;
- assist the insured to furnish full particulars of the loss and to track down witnesses if required to attend court;
- ascertain subrogation rights to make recoveries from negligent third parties;
- establish proportion of contribution from and to other insurers.

9.3 Claim Documents

The initial claim form serves to elicit basic information of the claim. However, in order to support the statements made in the claim form, the claimant will be required to produce supporting evidence to substantiate the claim. The documents may vary depending on the nature of the claim and class of insurance, as summarised below:

Fire Insurance
photographs
technician's report (where applicable)
purchase invoices, repair bills, sales record, and other related documents
police report (where damage is extensive)
fire brigade report (where damage is extensive)
Burglary Insurance
police report
purchase invoices, repair bills, sales record, and other related documents

Personal Accident Death Claim
post-mortem report
death certificate
burial certificate
police report
letter of employment
Motor Own Damage Claim
police report
certified copy of vehicle registration card and road tax
certified copy of driving licence and identity card of driver

9.4 Claim Settlement

All general insurance contracts are contracts of indemnity. ***Except*** for personal accident (which pay a fixed amount of compensation), all other insurance contracts state that the insurer will **indemnify** the insured for any loss or damage sustained as a result of an insured peril or contingency.

The method of settlement may vary with the type of insurance but overall the principle of indemnity is to put back the insured in the **same financial position** he was in before the loss, after the loss. The option to pay cash, repair, replace or reinstate lies with the insurer concerned, based on the nature and severity of the loss.

With liability insurance, the insured is indemnified for his potential legal liability to a third party. Such claims may take a long time to settle if they get caught up in a long drawn legal process. Insurance companies will have to keep adequate reserves to pay future claims as they make adjustments for inflation to their outstanding claim liabilities. For example, the court may award non-financial losses such as 'pain and suffering', and loss of amenities or faculties in addition to liquidated damages in personal injury claims.

It is important to note that not all claims intimated to the insurer will result in a settlement. Insurers may repudiate liability on a technical breach or for breach of good faith. In any event, justifiable reasons for repudiation together with advisory service on alternate avenues for appeal and information about the Financial Mediation Bureau (FMB) must be given to policy owners.

Insurers may repudiate liability on the following grounds:-

1. The loss or damage was not caused by an insured peril;
2. The loss was not included by the scope of cover;
3. The policy has been rendered void as a result of a breach of a fundamental condition;
4. There is non- disclosure of a material fact which the insured is not aware of.

9.5 Claim Recoveries

The claim settlement process will also involve making appropriate recoveries from **coinsurers** and/or **reinsurers**, third parties under **subrogation rights** and other insurers under **contribution rights**, if such rights exist.

Subrogation arises when an insurer compensates the insured for a loss caused by a third party is subrogated to the rights of the insured to be compensated by that third party. Salvage is the equitable right of the insurer to the residual value of the property for which the insurer has paid a total loss to the insured. Ceding insurers commonly share subrogation and salvage recoveries with the reinsurers who contributed to the loss payments.

Reinsurance contracts commonly contain clauses which specifically allocate subrogation and salvage recoveries or net them off in determining the "ultimate net loss" payable by the reinsurer. The reinsurer, by payment of its portion of the loss, has an equitable right to an appropriate portion of the subrogation or salvage recovery.

9.6 Application of Average in Claims

The term 'subject to average' means that if the sum insured at the time of a loss is less than the insurable value of the insured property, the amount claimed under the policy will be reduced in proportion to the under-insurance. Average applies when property is underinsured and there is a partial loss claim settlement. Most property insurance policies incorporate a pro-rata condition of average except in the case of "agreed value" policies.

The formula generally used to adjust the claim is as follows:

$$\textit{Claim payable} = \frac{\textit{Sum Insured}}{\textit{Value at risk}} \textit{ x Loss}$$

Disputes can arise when policy owners are unaware that a deduction will be made when there is a claim for a partial loss, if the sum insured is below the actual value at risk. To avoid disappointments, a proposer for insurance is advised to ensure that the sum insured is adequate and that it represents the current market value or reinstatement value of the property insured. It is the insured' s duty to review the sum insured is in line with the cost of living index and/or inflation at the time of renewal and during the period of insurance if new additions or improvements are made which inevitably would increase the value of the property insured.

9.7 The Motor Insurers' Bureau

The Motor Insurers' Bureau (MIB) was based on a Principal Agreement on 15 January 1968, with the Minister of Transport and 'authorised general insurers' to secure compensation to third party victims of road accidents in cases where such victims are denied

compensation by the absence of insurance or of effective insurance as required under section 90 of the Road Transport Act 1987.

Under the said agreement, when a judgment obtained in a court (in West Malaysia) is not satisfied within 28 days, MIB will become liable to pay the full judgment sum against an uninsured person for death or injury to a third party. As MIB is a company limited by guarantee, it does not hold any assets to cover its potential liabilities, but its members who are general insurance companies guarantee the payment of liabilities as and when the need arises.

However, after 1 January 1992, the principal agreement was rescinded and replaced by a Substituted Principal Agreement to include Sabah and Sarawak. The substituted agreement provides for **compassionate payments** or allowances upon application by victims of motor accidents caused by uninsured drivers, without having to obtain a court judgment.

Uninsured drivers are persons who have no valid insurance or where the insurance policy is ineffective (expired). Although there is no specific provision for victims of untraceable drivers or hit and run cases, MIB will make **compassionate payments** at its sole discretion, to such victims or to their dependents for injury or death caused by the use of motor vehicles on a public road.

9.8 Knock-for-Knock Agreement

The Knock-for-Knock (KFK) is a **market agreement** signed in 1987 incorporated in the Malaysian Motor Tariff, for enforcement by licensed general insurers who are members of the General Insurance Association of Malaysia to speed up the settlement of claims and reduce legal and administrative expenses of handling third party claims.

Under the agreement, each insurer will handle the claim from their own insured provided the parties involved in the accident have private *car comprehensive insurance* regardless of who was to blame for the accident. KFK works on the principle of swings and balances with each motor insurer agreeing **not to exercise subrogation rights** against each other. If this is arranged on a long-term basis, no one insurer will gain or lose from participating in such an arrangement.

The main provisions of the agreement are:

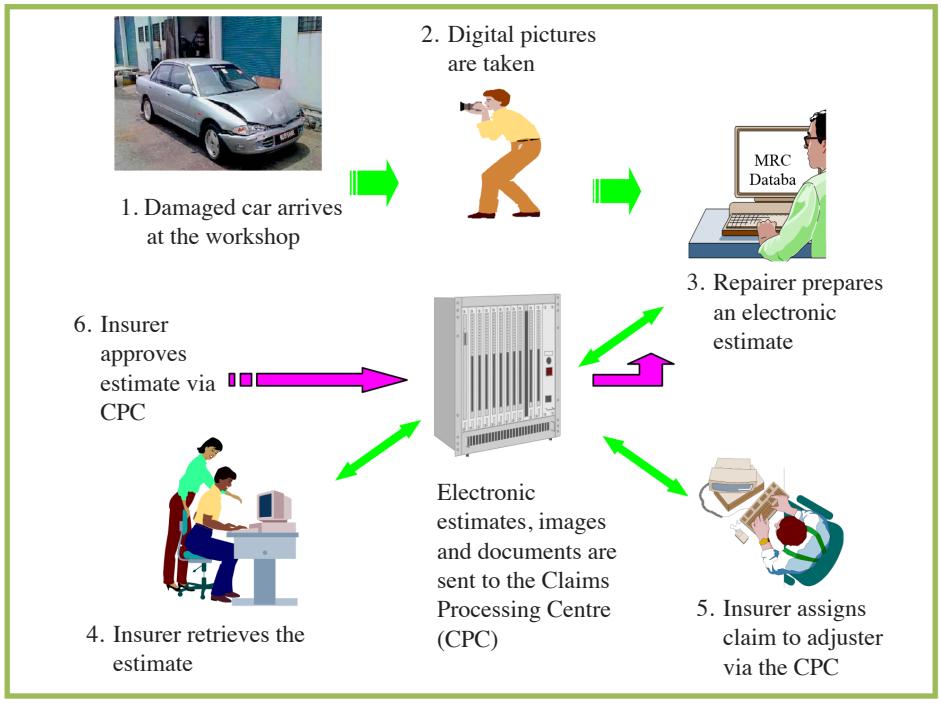
- Application of excess (if any);
- Exclusion of any vehicle used for the carriage of passengers for hire or reward such as taxis, buses, etc.
- Exclusion of any vehicle used for hire and drive either self-drive or chauffeur-driven
- Exclusion of loss or damage by fire only

1KFK was revised in June 2001 (Supplemental Agreement - **Revised Knock-For-Knock Agreement**). This provides that in the event of an accident involving the insured and a third party vehicle, the insured, under a comprehensive insurance policy, has an option to make a claim for damage to his vehicle against his own insurer (if the insured or his authorized driver is not at fault) instead of making a third party claim against the insurer of the third party who was to blame for the accident. Under such cases, the insured's No-Claim-Discount entitlement will not be forfeited.

9.9 Centralized Database for Motor Repairs Estimation

In 2001, the Centralised Database for Motor Repairs Estimation (developed by the **Motordata Research Consortium Sdn Bhd)** was implemented with the purpose of minimising subjectivity in motor repairs estimation. With improved transparency in the estimation of accident damage claims, incidences of fraud and leakage as a result of collusion between the vehicle owner and repairer would be reduced.

The diagram below illustrates the process workflow from the time the damaged vehicle arrives at a panel workshop for assessment and estimation of the repair cost by an authorised repairer which in turn may have to be verified by a loss adjuster (if the loss is substantial) before insurers approve the repairs.



1. Repairer assesses the damage and takes pictures of the damaged vehicle.
2. Repairer creates the estimate electronically, itemizing every part to be repaired or replaced and the labour time needed to complete the job.

3. The estimates and the images of the damaged vehicle and supporting documents are scanned to be sent to the insurer, through the Claims Processing Centre (CPC).
4. Insurers will access the claim electronically and assign it to an adjuster, if necessary, before approving the claims electronically.
5. A loss adjuster would be appointed if the loss amount is large and requires further verification.
6. All claim transactions are therefore electronically recorded and duplicate claims will be checked to prevent fraud.
7. If the same claim (identified through the vehicle registration number) appears more than once in the CPC, the Motordata Research Consortium Sdn Bhd will alert the insurers concerned of the possibility of a fraud.

9.10 Claim Disputes

Disputes between claimants and insurers may involve one of two issues:

1. the question of liability, (whether the insurer is liable or not); and
2. if the insurer is liable, the amount or quantum of claim settlement.

Other disputes may arise due to:

- delay in claim settlement
- material fact not disclosed
- proposal form not duly signed
- no insurable interest
- inferior repairs
- poor customer service
- panel workshop have not started repairs
- no parts available

When a claim dispute arises, it may be resolved through any one of the following channels:-

1. **Negotiation -** amicable settlement reached through discussions between the two parties.
2. **Arbitration -** settlement of disputes relating to the quantum of claim (usually incorporated as a policy condition) heard in a less formal setting than a court of law and adjudicated by an arbitrator instead of a judge.
3. **Mediation -** an alternate dispute resolution process through the Financial Mediation Bureau (FMB) set up as an independent body to adjudicate claim disputes. The decision of the FMB will be binding on the insurance company but not on the insured or claimant.
4. **Litigation -** if negotiation and arbitration fail to achieve an amicable settlement, the insured has the right to take legal action through the court process. However, this is not only a costly affair but may take a long time and would be considered.

9.11 Post-Settlement Action

After a claim is paid, the insurer may take one of the following actions:

1. **Terminate the policy** if the claim involves '**total loss'** of the subject matter insured and when the sum insured becomes payable. Examples are accidental death under a personal accident policy or theft under a comprehensive motor insurance policy or at the time of a claim under a fidelity guarantee insurance which involves investigation into the amount of loss and employees insured by the policy.

2. **Reduce the sum insured** by the amount of loss under property insurance. In the event of a 'partial loss', the sum insured will be reduced by the amount of the loss paid. The standard fire insurance policy incorporates a **'reinstatement of loss clause'** which provides for the automatic reinstatement of the sum insured to its original amount until expiry of the period of cover, subject to the payment of pro rata additional premium. This protects the insured from being underinsured should another loss occur within the same period of insurance.

9.12 Guidelines on Claims Settlement Practices

In February 1995, the JPI/GPI14-Guidelines on Claims Settlement Practices prescribing minimum standards for handling general insurance claims were issued. Part I of the Guidelines refers to claims other than motor and Part II refers to motor insurance claims. The Guidelines also provide for the proper maintenance and registration of all claims and for the review and updating of the information in records in a timely and on regular basis. The regulations also require insurance companies to set up an internal workflow and organizational structure for the various classes of claims and to establish authority limits for each claims handler to ensure claims are processed and approved accordingly.

The following are the prescribed timelines for insurers under the Guidelines:

Claim Process	Timelines
1. Acknowledgement of claim notification received	• 7 days upon registration
2. Assignment of adjusters	• Major towns- 7 days • Other locations- 14 days
3. Adjusters to submit report	• 7 days
4. Approval by insurer	• 7 days
5. Payment to claimant	• 7 days - reimbursable claims • 14 days - below RM 1m • 21 days - above RM 1m
6. Repudiation	• 14 days

9.13 Self-Assessment Questions

1. What is the purpose of the Centralised Database for Motor Repairs Estimation?

a) To implement an approved panel of motor repairers to prevent fraud and claim leakages

b) To improve transparency in the estimation of accident damage claims to reduce fraud as a result of collusion between the insured and repairer

c) To increase expediency of motor claims settlement for minor accident claims

d) To estimate the cost of accident repairs

2. Which condition in a home contents insurance policy gives the insurer the right to call on other insurers similarly liable to pay part of a claim?

a) Arbitration condition

b) Contribution condition

c) Reasonable precautions condition

d) Subrogation condition

3. What is the timeline for a claimant to notify the insurer of an accident involving the insured's motor vehicle if he was not physically disabled?

a) Immediately

b) Within 7 days

c) Within 30 days

d) As soon as reasonably possible

4. Who is responsible for investigating the cause and circumstances of a loss and for ascertaining the quantum of the loss in relation to an insurance claim?

a) The loss assessor

b) The insured

c) The risk engineer

d) The loss adjuster

5. Fire causes $10,000 worth of damage to the contents of Mr. Wong's shop. The loss adjuster reports that the value of contents at risk is $100,000 and yet the policy sum insured for these items is only $60,000. If the policy is subject to pro-rata condition of average, what claim settlement can Mr. Wong expect to receive?

a) Nothing

b) $4,000

c) $6,000

d) $8,000

6. Which of the following claims will NOT automatically terminate the insurance policy?

a) A death claim under a personal accident policy

b) A theft claim under a comprehensive motor insurance policy

c) A fire claim for damage to a unit in a block of flats

d) A fidelity guarantee claim involving investigation into the amount of loss

7. What is the role of the Motor Insurers' Bureau (MIB)?

a) To compensate victims of road accidents caused by uninsured or untraceable drivers

b) To prosecute uninsured drivers in court to pay compensation to victims of road accidents

c) To track down untraceable drivers in hit and run cases in order to prosecute them

d) To consider complaints from victims of road accidents to improve traffic laws

8. The amount paid to settle a total loss claim under a marine insurance policy is normally based upon which of the following?

a) The market value of the property at the time of the loss

b) The insured value of the property

c) The replacement value of the property at the time of the loss

d) The replacement value of the property at the time of loss less deduction for betterment

9. When a claim dispute arises, which of the following is NOT a claim resolution channel?

a) Litigation

b) Repudiation

c) Arbitration

d) Mediation

10. Under the revised knock-for-knock agreement, which option would best serve the insured if his vehicle was involved in an accident with a third party vehicle and he is not at fault?

a) Make a claim against the third party insurer for insured and uninsured losses

b) Sue the owner of the third party vehicle who was to blame for the accident

c) Make a claim against his own insurer as well as the third party insurer

d) Make an 'own damage' claim against his own insurer without having to lose his no-claim-discount

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 10 Registration and Regulation of General Insurance Agents

10.1 Introduction

The Inter-Company Agreement on General Insurance Business (ICAGIB) was signed on 24 April 1992 between members of Persatuan Insurans Am Malaysia (PIAM) comprising licensed general and composite insurance companies in Malaysia with the following objectives:

1. to regulate and control the conduct and activities of every person transacting general insurance business in Malaysia;
2. to monitor tariffs, commissions and remuneration applicable to such general insurance business

10.2 General Insurance Agents Registration and Regulations (GIARR)

Pursuant to the ICAGIB, all intermediaries appointed by member companies to procure general insurance business on their behalf will be subject to the General Insurance Agents Registration and Regulations (GIARR).

Under the GIARR, a registered general insurance agent is an individual person or persons whether corporate or unincorporated authorized to sell, solicit or negotiate any general insurance (other than life insurance) for and on behalf of an insurer.

A corporate agency means a body corporate formed or incorporated in Malaysia and includes:-

- a company incorporated under the Companies Act 1965;
- a sole-proprietor or a partnership;
- a society, club or organisation whether registered under the Societies Act 1966 or any society registered under any written law relating to co-operative societies;
- a public authority or agency of the federal or state government of Malaysia.

10.3 Functions of a General Insurance Agent

A registered general insurance agent shall solicit and procure new general insurance business in accordance with the terms of his appointment and shall endeavour to conserve the business already secured. In procuring new general insurance business, an agent shall:

- take into consideration the needs of the proposer for general insurance and their capacity to pay premiums;
- make all reasonable enquiries in regard to the risks and to bring to the notice of his Principal any circumstances which may adversely affect the risk to be underwritten;
- take all reasonable steps to ensure that the necessary proposal forms are fully and accurately completed by the proposer for insurance.

10.4 Registration of General Insurance Agents

An application for registration can be submitted either manually in a requisite form or through the online agency registration system. The application must be approved and countersigned by a member of PIAM which such applicant desires or purports to represent as his 'Principal'. A registered general insurance agent may at any time represent not more than two (2) general insurance companies as Principal.

A provisional registration may be granted for a period not exceeding three (3) months from the date of the application where the agent is presently operating for one Principal and a **second Principal** is appointing the agent or where there is a **change of Principal.** A Principal is, therefore, permitted to immediately transact business with the agent once a declaration to that effect has been duly executed by the Chief Executive Officer.

Persons exempted from the process of registration:

i. Licensed Commercial Banks and Finance Companies;
ii. Bank Pertanian Malaysia, Bank Simpanan Nasional and Bank Perusahaan Kecil & Sederhana Malaysia Berhad (SME Bank);
iii. Motor Vehicle Franchise Holders defined as a person (corporate or unincorporated) who has been granted the sole rights to the importation, promotion, sale, distribution and/or manufacture of a particular brand of motor vehicle inclusive of after-sales service in Malaysia by the franchisor.

10.5 Minimum Entry Qualification (Effective 1 April 2003)

An applicant wishing to register as an agent must have the minimum qualification of SPM/GCE 'O' Level or its equivalent. However, a person may be granted exemption in appropriate cases either unconditionally or on such conditions as the Board deems fit. In addition, the applicant must have passed the **Pre Contract Examination for Insurance Agents (PCEIA)** set by The Malaysian Insurance Institute (MII), unless the applicant already holds one or more of the qualifications stated in the Appendix attached to the GIARR.

10.6 Certificate of Registration

A person shall not engage in any agency operations or transactions until he has been issued with a Certificate of Registration which indicates the company or companies which he represents as his Principal. The agent can represent only the company or companies named in the Certificate of Registration and no other. In the event the agent ceases to represent any company, he must immediately notify the PIAM Board of such event and apply for the issuance of a new certificate in respect of the new Principal.

The Certificate of Registration is valid (unless earlier cancelled) for a period of **two years**. The commencement date of the two-year term is determined by the Board. An agent who desires to be retained in the Register after the date on which the Certificate of Registration is due to expire shall not later than sixty (60) days before such expiry make an application to be retained. The application and the payment of the prescribed fee shall be made pursuant to such procedures as established by the Board from time to time.

10.7 Biennial Certificates

A Biennial Certificate authorizing the agent to be recognized as a registered general insurance agent during the ensuing two years will be issued upon application and payment of the prescribed fees provided the registered agent has a continuing agency with his principal and in compliance with the requirements of renewal.

A registered agent who has failed to apply for a biennial certificate in the manner and within the period laid down in the Regulations may on making an application in such form and on payment of such additional fee as may be prescribed be granted a Biennial Certificate for the remaining period of the two-year term if the application is made at any time during the two years ensuing the expiry of the last certificate issued.

The name of any general insurance agent who was previously in the Register and who fails to obtain a Biennial Certificate for the relevant period will be removed from the Register. All undertakings given by the registered agent at the time of his application to register as a registered agent however will continue to apply so long as the registered agent remains registered in the Register.

10.8 Place of Business

A registered agent shall at all times ensure that his place of business has:-

a) A proper office premises to transact general insurance business;
b) A valid licence obtained from the local authorities or municipality to operate such business;

c) A proper signboard on display indicating the name of the registered agent and the insurance company or companies that it represents; each letter in the name of the agency appearing on the signboard is to be at least twice the size (both in length and breadth) of each letter of the name of the insurance company or companies it represents; in addition, the words "agent for" is to precede the name of the insurance company or companies which the agent represents;

d) At least one (1) qualified staff who is a holder of a certificate of proficiency in general insurance (called the designated person-in-charge) stationed at the branch office to attend to the daily transactions of general insurance business at the branch office provided that where the designated person-in-charge leaves the employment and/or services of the agent, the agent shall obtain another designated person-in-charge within 30 days from the resignation date of the designated person-in-charge from the agency.

e) The Certificate of Registration (issued to each branch office) to be displayed at his place of business; if he has more than one place of business, each place of business must be registered as a 'branch office' including the principal place of business which is to be stated as such in the requisite form.

10.9 Notification of Changes by an Agent

An agent shall notify the Registrar in writing whenever there has been any change in his name or address or when he commences or ceases to represent any general insurance company. Such notification shall be made within one (1) month of such change and the notification may be made through his Principal. Notwithstanding the foregoing provision a member shall notify the Registrar in writing within fourteen (14) days of any change in the name or address of its agent or when its agent ceases to represent it.

The Registrar shall from time to time amend, insert or remove from the Register any relevant particulars which come to his knowledge regarding the name and address of any person registered as an Agent therein or concerning the general insurance company such Agent represents. The Board may direct the Registrar to remove from the Register the name of an agent who is deceased; or has his address in Malaysia where he cannot be traced. The Board may cause to be published in any manner as it reasonably deems fit any correction, alteration or deletion to the Register.

10.10 Conflicts of Interest

a) An applicant for registration as an agent or a registered agent having any other business interests shall declare in writing all such other business interests and the Board shall have the absolute power to determine whether or not such other business

interest(s) may be continued and if so the condition (if any) on which and the period for which they may be continued.

b) An agent shall not be an employee or a director of or a shareholder or debenture holder in or have any interest in any other company or firm which is engaged in insurance business including insurance broking and loss adjusting without the prior written approval of the Board, provided that the prohibition shall not apply where the shares are listed on the Kuala Lumpur Stock Exchange.

c) A corporate agency shall not employ or engage any person who is an employee, director, shareholder or debenture holder in **another corporate agency** without the prior written approval of the Board, provided that the prohibition in employing or engaging a shareholder or debenture holder or holder of any interest shall not apply where the shares are listed on the Kuala Lumpur Stock Exchange.

d) An employee, director, shareholder, debenture holder of a corporate agency shall not be a director, shareholder or a debenture holder of **another corporate agency**; or have any interest in any other company or firm engaged in transacting insurance business including insurance broking and loss adjusting unless the shares of that other corporate agency are listed on the Kuala Lumpur Stock Exchange.

e) A corporate agency shall not employ or engage any person who is an employee, director, shareholder or debenture holder who has an interest in another company engaged in transacting insurance business including insurance broking and loss adjusting, provided the shares of that other company are listed on the Kuala Lumpur Stock Exchange.

f) An employee, director, shareholder or debenture holder of a corporate agency or any other person having an interest in a corporate agency shall not have any interest in any other company or firm which is formed for the purpose of carrying on business as a Call Centre and rendering its Call Centre services to a general insurance company.

10.11 Refusal to Register or Cancellation of Registration

The entry of a person's name on the Register shall be prima facie evidence that the person described is registered and authorized to engage in general insurance agency business. However, an application for registration as agent may be refused or the Certificate of Registration cancelled, if the person:

a) is found to be of unsound mind;

b) has been convicted of criminal misappropriation, criminal breach of trust, cheating or abscondment or forgery or abetment of or attempt to commit any such offence;

c) has been convicted of fraud, dishonesty or misrepresentation against any member or against any person having official dealings with any member;
d) has been declared a bankrupt or insolvent;
e) has outstanding premium debts or other financial obligations with another insurer with whom he previously had an agency agreement;
f) has had his registration terminated.

In addition, a Certificate of Registration may be cancelled and removed from the Register if it comes to the knowledge of the Board that:

a) the person has obtained registration by a fraudulent or incorrect statement; or
b) there is no subsisting agency agreement with any general insurance company or companies he purports to represent

In any event a notice to cancel the Certificate of Registration of any person and to remove his name from the Register will be by giving fourteen (14) days' prior notice to the person concerned to appear before the Board or to give any evidence or explanation. The Board may order suspension of the Certificate of Registration of an agent whose conduct is under investigation by the Board.

10.12 Minimum Maintenance Requirement

With a view to instilling a higher level of professionalism and commitment amongst agents, every registered general insurance agent shall ensure that he procures sufficient general insurance business (be it new general insurance business or renewals of existing policies) which results in the actual receipt of gross premiums totalling at least RM 20,000 in a year.

The minimum maintenance requirement shall be achieved during either the first or second year of the two (2) year period of validity of the Certificate of Registration. An agent who fails to meet the minimum maintenance requirements shall not be entitled to renew his Certificate of Registration or apply for registration as an agent for a period of twelve (12) months.

10.13 Code of Practice

The **General Insurance Business Code of Practice for All Intermediaries Other than Registered Insurance Brokers (Code)** acts as a guide for agents to conduct general insurance business (as defined by the Financial Services Act 2013) with utmost good faith and integrity and to that effect a declaration of observance of the Code has to be signed by the registered general insurance agent.

The Code includes the manner in which agents handle complaints from policyholders and requires them to co-operate with the insurance company in establishing the facts as well as to give proper advice of the policyholder's rights and avenues for redress with the insurance company concerned. Insurers also undertake to enforce the Code and to use their best endeavours in ensuring that their marketing representatives observe the provisions therein.

A. Selling General Insurance

- **What the agent should do:**

a) make a prior appointment to call on his prospective client and to ensure unsolicited or unarranged calls are made at a time suitable to the client;
b) identify himself and the insurance company he represents and inform the client outright that his intention is to discuss matters relating to his insurance needs;
c) ensure as far as possible that the policy proposed is suitable to the needs and resources of the prospective policyholder;
d) give advice only on insurance matters in which he is knowledgeable and seek or recommend other specialist advice if necessary; and
e) treat all information supplied by the prospective policyholder in confidence for the sole purpose of issuing an insurance policy.

- **What the agent should *not* do:**

f) inform the prospective policyholder that his name has been given by another person, unless he is prepared to disclose that person's name if requested to do so by the prospective policyholder and has that person's consent to make that disclosure;
g) make, issue or cause any written or oral statement misrepresenting or making misleading, unfair or biased comparison regarding the terms conditions or benefits in any policy; or
h) prevent the prospective policyholder from stating material facts to the insurance company or induce the person not to state them; or
i) induce the person effecting insurance in making false statements misrepresenting material facts or prevent the person effecting the insurance from disclosing material facts or induce the person to hide any material facts in relation to the proposal for insurance;
j) engage any person to solicit general insurance on his behalf and pay to such person any commission or any other compensation in lieu of the business procured; however, a corporate agency may engage full-time employees for the purpose of soliciting general insurance on its behalf.

B. Providing Insurance Coverage

The role of the agent is to explain the main provisions of the insurance contract by drawing the client's attention to policy restrictions and exclusions applicable and if necessary, to obtain specialist advice (from underwriters) to explain the scope of coverage, terms and conditions of the policy (as recommended by the agent) to ensure that the customer is treated fairly and that he understands the product purchased. This includes any extra charge imposed in addition to the basic premium by disclosing the amount and purpose of such charge.

C. Disclosure of Underwriting Information

The agent shall:

i) take all reasonable steps to ensure that the necessary proposal forms are fully and accurately completed by each prospective policyholder;

ii) avoid influencing the prospective policyholder and make it clear that all the answers or statements are the latter's own responsibility;

iii) ensure that the consequences of non-disclosure and inaccuracies are pointed out to the prospective policyholder by drawing his attention to the relevant statement in the proposal form; and

iv) make all reasonable enquiries in regard to the risks and to bring to the notice of his Principal any circumstances which may adversely affect the risk to be underwritten.

D. Accounts and Financial Aspects

The agent shall, if authorised to collect monies in accordance with the terms of his agency appointment:-

i) keep a proper account of all financial transactions with a prospective policyholder which involves the transmission of money in respect of insurance (including any monies due to the policyholder on endorsements or discounts allowed by the insurance company on the policy);

ii) acknowledge receipt (which, unless the intermediary has been otherwise authorised by the insurance company, shall be on his own behalf) of all money received in connection with an insurance policy and shall distinguish the premium from any other payment included in the money; and

iii) remit any such monies so collected in strict conformity with his agency appointment.

E. Documentation

The agent shall not withhold from the policyholder any written evidence or documentation relating to the contract of insurance

(including any endorsements or discounts or monies due to the policyholder thereon that are allowed by the insurance company).

F. Existing Policyholders

The agent shall abide by the principles set out in the Code to the extent that they are relevant to his dealings with existing policyholders, with a view to conserving the business already secured, endeavour to maintain contact with all persons who have become policyholders through him and shall render all reasonable assistance to the claimants in filing claims forms and generally in complying with the requirement laid down in relation to settlement of claims.

G. Claims

i) If the policyholder advises the intermediary of an incident which might give rise to a claim, the intermediary shall inform the insurance company without delay, and in any event **within three (3) working days**, and thereafter give prompt advice to the policyholder of the insurance company's requirements concerning the claim, including the provision as soon as possible of information required to establish the nature and extent of the loss. Information received from the policyholder shall be passed to the insurance company without delay.

ii) Nothing contained in this Code, however, shall be deemed to confer any authority on an intermediary to perform functions pertaining to loss survey or loss adjustment or settling or approving of any insurance claims.

10.14 Premiums or Monies Collected on Behalf of Principal

An agent shall remit direct to his Principal or remit/deposit into a bank account designated by the Principal in the name of the Principal all premiums and/or monies collected on behalf of his Principal.

a) **"Cash-Before-Cover" for motor policies:** Premiums must be collected in full **before** the commencement of the assumption of risk and remitted to the Principal **within (7) working days** from the date of collection or inception of the policy, whichever is earlier;

b) **"Cash-Before-Cover" for individual personal accident and individual travel insurance:** all premiums must be collected in full before the commencement of the assumption of risk and remitted to his Principal **within fifteen (15) calendar days** from the date of receipt of the premium or inception of the policy, whichever is earlier;

c) **"Premium Warranty"** applies for other classes of business with the exception of Marine Cargo, Marine Hull, Bonds, Contractors' All Risks and Erection All Risks policies. An

agent may offer credit to his client for a maximum period of **sixty (60) days from the date of inception** of the policy and on such terms as are approved by his Principal in writing. All premiums collected by the agent must be remitted to the Principal **within fifteen (15) calendar days** from the date of collection.

10.15 Compliance with Cash-Before-Cover (CBC) Requirements for Motor Insurance Policies

As a Principal, a general insurance company is required to monitor its agents' compliance with CBC requirements for motor policies on a quarterly basis called "**Reporting Quarters**" for every two (2) calendar year period. The first of the two (2) calendar year period starts from 1 July 2005 and expires on 31 December 2006 and thereafter starts afresh for the next two calendar years.

Non-compliance with CBC requirements by an agent or agents will be reported to the Board of Persatuan Insurans Am Malaysia, every reporting quarter. This is followed by a **Notification of Suspension Event** issued to the respective agent(s) in writing not later than fourteen (14) days after the expiry of the Reporting Quarter when the suspension event took place.

An agent will be suspended from conducting any CBC business for a period of six (6) months commencing fourteen (14) days from the date of notification of the suspension. All computer system access linked to the Principal's motor insurance business will be simultaneously shut down to prevent any unauthorised transactions by the suspended agent.

Events leading to a suspension event:

a) Non-compliance with CBC requirements: an agent regardless of whether he is registered with one or two Principals fails to remit motor insurance premiums to his Principal **within (7) working days** from the date of collection or inception of the policy, whichever is earlier.
b) Non-compliance with CBC requirements committed by an agent during any **three (3) reporting quarters,** whether consecutive reporting quarters or otherwise but within the two (2) year period, with one or both Principals.
c) Non-compliance with CBC requirements with **any one Principal** entitles the other Principal to similarly suspend the agent within fourteen (14) days from the date of receipt of such notification of a suspension event and the suspended agent would not be allowed to appoint a new Principal and/or change Principals during the period of suspension.
d) Upon expiry of the six (6) month suspension period, if the agent is again in breach of the CBC requirements for a

subsequent Reporting Quarter within the two-year period, the Board will cancel the Certificate of Registration and the agent will be barred from conducting any general insurance business for a period of twelve (12) months.

10.16 Continuing Professional Development (CPD)

The objective of Continuing Professional Development (CPD) is to raise the standard of competency and professionalism of the general insurance agency force in Malaysia. A registered general insurance agent is required to complete 20 CPD training hours in a year to comply with the **Minimum CPD Training Hours** effective January 1, 2005.

Credit points and accreditation can be earned either by attending training programmes or through assessment conducted by a trainer (such as assignments, evaluation tests, examination, etc.). The training should generally be based on skills and knowledge, regardless if they are structured or ad hoc.

As a guide, the breakdown between technical and non-technical training hours is as follows:

- Technical Training - minimum of 60% (12 hours)
- Non-Technical Training - maximum of 40% (8 hours)

10.17 Corporate Nominee

A corporate agency shall be represented by a Corporate Nominee subject to the approval of the Board and fulfilling the following qualifying criteria:-

- is the principal officer of the corporate agency or such other officer as may be approved by the Board in writing;
- is engaged full time in the principal office of the corporate agency; and
- is a person of good character and high business integrity.

Where a Corporate Nominee leaves the employment of the agency, the agency is required to replace the Corporate Nominee within 30 days from the date of resignation of the Corporate Nominee from the agency.

10.18 Contravention of GIARR

Where the Board has reason to believe that an agent has acted in contravention of the General Insurance Agents Registration and Regulations (GIARR), the Board may issue orders to the agent concerned for any or all of the following:-

a) the presentation of the written statements, illustrations or other material used by him in the course of soliciting for general insurance business;
b) the submission of a statement or report under oath concerning the matter(s) alleged against him;

c) allowing access during normal working hours to a duly authorized inspector/s appointed by the Board to inspect the agent's books, documents and other materials and to make any extracts necessary from those records.

An agent who fails to comply with an order of the Board within fourteen (14) days after receipt of a written notice from the Board shall be deemed to have committed an offence.

10.19 Inquiries into Complaints

Any written complaint against an insurance agent for alleged misconduct or unprofessional conduct will result in an inquiry into the said complaint or allegation and if the Board is satisfied that a case has been established the Board may order suspension of the current Certificate of Registration or if the agent is exempted from registration, require the agent to suspend all or such part of the agent's general insurance business as determined by the Board.

If after due inquiry the Board finds a registered general insurance agent or any person applying for registration guilty of the alleged offence or misconduct the Board shall cancel the Certificate of Registration of the person concerned or refuse to register him, as the case may be, provided that if the Board feels the conduct was not such as to warrant deregistration it may suspend the Certificate of Registration or impose a fine or both and/or reprimand in areas deserving censure.

Appeals:

Any person who has been found guilty in accordance with the Regulations above or whose registration has been cancelled or whose application for registration has been rejected by the Board in the circumstances cited by the Regulations is entitled to appeal to the Management Committee.

i) The person submitting an appeal shall do so in his own name;
ii) The appeal shall be in writing addressed to the Management Committee and shall not contain any disrespectful or improper language and shall be complete in itself;
iii) The appeal shall be submitted through the Board;
iv) No appeal under this Regulation shall be entertained unless it is submitted within a period of three (3) months from the date on which the intending appellant receives a copy of the order appealed against. Provided, the Management Committee decides to entertain the appeal after the expiry of the said period if it is satisfied that the intending appellant had sufficient cause for not submitting the appeal within the timeline.
v) The Board shall within a period of three (3) months from the date of receipt of appeal transmit to the Management Committee the appeal together with its comments and all relevant records.

Consideration of Appeal:

i) Where an appeal has been received, the Management Committee shall consider all circumstances of the case and make such order(s) deemed fit after the appellant has been given a reasonable opportunity to represent his case either in person or by written submissions.

ii) All appeals shall be disposed of as expeditiously as possible, and in any event not later than six (6) months from the date of receipt of the appeal by the Management Committee.

10.20 Self-Assessment Questions

1. What are the objectives of the Inter-Company Agreement on General Insurance Business (ICAGIB)?

I. To regulate and control the conduct and activities of every person transacting general insurance business in Malaysia

II. To regulate the conduct of general insurance companies in Malaysia

III. To monitor tariffs, commissions and remuneration applicable to such general insurance business

IV. To supervise the conduct of general insurance intermediaries with the public

a) I, II, and III

b) II and III

c) I and III

d) I, II, III and IV

2. How does the General Insurance Agents Registration and Regulations (GIARR) define a 'registered general insurance agent'?

a) A body corporate authorized to sell general insurance products for any insurance company or companies

b) An individual person or persons whether corporate or unincorporated authorized to sell, solicit or negotiate any general insurance (other than life insurance) for and on behalf of an insurer

c) An individual authorized by a principal insurance company to sell their general insurance products

d) Any person registered with Persatuan Insurans Am Malaysia as an agent to sell general insurance in Malaysia

3. Which is the qualifying examination that an agent should pass before registration as an agent with the General Insurance Association of Malaysia?

a) Sijil Pelajaran Malaysia (SPM)

b) Certificate of The Malaysian Insurance Institute (CMII)

c) Pre Contract Examination for Insurance Agents (PCEIA)

d) Basic Agency Management Course (BAMC)

4. What is the penalty imposed by the principal if an agent contravenes the Cash-Before-Cover (CBC) regulations for motor insurance?

a) The agent will be suspended from doing any general insurance business for a period of six (6) months.

b) The agent will be suspended from conducting any CBC business for a period of six (6) months.

c) The agent's computer access will be immediately shut down without notice.

d) The agent will have to pay a fine of RM 500,000

5. **What is the purpose of the General Insurance Business Code of Practice for All Intermediaries Other than Registered Insurance Brokers?**

   I. Act as a guide for agents to conduct general insurance business with utmost good faith and integrity

   II. Prescribe the manner in which agents handle complaints from policyholders

   III. Require agents to co-operate with the insurance company in establishing the facts of any complaint or dispute

   IV. Require agents to give proper advice of the policyholder's rights and avenues for redress with the insurance company

   a) I, II, and III

   b) I, III and IV

   c) III and IV

   d) I, II, III and IV

6. **What is the Minimum CPD Training Hours for a registered general insurance agent effective January 1, 2005?**

   a) 30 hours a year

   b) 20 hours a year

   c) 20 hours in two years

   d) 25 hours in two years

7. **A general insurance agent can represent _____ insurance companies named in the Certificate of Registration which is valid for _____ years.**

   a) two /two

   b) three/ two

   c) two/three

   d) three /three

8. **What do you understand by 'Cash-Before-Cover' regulations for motor policies?**

   a) Part of the premium must be collected before the commencement of risk.

   b) Premium must be collected in full before the commencement of risk.

   c) Full premium must be collected within 7 working days of the commencement of risk.

   d) Premiums must be paid within 7 working days of the commencement of risk.

9. **What event could lead to the suspension of an agent from transacting motor insurance for six months?**

   a) Non-compliance with CBC requirements during 3 reporting quarters within a 2-year period, with one or both Principals

   b) Non-compliance with CBC requirements during 2 reporting quarters within a 2-year period, with any one Principal

c) Non-compliance with CBC requirements during 2 reporting quarters within a 3-year period, with any one Principal

d) Non-compliance with CBC requirements during 3 reporting quarters within a 3-year period, with one or both Principals

10. Which of the following is NOT true with regard to the role of an agent in handling an insurance claim?

a) Inform the insurance company within 3 working days of receiving advice of an incident which might give rise to a claim.

b) Give prompt advice to the policyholder of the insurance company's requirements concerning claim documents.

c) Assist the policyholder to gather information required to establish the nature and extent of the loss and pass the information to the insurer without delay.

d) Conduct a loss survey or loss adjustment so that the insurance claim can be settled promptly.

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 11 Legal Aspects of Life Insurance

11.1 Introduction

Schedule 8 of the Financial Services Act 2013 (FSA) on '*Provisions Relating to Policies*' sets the benchmark for the legal aspects of life insurance covered in this chapter.

11.2 Misstatement of Age

A life insurer shall *not* avoid a life policy or refuse a claim by reason only of a *misstatement of age* of the life insured. However, the insurer may take the following course of action:

True age as shown by the proof is **greater:**

- vary the sum assured and the bonuses in **proportion to** the amount of premiums paid and on the true age.

True age as shown by the proof is **less:**

- either vary the sum assured and the bonuses
- **or** reduce the premiums and **refund** as over-payments to the policy owner.

Period of coverage is calculated by reference to the **age** of the life insured:

- vary the policy by changing its **period of coverage** to the period that would have been based on the true age.

11.3 Objection to Life Policy

A policy owner may within **fifteen (15) days after the delivery** of a life policy, return it to his insurer and the insurer will have to immediately refund any premium which has been paid after deduction for expenses incurred for the medical examination of the life insured. Upon refund of the premium, the policy shall be deemed cancelled and the liability of the insurer will cease.

With regard to an investment-linked life insurance, the insurer shall refund any unallocated premiums and the value of any units

allocated at the unit price at the next valuation date and any insurance charges and fees which have been deducted less any expenses incurred for medical examination of the life insured.

11.4 Insurable Interest

Insurable interest is the extent of the insured's monetary interest in the subject matter of the insurance. The principle that insurable interest only need be present at the inception of the policy was established in *Dalby v. The India and London Life (1854),* which ruled that individuals have *unlimited* insurable interest on their own lives and that of their spouse.

Because life insurance is an agreement for the payment of monies on a person's death or on the happening of a contingency dependent on his death or survival, a person insuring the **life of another** must have insurable interest in that life *at the inception of the policy*; otherwise, the policy issued shall be *void*.

- *An employer has an insurable interest in key employees as without them they would incur a financial loss.*

- *A creditor has insurable interest in a debtor to the amount of the outstanding debt.*

The FSA stipulates that a person is deemed to have insurable interest *in relation* to another person who is:

a) his spouse, child or ward being under the age of majority at the inception of the policy;
b) his employee; or
c) a person on whom he is wholly or partly dependent for maintenance or education at the time the insurance is effected.

11.5 Capacity of Minor to Insure

A minor who has attained the age of *ten (10) years* but has not attained the age of sixteen years may take up a life insurance policy on his own life or on the life of another in which he has insurable interest **with the consent of his parent or guardian**. A minor who has attained the age of *16 years* may also take up a life insurance policy on his own life or on the life of another in which he has insurable interest.

Both may assign the life policy on their own life or take an assignment of a life policy with the consent of a parent or guardian.

11.6 Life Policy Monies to be Paid without Deduction

Policy monies payable under a life policy or monies payable on the surrender of a life policy shall be paid *without* any deduction for monies not due under the life policy unless the deduction is made with the consent of the persons entitled to the policy monies.

11.7 Surrender of Life Policy

A regular premium policy acquires surrender value after the policyholder has paid the premiums continuously for **three (3) years**. A mid-term surrender would result in the policyholder getting a sum of what has been allocated towards savings and the earnings thereon. From this will be deducted a surrender charge, which varies from policy to policy.

A policy owner may by notice in writing surrender a life policy and shall be entitled to receive the surrender value which shall be determined :-

a) in accordance with generally accepted actuarial principles;
b) in a manner ensuring fair treatment of the policy owners; and
c) in compliance with standards of business conduct or fair treatment of policy owners.

What do policyholders stand to lose when they surrender the policy?

On the surrender of a policy, all the benefits associated with it, including the protection cover will cease to exist. During the initial years of the policy (say 3 years from its inception), the surrender value will amount to roughly 30 per cent of the premiums paid to date because insurance companies exclude the premium paid in the first year while calculating the surrender value.

In the case of investment-linked insurance plans, the insured stands to lose a great deal as the premium allocation *charges* in these schemes are front-loaded. In other words, a sizeable chunk of the premium paid in the initial years goes towards charges, including agent's commission, and the remaining, substantially reduced amount, is directed to the policy owner's insurance fund.

11.8 Non-Payment of Life Policy Premiums

Where a life policy provides for a *surrender value*, it shall *not* lapse or be forfeited (i.e. non- forfeiture condition) by reason of non-payment of premiums but shall have effect subject to such modification as to the period for which it is to be in force, or of the benefits receivable under it, or both.

The **non-forfeiture condition** in a life insurance policy is a valuable **privilege** to the policy owner who may have overlooked to pay the premium or is going through financial hardship and is temporarily unable to pay the premium. There are two options available under the policy:-

1. convert to a paid up policy, which means no further premiums will be payable but for a reduced sum assured; or

2. shorten the duration of the term or period of cover but for the full sum assured.

The appropriate modification depends on the surrender or cash value available and the individual's need for continued insurance protection in accordance with his financial capacity to pay future premiums.

11.9 Election for Paid Up Policy

Where a life policy provides for a surrender value, the policy owner may by notice in writing to the insurer elect to exchange the life policy for a **paid up policy** for a sum insured which shall be determined :-

a) in accordance with generally accepted actuarial principles;
b) in a manner ensuring fair treatment of the policy owners;
c) in a manner consistent with the surrender value payable; and
d) in compliance with standards of business conduct or fair treatment of policy owners.

A life policy shall remain in force in the event of an election for conversion to a paid up life policy until the date on which the next premium on the original policy is due.

Note: The additional rights conferred by items 11.6 (surrender of life policy), 11.7 (non-payment of life policy premiums) and 11.8 (election for paid up policy) shall be in addition to any other rights available to the policy owner under the terms of the life policy.

11.10 Disclosure Requirements

No person shall invite any person to make an offer or proposal to enter into a contract of insurance without disclosing:

a) the name of the licensed insurer,
b) his relationship with the insurer, and
c) the premium charged by the licensed insurer.

No person shall arrange a **group policy** for persons in relation to whom he has no insurable interest without disclosing to that person:

a) the name of the licensed insurer,
b) his relationship with the insurer,
c) the conditions of the group policy, including the remuneration payable to him, and
d) the premium charged by the licensed insurer.

11.11 Requirements Relating to Group Policies

An insurer shall be liable to the person insured under a group policy if the group policy owner has **no insurable interest** in the life of that person insured and if that person has paid the premium to the group policy owner *regardless* that the insurer has not received the premium from the group policy owner.

Therefore, where the group policy owner has no insurable interest in the life of a person insured by a group policy, the insurer shall pay the monies due under the policy directly to that person insured or any person entitled through him.

11.12 Non-Contestability for Life Insurance Contracts

Part 3 to Schedule 9 of the Financial Services Act 2013 (FSA) refers to non-contestability and remedies for misrepresentation which apply to life insurance whether or not consumer insurance contracts. (A 'consumer insurance contract' is one entered by an individual not related to the individual's trade, business or profession.)

The law states that "where a contract of life insurance has been in effect for **a period of more than two (2) years** during the lifetime of the insured, such a contract shall **not** be avoided by the life insurer on the ground that a statement made or omitted to be made in the proposal for insurance or in a report of a doctor, referee or any other person or in a document leading to the issue of the life policy was inaccurate or false or misleading *unless* the insurer shows that the statement was on a **material matter** or suppressed a **material fact** and that it was fraudulently made or omitted to be made by the policy owner or the insured".

This means that if the life insurance policy has been in force for a period of more than two (2) years, the insurer will not be able to contest the validity of the policy if there was erroneous or careless misrepresentation in the proposal form unless the insurer can show proof that the misrepresentation or non-disclosure was of a material fact done deliberately or with fraudulent intent to cheat the insurance company.

A 'material matter' or 'material fact' means a matter of fact which, if known by the insurer, would have led to its refusal to issue a life policy or would have led it to impose terms less favourable to the policy owner than those imposed in the life policy.

11.13 Self-Assessment Questions

1. When does a life insurance policy acquire a surrender value?

a) Any time after policy inception

b) After three years of premium payment

c) On the third anniversary of premium due date

d) Two years after policy inception

2. When does a minor possess the capacity to insure?

I. A minor who has attained the age of ten years on his own life

II. A minor who has attained the age of ten years on the life of another in which he has insurable interest with the consent of his parent or guardian

III. A minor who has attained the age of sixteen years on his own life

IV. A minor who has attained the age of sixteen years on the life of another in which he has insurable interest

a) II, III and IV

b) I, II, III and IV

c) II and IV

d) I and II

3. Which of the following statements is NOT true about insurable interest in life insurance?

a) A person has insurable interest in his own life to an unlimited extent.

b) A life policy shall be void unless the person has insurable interest in that life insured.

c) Insurable interest must exist at the inception of the life policy.

d) Insurable interest means payment of monies on the person's death or survival.

4. When an agent invites any person or individual to make an offer or proposal to enter into a contract of insurance, the agent should disclose

I. the name of the licensed insurer.

II. his relationship with the insurer.

III. the premium charged by the licensed insurer.

IV. the benefit of taking up the offer with him.

a) I, II, III and IV

b) I, II and III

c) II and IV

d) I and II

5. A person is said to have insurable interest in relation to another person who is

I. his spouse.

II. his child or ward being under the age of majority at the time the insurance is effected.

III. his employee.

IV. a person on whom he is wholly or partly dependent for maintenance or education at the time the insurance is effected.

V. his debtor to the amount of outstanding debt.

a) I, II and III

b) I, II, III, IV and V

c) I and II

d) I, II, III and IV

6. What is the meaning of 'non-contestability' in a life insurance contract?

a) A life insurer is not allowed to contest the validity of the contract on the grounds of fraud.

b) A life insurer is not allowed to contest the validity of the contract for misrepresentation after the policy has been in force for more than 2 years.

c) A life insured is not allowed to contest the decision of the life insurer not to accept his proposal.

d) A life insurer is not allowed to void the contract when false statements were made by the insured.

7. What remedy is available for a policy owner who is not agreeable to the policy terms after taking delivery of the policy?

a) Return the policy to the insurer within 30 days and request cancellation of the policy

b) Return the policy to the insurer within the grace period and demand cancellation

c) Return the policy within the 15 days and refund any expenses incurred by the insurer for issuing the policy

d) Return the policy to the insurer within 15 days and expect a full refund minus expenses incurred for medical examination

8. If a group insurance is arranged for persons in relation to whom the group policy owner has *no* insurable interest, the agent should disclose to each of the insured person?

a) the name of the licensed insurer

b) his relationship with the insurer

c) the conditions of the group policy, including the remuneration payable to him and the premium charged by the licensed insurer

d) a, b and c

9. A matter which, if known by the insurer, would have led to its refusal to issue a life policy or would have led it to impose terms less favourable to the policy owner than those imposed in the life policy is termed

a) key term.

b) material fact.

c) exclusion.

d) condition of the contract.

10. Which of the following statements is true?

a) A life insurer may avoid a life policy or refuse a claim under a life policy by reason only of a misstatement of age of the life insured.

b) Where the true age as shown by the proof is greater than that on which a life policy is based, the life insurer may avoid the life policy or refuse the claim.

c) Where the true age as shown by the proof is less than that on which a life policy is based, the life insurer may avoid the life policy or refuse the claim.

d) A life insurer may vary the policy by changing its period of coverage to the period that would have been based on the true age in the case of a misstatement of age.

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 12 Life Insurance Products

12.1 Introduction

Life insurance is a contract between a policy owner and the insurer, whereby the insurer agrees to pay a specific amount of money (**sum assured**) to the policy owner or directly to the beneficiaries on death, disability or diagnosis of a critical illness. The policy owner in return will pay a fixed amount of money, at regular intervals or in a lump sum (**premium**) into a fund managed by the insurance company.

The term **'assurance'** means coverage of an event that is **certain** to happen. Assurance is similar to **'insurance'** (and sometimes the terms are interchangeable) except that insurance protects policyholders from events that are **uncertain** or might happen.

In addition to securing **financial protection** for dependents and covering the family's daily expenses, life insurance helps beneficiaries in the following ways:

- Maintain their standard of living
- Pay off any household debt
- Secure children's education
- Supplement retirement savings

12.2 Types of life Insurance Policies

1. Term
2. Whole Life
3. Endowment
4. Investment-Linked
5. Life-Annuity Plan

12.2.1 Term Assurance

This is the earliest and simplest form of life insurance and as the word 'term' suggests, is for a fixed term or period and is not permanent (unlike 'whole life'). The sum assured will be paid only on death but some term assurance policies also include critical illness and disability.

Term assurance provides the purest form of life insurance protection for the **lowest premium** as no benefits are payable if the life assured

survives the term. There is no cash or surrender value if the policy owner decides to terminate or cancel the insurance mid-term.

There are many variations to term assurance, each with its own unique feature to cover specific needs of the consumer, for example:

- **Guaranteed insurability** option guarantees renewal without a new application or health declaration to be submitted.
- **Guaranteed convertibility** option guarantees conversion from term to permanent life insurance without a health declaration but subject to premium rate review on conversion.
- **Decreasing term assurance** is when the level of protection is reduced but the premium remains unchanged throughout the term of the policy. Such policies are appropriate for mortgage protection where the sum assured reduces as the loan is being repaid.

The advantages and drawbacks of term assurance are summarised below:

Advantages	Disadvantages
Lower Premiums: Term life insurance has the lowest premiums compared to other forms of life insurance. Such policies are suitable for persons with low incomes (starting a job or career) and require high protection for their dependents. They are also suitable for those just starting a new business and have invested substantial resources or capital in the business or a business enterprise may need to insure a **'key man'** (shareholder or partner) whose premature death could adversely affect the sustainability of the business.	**Increase in premiums** may pose particular hardship upon conversion from term to permanent as premiums depend on the age and medical condition of the policy owner.
Flexibility of Application: Insurance companies are more flexible in accepting applications because of the non-permanent nature of cover, particularly younger applicants below the age of 50 years and who are in good health are not required to go through a medical examination. Policies also provide **'guaranteed insurability'** option upon renewal.	**Age restrictions** may apply for applicants above the age of 50 – 55 years.
Flexibility of Policy: Many term policies offer a term-to-permanent insurance privilege with a **'guaranteed convertibility'** option.	**No cash value** because pure risk premium is charged without any investment value.

12.2.2 Whole Life Assurance

Whole life insurance is the purest form of **permanent** life insurance protection for the 'whole of life'. It is also the cheapest form of permanent protection for dependents as the policy remains in force as long as the premiums are paid. The disadvantage, however, is that premiums have to be paid even in old age or until a claim such as critical illness or disability arises. The sum assured is payable only on death or upon the attainment of a certain age such as 85, 90 or 100 years.

In some cases, **Limited Payment Whole Life Assurance** policies are available where the sum assured is payable only on death, but premiums are payable for a limited number of years or ceases upon attainment of a specified age e.g. 60 or more. The advantage is that although premiums are higher, the 'saving element' provides for greater **cash value** which may come in handy in the event of an emergency when the policyholder may take a policy loan to pay off future premiums or the policy becomes **fully paid up** under the non-forfeiture provision (without having to pay future premiums) based on the cash value which accumulates after three (3) consecutive years of premium payment.

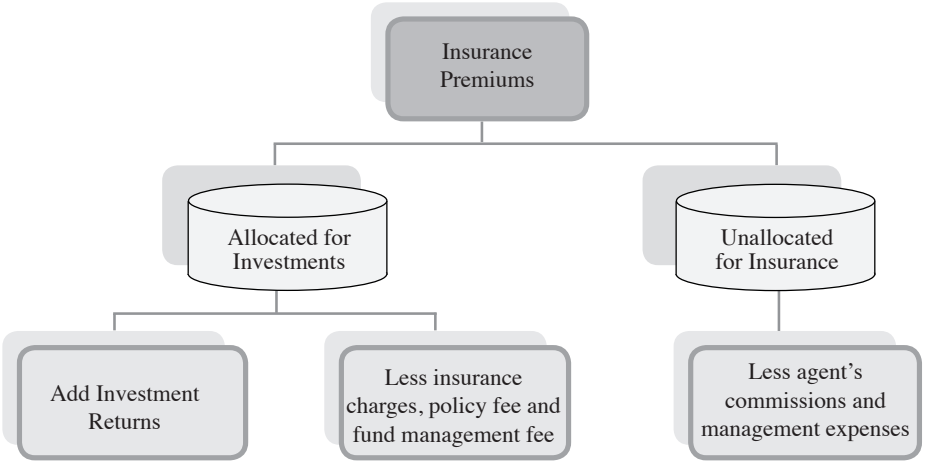
12.2.3 Endowment Insurance

Endowment is an insurance contract which guarantees the payment of the sum assured if the policyholder survives to the end of the policy term or on 'maturity date'. The sum assured is paid to the beneficiaries in the event of premature death. Endowment insurance therefore provides both **protection and savings** which enable the policyholder to fund children's education or save for retirement. With the acquired cash value the policy provides special privileges like non-forfeiture and paid-up policy provisions.

12.2.4 Investment-Linked Life Insurance

Investment-linked life insurance combines **investment and protection** in a single policy. The insurance company sets aside a specific fund from the premium for investment purposes. The policyholder is given the option of investing in equities (higher risk), bonds or fixed income securities (lower risk) or a combination of both. Some insurers disclose the percentage that is invested but the policyholder may not know exactly the amount of returns earned on the investments because the investment portfolio is under the management of the insurance company. Insurers deduct charges which include policy fee and fund management fee from the investment portion and other charges such as commissions and expenses from the insurance portion.

How investment-linked life insurance works:



12.2.5 Life-Annuity Plan

An annuity is a **retirement fund** which can be purchased for the right to a series of periodic payments at intervals of one year or less under a contract with a life insurer. Therefore, life-annuity plans differ from life insurance contracts in that an annuity does not provide for the payment of the sum assured on death, disability or critical illness. It provides a **'pension'** for the lifetime of the annuitant. If death occurs during the annuity period, the premium (or the balance of it) will be paid to the beneficiary or spouse of the annuitant depending on the type of annuity purchased.

There are two types of Annuities:

1. **Immediate Annuity:** Payments begin immediately after the purchase of the annuity and continues until the remainder of the lifetime of the annuitant.

2. **Deferred Annuity:** Payment begins any time after twelve months or on the attainment of a specified age when the insurer will begin the periodic payment until the death of the annuitant. The premium for the purchase of the annuity is paid in one lump sum at entry or periodic payments for a defined period (say 10 years). If death occurs during the period of 'deferment', the premiums paid are returned with or without interest

It is important to note that effective 2013, the government of Malaysia granted an 8% tax exemption on investment income in a *deferred annuity fund* to life insurers. This complements the existing 10-year **personal tax relief of RM 3,000** on voluntary contributions to insurance annuities. Collectively, these tax incentives are expected to translate into lower insurance premiums for the benefit of policyholders.

12.3 Critical Illness Insurance

In Malaysia, critical illness insurance is sold as an optional extra or as a stand-alone life or health insurance policy. The policy makes a *lump sum cash payment* if the policyholder is ***diagnosed with one of the critical illnesses*** listed in the policy. The standardisation of critical illnesses provides clarity of cover at the time of claim. The policy is automatically terminated on payment of the sum assured and no further cover or sums will be payable if death occurs subsequently.

List of the 36 Critical Illnesses Applicable to Policies Issued in Malaysia:

1.	Stroke
2.	Heart Attack
3.	End Stage Kidney Failure
4.	Cancer
5.	Coronary Artery By-Pass Surgery
6.	Other Serious Coronary Artery Disease
7.	Angioplasty and Other Invasive Treatments for Major Coronary Artery Disease
8.	End Stage Liver Failure
9.	Fulminant Viral Hepatitis
10.	Coma
11.	Benign Brain Tumour
12.	Occupationally Acquired Human Immunodeficiency Virus (HIV) Infection
13.	Blindness (Total Loss of Sight)
14.	Deafness (Total Loss of Hearing)
15.	Major Burns
16.	HIV due to Blood Transfusion
17.	End Stage Lung Disease
18.	Encephalitis
19.	Major Organ/Bone Marrow Transplant
20.	Loss of Speech
21.	Brain Surgery
22.	Heart Valve Surgery
23.	Terminal Illness
24.	Bacterial Meningitis
25.	Major Head Trauma
26.	Chronic Aplastic Anaemia
27.	Motor Neuron Disease
28.	Parkinson's Disease
29.	Alzheimer's Disease/ Irreversible Organic Degenerative Brain Disorders
30.	Muscular Dystrophy
31.	Surgery to Aorta
32.	Multiple Sclerosis
33.	Primary Pulmonary Arterial Hypertension
34.	Medullary Cystic Disease
35.	Severe Cardiomyopathy
36.	Systemic Lupus Erythematosus with Lupus Nephritis

12.4 Group Life Insurance

Group life insurance is arranged mainly by employers (who have insurable interest in the lives of their employees) to provide employee benefits under a master policy. The insurance may be either on a contributory (premium paid by the employee) and voluntary basis or non-contributory (premiums paid by the employer) basis.

Group insurance is also arranged for members of trade unions, associations and other entities who *do not have insurable interest* in the lives of their members. In this regard, the *Financial Services Act 2013 (FSA)* provides that no person shall arrange a group policy for persons in relation to whom he has no insurable interest without disclosing to *each* person:

- the name of the insurer;
- his relationship with the insurer;
- the conditions of the group policy, including the remuneration payable to him; *and*
- the premium charged by the insurer.

The FSA also provides that an insurer is liable to the person insured under a group policy if the group policy owner has no insurable interest in the life of that person and where the person has paid the premium to the group policy owner, the insurer will be liable *regardless* the insurer has received the premium from the group policy owner. The insurer will pay the monies due to the person insured under the group policy or any person entitled through him.

12.4.1 Group Life Underwriting Guidelines

Designed to prevent anti-selection, minimum standards for the acceptance of risks for group insurance are established such as:

1. **Minimum number of employees** in a group is usually ten (10) although special consideration may be given for non-contributory schemes, where the employer pays the premium and 100% of eligible employees are insured. In all other cases, at least 75% of eligible employees must join the plan.
2. **Eligibility** is confined to only permanent employees between the ages of 16 and 60 although the age limit may be extended on demand. New employees will be automatically added while employees who resign, retire or who are terminated will be deleted from the date of their recruitment or termination as the case may be.

12.5 Supplementary Contracts

A **rider** is a supplementary contract offering additional benefits to a life insurance policy (which basically covers death) to include specific contingencies like accident, disability and hospitalisation. Riders therefore supplement the basic life insurance policy with additional benefits on payment of additional premium.

1. **Personal Accident (PA) Rider:** provides payment of an additional benefit or sum insured in the event of death or disability caused by an accident. 'Accident' is defined to mean 'bodily injury solely and directly caused by external, violent and visible means'.
2. **Waiver of Premium Provision:** waives future premium payments in the event of a disability that is deemed total and permanent for the rest of the insured's life. The disability may

result from sickness or accident but a medical practitioner will have to certify the improbability of the insured being able to pursue his usual occupation. Nowadays, insurers grant this benefit without any extra charge if the basic cover is designed to include appropriate risk premium for such exposure.

12.6 Participating and Non-Participating Contracts

A participating life policy means a life policy conferring a right to the policy owner to participate in allocations, from the assets of an insurance fund, the amount or timing of which is at the discretion of the insurer. A life insurance company is required to establish and maintain a separate insurance fund for its life insurance business relating to participating life policies.

When the assets of the insurance fund exceed the liabilities, there is a **surplus**. The surplus of a life insurance fund will be distributed (on the recommendation of an appointed actuary) either as a transfer out of the life insurance fund to the shareholders' fund to pay dividends to shareholders and/or relating to participating policies as bonus to policyholders.

Non-participating policyholders have no right to share in the divisible surplus of the insurer's life insurance fund.

12.7 Methods of Distributing Surplus

a) **Simple Reversionary Bonus:** The bonus is declared as a percentage of the sum assured and the bonus is paid in the same circumstances as the original sum assured (i.e. on death or on maturity).
b) **Compound Reversionary Bonus:** The bonus allotted is in proportion to the sum assured and the bonus accumulated under the policy and the bonus is paid in the same circumstances as the original sum assured (i.e. on death or on maturity).
c) **Cash Bonus:** The bonus usually takes the form of a cash distribution and is usually contingent upon the payment of the next premium. When a participating policy is surrendered (terminated), the cash value includes the cash bonus.
d) **Maturity or Terminal Bonus:** This is a method of passing on to the policyholders some of the benefits of the unrealized capital appreciation of ordinary shares and property holdings of the company. The rate of bonus declared on each valuation is valid for the period up to the next valuation only and does not create any right to bonus beyond the next valuation date.

   Terminal bonus is only paid on policies resulting into claims either by maturity or death, provided the policies concerned had been kept fully in force by payment of premiums until such date of claim. Where premiums had been discontinued this bonus would not be payable.

Also, it is normal to prescribe a minimum period for which the policy should have been in force at the time payment becomes due, say 15 or 20 years. Any policy which has not been in force for this stipulated period may not be entitled to this bonus.

The bonus is usually expressed as a percentage of the attaching reversionary bonuses, say 25% of all existing bonuses. It could even be expressed as a percentage of the basic sum assured for each year the policy has been in force.

e) **Interim Bonus:** Is normally declared at the valuation date for the policy year preceding that date i.e. in arrears. A question therefore arises as to what happens to policies which result in claims in between valuation dates. In these cases, bonuses are paid at an interim rate and are called interim bonuses.

The rate of such bonuses is decided in advance and though in principle, it should be at the rate expected to be declared at the next valuation date, it usually is equal to the bonus last declared.

f) **Guaranteed Bonus:** Some life insurance policies provide for a guaranteed bonus each year. Since the bonus is guaranteed, such policies are strictly non-participating policies with the sum assured increasing automatically each year at a predetermined rate.

12.8 Self-Assessment Questions

1. The major objective of buying life insurance is

a) to supplement retirement income.

b) to reduce the financial burden of the insured.

c) to protect the dependents in the case of premature death of the breadwinner.

d) to maximize savings.

2. A retirement annuity is particularly attractive to someone who has

a) a large family.

b) a severe illness.

c) low longevity risk.

d) high longevity risk.

3. Which of the following policies has no savings element in it?

a) Whole life

b) Endowment

c) Term

d) None of the above

4. A whole life policy differs from a term policy in that

a) premium on a whole life policy increases each year.

b) no premiums are required when the insured turns 65.

c) the rate on a whole life policy is always lower than that charged on a term policy.

d) a whole life policy accumulates cash value, whereas a term policy does not.

5. When the assets of the life insurance fund exceed the liabilities, there is/are

a) a surplus.

b) profits.

c) cash dividends.

d) a bonus.

6. When must insurable interest exist for a life insurance contract?

a) At the time of claim

b) At the time of surrender

c) At inception of insurance

d) At the time of changing the beneficiary

7. An option to convert a term to permanent insurance without proof of insurability but with premium adjustment is known as

a) guaranteed suitability option.

b) guaranteed insurability option.

c) guaranteed convertibility option.

d) guaranteed permanent option.

8. Which of the following in NOT true with regard to a whole life policy?

a) The sum assured of the policy will never be greater than the accumulated cash value.

b) Towards the end of its period, more premium is allocated for cash value accumulation than the protection element.

c) When the insured dies, the beneficiary will receive the sum assured and any accumulated cash value.

d) A whole life policy may be thought of as a forced method of saving.

9. What is the "waiver of premium" provision in a life insurance policy?

a) It waives the suicide clause.

b) It allows the person to purchase additional insurance at no extra cost.

c) It pays future premiums in the event of a permanent disability.

d) It allows an insurance agent to pay premiums for the policyholder.

10. Life insurance policyholders have a right to share in the divisible surplus of the insurer's life insurance fund only if

a) the company earns a specified amount of profits.

b) the policy is issued by a takaful company.

c) the policy is from specific life insurance companies.

d) they own a participating policy.

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 13 Life Insurance Premium Rating

13.1 Introduction

Life insurance contracts are long term and permanent and require life insurance companies to set aside 'capital reserves' to pay policy benefits and to honour contractual obligations assumed many years after the policies have been issued. In this regard, actuaries play an important role in determining premium that is commensurate with the risk profiles and contingent events.

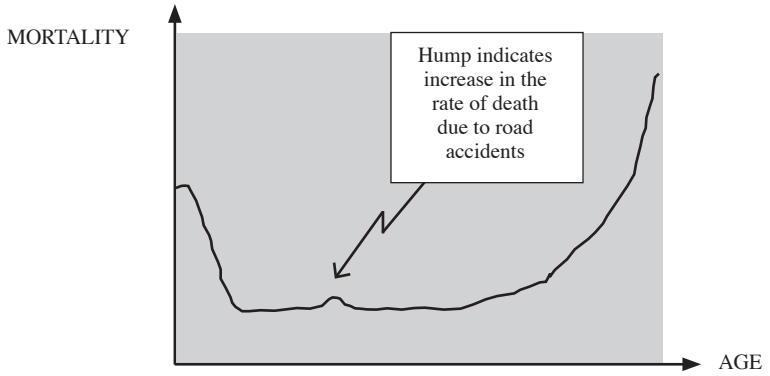
13.2 Costing the Risk

In pricing life insurance premiums, the insurer has to take into account key elements and risk factors such as mortality, investment returns, and the effect of inflation on expenses, amount of corporate tax, etc., all which have a bearing on the final premium computation. In addition, the insurer's ability to meet contractual obligations (such as guaranteed cash values and bonus) in the future while having to pay management expenses (which include staff salaries and agents' commissions) in the present is also an important consideration.

13.2.1 Mortality

The relative frequency of deaths in a specific population is mortality or the **'rate of death'**. The mortality table is a practical tool used by life insurers to estimate mortality for groups of lives. The insurer often uses standard mortality tables, or a modification thereof, for premium calculation purposes. Standard mortality tables are derived from the combined mortality experiences of life insurers operating in a territory and usually different mortality tables are used for different types of policies.

The major factors which influence mortality are: age, gender, occupation, social status, ethnicity, geographical location, marital status, personal habits, avocation, and foreign residence. More deaths also occur due to accidents with increased age as shown in the figure below:



13.2.2 Investment Returns

The balance of the premiums received, after paying for expenses, tax, claims, shareholders' profits and so forth, are invested in income and capital-bearing assets. Though the investment of current receipts of this balance can be made at known investment return rates, the future receipts, however, have to be invested at rates prevailing then. Future investment returns are subjected to a whole host of factors, economic, political and social. These factors are impossible to predict within any degree of accuracy except possibly over the immediate short term. Therefore, for premium calculation purpose, the insurer has to make prudent estimates of the likely rates of future returns of investments over the medium to long term.

The consequence of ignoring investment returns may cause premium rates to be higher than if the rate of investment returns were factored into the premium calculation. A prudent estimate of investment return is usually expressed as a level per cent per annum figure, say 4% p.a., and is often referred to as the interest rate assumption.

13.2.3 Expenses

The expenses of running an insurance business can be categorised into three types:

1. Initial expenses
2. Renewal expenses
3. Termination expenses

1. **Initial expenses** are incurred in the first policy year and will be high considering the acquisition cost. These include, for example for agents' procurement cost including commissions, expenses incurred for medical examination of the life insured, and other policy administration expenses including advertising and product launch.

2. **Renewal expenses** are incurred after the first year and continue for a period of six to ten years thereafter and will reduce over a period of time. Examples are: renewal commissions, premium collection and servicing expenses.

3. **Termination expenses** are incurred when the policy is surrendered or terminated. These include refund of premiums during the 'cooling off period' when there are objections to the policy, cash value and bonuses paid upon surrender and other administration expenses including claims handling and litigation.

13.3 Level Premiums

The **'level premium'** which remains constant throughout the duration of a life policy is based on the concept that the pure risk premium **varies** with age while the rate of death (mortality) **increases** with age. During the initial (3) years of a life policy, the level premium would exceed the risk premium because of lower mortality. However, in the long term, despite an increase in mortality, the life policy accumulates cash value that will overcome any shortfall in the risk premium. A **level premium system** is applied in almost all ordinary and individual life insurance contracts with premiums remaining constant throughout the duration of the insurance period.

13.4 Gross and Net Premiums

Premium rating tables are designed in accordance with the age and term of insurance for the various types of life insurance policies. The mortality or rate of death is the pure risk factor plus an element of interest added to it which is termed **'net premium'**. When a loading for management expenses and contingencies and a margin for profit is added to the net premium, the result is the '**gross premium**'.

- **Net Premium = pure risk premium plus interest**
- **Gross Premium = net premium + management expenses and contingencies + profit**

13.5 Loading for Contingencies

a) Endowment policies which provide payment of the sum assured on survival to the end of the policy period, on maturity date or on earlier death will be charged **extra premium** to cover the **survival benefit.** This is why premiums for endowment insurance are higher than that of whole life and term.

b) Yearly renewable contracts (at the option of the insured and the insurer) may be charged **higher premiums** on renewal due to an adverse change to the insured's occupation or other contingencies. If there is no 'guaranteed insurability' option, the insurer may even refuse renewal if the insured becomes ill or has deteriorated in health.

c) Participating policies are entitled to share in the divisible surplus and will be charged **extra premiums or loading** for the privilege of **participating in the profits** of the company.

d) **Periodic payment of premiums** (monthly, quarterly or semi-annually) from the policyholder to the life insurance company to keep the contract valid and in force will be charged a **premium loading** to cover the cost of administration as well as for the premiums that will not be collected after the date of death.

13.6 Group Insurance Premium

Unlike individual life insurance, group insurance is **'experience rated'** which means premiums are calculated using the **average mortality rate** of the group and adjusted for past claims experience, acquisition cost, management expenses and a margin for profit.

13.7 Personal Income Tax Relief

A tax relief of **RM 6,000** is allowed for the purchase of life insurance on the life of the taxpayer or spouse, including contributions to approved funds such as the Employees Provident Fund (EPF). This is in addition to the RM 3,000 tax relief allowed for the purchase of education and medical and health insurance.

Computation of income tax payable for assessment year 2013:
The following example makes comparison between having and not having life insurance in terms of savings on the amount of personal tax payable to the Inland Revenue Board.

Details:

Age:	30 years
Annual Income:	RM 42,000
Dependents:	Wife (unemployed), 1 child
Approved Contributions:	a) Employees Provident Fund (EPF): RM 3,500 (@ 11%) b) Insurance premiums: RM 1,380 (Life insurance) and RM 3,000 (Education, and Medical & Health Insurance (MHI) premiums)

Item	Without insurance (RM)		With insurance (RM)	
Total Assessable Income		**42,000**		**42,000**
Less				
Allowable Relief				
Personal	9,000		9,000	
Wife (housewife)	3,000		3,000	
1st Child	1,000		1,000	
EPF@11%	4,620		4,620	
Life insurance premium	NIL		**1,380**	
Education & MHI insurance premiums	NIL	17,620	**3,000**	22,000
Total Chargeable Income		**24,380**		**20,000**
Tax Payable				
On the first 20,000	300.00		300.00	
On the next 15,000 @ 6%	262.80			
Total tax payable		**562.80**		**300.00**

Note: A saving of RM 262.80 in tax payable is achieved.

13.8 Self-Assessment Questions

1. Which of the following statements is NOT true concerning life insurance premiums?

a) Premium rating tables are designed in accordance with age and term of insurance.

b) Net premium is pure risk premium for mortality plus an element of interest added to it.

c) Gross premium is the net premium plus a loading for management expenses and profit.

d) Participating life insurance policies will not be charged extra premium or loading.

2. What is the method of charging a uniform premium throughout the duration of a life insurance policy despite the rate of death increasing with age?

a) Level payment system

b) Level premium system

c) Increasing premium system

d) Decreasing term assurance

3. The expenses of running an insurance business can be categorised into three types EXCEPT

a) initial expenses.

b) renewal expenses.

c) termination expenses.

d) procurement expenses.

4. Which of the following is NOT a major factor influencing mortality?

a) Age

b) Gender

c) Ethnicity

d) Accidents

5. How much is the personal tax relief for the purchase of life insurance including contributions to the Employees Provident Fund (EPF)?

a) RM 3,000

b) RM 4,000

c) RM 5,000

d) RM 6,000

6. What are the main factors which an actuary would use in pricing life insurance premiums?

I. Mortality

II. Morbidity

III. Investment returns

IV. Management expenses

a) I, III and IV
b) I, II and III
c) I and II
d) I, II, III and IV

7. Which of the following are classified as 'termination expenses'?

I. Agent's commissions and procurement cost
II. Refund of premiums during the cooling-off period
III. Payment of cash value upon surrender of policy
IV. Claims administration expenses

a) I, III and IV
b) II, III and IV
c) I, II and III
d) I, II, III and IV

8. Which of the following best describes a life insurance contract?

a) Short term and renewable
b) Investment and saving plan
c) Long term and permanent
d) Long term and renewable

9. Why do insurance companies charge a loading for payment of bonus for participating policies?

a) To pay bonus to employees and shareholders
b) To increase the profits of the company
c) To ensure adequate premium is charged for the risk
d) To allow participating policyholders a share in the profits of the company

10. The premium rates for group life insurance

a) are based on the mortality rate using burning cost method.
b) are based on the experience rated using the average mortality rate.
c) are based on the level premium system using mortality rate.
d) are based on the past claims experience of the group.

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 14 Life Insurance Underwriting and Documents

14.1 Introduction

Pooling of similar or homogenous risks in large numbers is a fundamental concept of insurance, particularly in life insurance, to reduce uncertainties in measuring risk so that the chance or probability of an event happening can be mathematically calculated with more certainty. Although death is certain, the law of large numbers help alleviate the level of volatility caused by extraordinary circumstances such as a pandemic or an air crash, an earthquake, a tsunami, etc. which would otherwise adversely affect the underwriting results and financial stability of the insurer.

14.2 Risk Selection

The process of risk assessment, evaluation and selection based on the identification of factors which contribute to 'good' or 'bad' risks is called **'underwriting'**. There are two main types of underwriting. One is associated with the health and the other with the financial standing of a potential customer for life insurance. In Malaysia, insurance law (*Schedule 9 to the Financial Services Act 2013*) incorporates an "utmost good faith" or *uberrima fides* doctrine, which requires potential customers to answer any underwriting questions asked by the insurer fully and honestly; if they fail to do this, the insurer may later refuse to pay claims.

A 'proposal form' is designed by insurers to elicit information material to the risk proposed for insurance. A **material fact** is one that will influence a prudent underwriter in deciding whether to accept or reject the risk and to determine the terms of coverage and premium payable. For example, the age of a person to be insured is a material fact; however, insurance law in Malaysia (*Schedule 8 to the Financial Services Act 2013*) does not allow an insurer to avoid or refuse a claim by reason only of a misstatement of age. The insurer may however vary the sum insured or period of coverage which would have been accorded based on the true age.

14.2.1 Medical Underwriting

Medical underwriting concerns the **'physical hazard'** of the risk proposed for life insurance. This includes factors such as age, height, weight, personal and family medical history, lifestyle, etc. If the information provided reveals any adverse features or a medical condition such as diabetes, the insurer may insist on

supplementary questionnaires or a medical examination (at the expense of the insurer) to provide the information necessary to do a proper assessment.

14.2.2 Financial Underwriting Financial underwriting is aimed at assessing the **'moral hazard'** attached or is inherent and may prove to be subjective compared to the more tangible physical hazard. It involves scrutiny of the existence of insurable interest and whether the amount of insurance applied for is commensurate with the financial standing or earning capacity of the applicant. In addition, it involves a check on whether the insured maintains multiple insurance policies with other insurers or whether any other insurer has turned down the application for insurance coverage, and if so, the reasons why.

14.3 Underwriting Guidelines

The criteria used by an insurance company to determine whether to insure an applicant or what premium to charge is termed **'Underwriting Guidelines'**. The guidelines set minimum standards for the acceptance of risks while computer programmes and actuarial data (including mortality rates) are used to determine the premium payable.

14.3.1 Classification of Risks Risks are classified according to the likelihood of early death by illness or accident, using medical information along with age, gender, occupation, and lifestyle habits, etc. Higher-risk individuals will have to pay more in premiums to receive the same level of protection as a (perceived) lower-risk person.

How risks are classified:

1. **Standard risks** (without adverse risk factors) are acceptable on standard terms and premiums;
2. **Sub-standard risks** (with health or occupational hazards) are acceptable but with extra premiums, loadings and/or limitations to coverage;
3. **Below average risks** may not be accepted or may be deferred for a specific period;
4. **Uninsurable risks** (e.g. a person with a terminal illness) will be rejected or declined.

14.3.2 Characteristics of Sub-Standard and Below Average Risks:

Mortality increases with time	Mortality remains constant	Mortality decresaes with time
• Example: A person who is overweight places more strain on his heart than a normal person, which increases mortality over time.	• Example: A person with a high risk job working in a ship or offshore oil rig is exposed to danger all the time.	• Example: A young person who has fully recovered from tuberculosis will not be faced with the same life threatening disease.

14.3.3 Handling Adverse Risks

The term **"adverse selection"** or **"anti-selection"** used in insurance describes a situation wherein an individual's demand for insurance (the propensity to buy insurance and the quantity purchased) is positively correlated with the individual's risk of loss (higher risks buy more insurance).

For example, prior to the advent of AIDS, there was a trend towards shorter non-medical proposal forms i.e. limiting the number of health-related questions, which diminished the role of underwriting in the selection process. However, the real possibility of anti-selection due to AIDS has reversed this trend and underwriting has been given its due recognition.

To counter the effects of adverse selection, insurers ask a range of questions and may request a medical examiner to provide an independent report on high-risk individuals so that premiums commensurate with risk and any unreasonably high or unpredictable risks are rejected.

The following are some of the ways insurers handle adverse risks:

1. Charge extra premiums or loading.
2. Reduce the death benefit or sum assured but premium may remain on standard rates.
3. Recommend an alternative insurance plan (such as a yearly renewable term assurance instead of whole life).
4. Exclude a particular condition or impairment or restrict participation in a specific form of sports or activity.
5. Adjust the bonuses in a participating policy (this method is seldom used).

14.4 Assumption of Risk

Essentials for the Assumption of Risk by a Life Insurer:

a) **Insurers will assume risk immediately upon receipt of the first premium *after* the issuance of the acceptance letter.** The letter of acceptance includes a request for the payment of the first premium within a specified period (usually 30 days). If the premium is not paid within the stipulated period, the acceptance will have to be re-confirmed by the insurer. In order to re-confirm acceptance, a 'declaration of good health' from the insured is required. The letter of acceptance also mentions that the offer is based on subsisting circumstances; therefore, any material change to health, occupation or other circumstances from the date of the original proposal should be duly notified to the insurance company for re-assessment.

b) **Premium payment is a pre-condition** to the assumption of risk for life insurance. Thus, when an initial premium is paid together with a completed proposal form and for which an official receipt has been issued by the insurer, the proposer will be covered against **accidental death** for a stipulated period of time. Life insurance coverage will only commence once the insurer has assessed the information in the proposal form and has decided whether to accept or to decline the risk, and if the proposal is accepted, after the policy (with terms and conditions) is issued and/or delivered to the policy owner.

c) A policy owner is entitled to a **'cooling off'** or **'free look'** period which allows him to return the life policy to his insurer within **fifteen (15) days after its delivery** and the insurer will have to immediately refund any premium which has been paid after the deduction of expenses incurred for the medical examination of the life insured. Upon refund of the premium, the policy shall be deemed cancelled and the liability of the insurer will cease.

d) **Extra premium charges or loading** imposed by the insurer will have to be informed in writing, which is deemed as a 'counter-offer'. If the proposer is agreeable to the revised terms, he must give his consent in writing by signing and returning a copy of the letter in order for the insurance policy to be issued.

e) **Backdating of the commencement date** of insurance may be allowed in some cases of up to six months so that the proposer may benefit by paying a lower premium applicable to the lower age.

14.5 Role of the Insurance Agent in the Underwriting Process

Insurers rely on the middlemen who are the insurance agents to act with integrity and professionalism when prospecting for business, to assist the underwriter in the selection of good risks. As the first point of contact with prospective clients, agents are expected to inform the customer of the salient features of the product and to guide the potential customer in providing full disclosure of material facts to enable both the customer and the underwriter to make an informed decision.

14.6 Insurance Documents

The following documents are relevant sources of information for the underwriting of life insurance:

1. **Proposal form**
2. **Medical examiner's report**
3. **Agent's report**

14.6.1 The Proposal Form

An insurer may request a proposer to answer specific questions that are relevant to the decision of the insurer whether to accept the risk or not and the rates and terms to be applied. It is the duty of the consumer to take reasonable care not to make a misrepresentation to the insurer when answering any questions in the proposal form. The questions in the proposal form must be encompassing; otherwise, the insurer would have deemed to have waived the consumer's duty of disclosure.

14.6.2 Medical Examiner's Report

This report comprises the proposer's medical history and the examining doctor's report which includes height, weight, pulse and blood-pressure readings, chest and abdomen measurements, condition of the heart, lungs, nervous system, and urine analysis.

In some cases, especially for large sums assured or advanced age or previous adverse history, more detailed examinations involving blood tests, chest X-ray, and electrocardiogram are required. The medical examiner is asked to state whether he suspects that the applicant appears to have indulged in excessive drinking, etc. He also certifies the apparent age of the applicant besides reporting his findings on the physical examination and expressing his opinion on the insurability/or further requirements if any.

14.6.3 Agent's Report

The agent furnishes his own view of the applicant's habits, appearance, character and financial status and completes a fact finding sheet to support the application.

14.6.4 The Policy Form

A life insurance policy is a legal contract between the insured person and the life insurance company, and like all contracts, it is enforceable by law and shouldn't be entered into lightly. Both parties have certain rights and obligations which are explained in the policy, so it is critical that anyone buying protection read the contract and its fine print before signing it.

The printed policy document is *evidence in writing* of the contract of insurance which will incorporate the proposal form which shall form the basis on which the insurance contract was formed.

14.7 Self-Assessment Questions

1. An underwriter is best described as an insurance professional who

a) accepts or rejects risks.

b) implements an insurer's strategic plan.

c) invests the capital of an insurer's shareholders.

d) decides on premium pricing.

2. Which of the following method is NOT used by Insurers when dealing with adverse risk?

a) Charging an extra premium

b) Recommending an alternative insurance plan

c) Reducing the benefits

d) Providing a premium discount

3. A sub-standard or below average risk is best described as

a) an acceptable risk on standard terms and premium rates.

b) a risk with health or occupational hazards accepted on special terms.

c) not acceptable on any account.

d) an uninsurable risk, such as a person with terminal illness.

4. Which of the following is NOT part of the underwriting process?

a) Establishing policy coverage terms and conditions

b) Evaluating, assessing and selecting of risks for insurance

c) Establishing claim procedure and documentation

d) Pricing of insurance to charge premium commensurate with risk

5. Which of the following underwriting factors is NOT associated with physical hazard?

a) height and weight

b) family medical history

c) earning capacity

d) lifestyle

6. What is the purpose of financial underwriting in life insurance?

a) To evaluate the physical hazard of an applicant for life insurance

b) To assess the moral hazard attached to a potential customer

c) To select customers of sound financial status to pay premiums

d) To ensure the purchaser has insurable interest in the life insured

7. **Which of the following documents is a major source of information for underwriting life insurance?**
   a) Proposal form
   b) Financial report
   c) Agent's report
   d) Sales illustration

8. **What is the role of the insurance agent in the underwriting process?**
   a) Assists the underwriter in calculating the premium payable
   b) Offers financial advice to potential customers
   c) Assists in filling up the proposal form for the customer
   d) Ensures all material facts are disclosed so that both customer and underwriter make an informed decision

9. **When can a life insurer assume a risk for life insurance?**
   a) On receipt of the first premium after a letter of acceptance is issued
   b) On receipt of a completed proposal form
   c) After the underwriter has assessed the information in the proposal form
   d) After the policy is issued and/or delivered to the policy owner

10. **What is meant by 'cooling off' or 'free look' period?**
   a) It allows a policyholder to cancel the life policy after 15 days of free cover.
   b) It allows a policyholder to return the life policy within 15 days for a full refund.
   c) It allows a policyholder to reject the life policy after 15 days of free cover.
   d) It allows a policyholder to cancel the life policy not later than 15 days after its delivery.

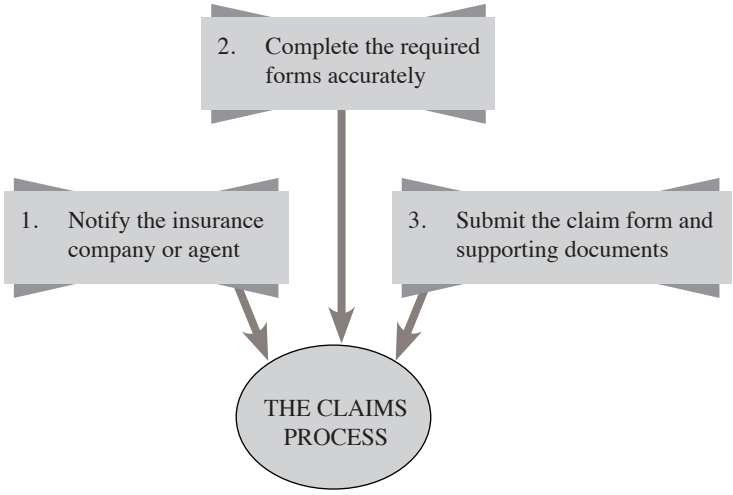
YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 15 Life Insurance Claims

15.1 Introduction

The moment of truth for most insurance companies comes when a claim notification is received, and when the insurance agent and the policy sold by him would be tested to see if they are up to the customer's expectations or not. Claim handlers should show sensitivity and compassion, particularly when handling death claims and try to make the claims process as simple and straightforward as possible.

In submitting a claim, the policyholder or claimant must ensure completion of the required forms and completeness of all documents to avoid unnecessary delay in the claims process:



15.2 Types of Claims

1. Death
2. Maturity
3. Critical illness
4. Permanent and Total Disability
5. Other benefits under supplementary contracts or riders

15.3 Death Claims

Upon receiving notification of a death claim and depending on the circumstance or cause of the death, an insurer would request the claimant to complete a *claim form* and require the claimant

to provide supporting documents to substantiate the claim. The insurer reserves the right to request for other relevant documents and information if the need arises.

The documents include:

- Original policy contract (if lost, statutory declaration on loss of document)
- Original/ certified true copy of death certificate
- Original/ certified true copy of burial permit
- Claimant's identity card
- Proof of relationship such as marriage certificate or birth certificate
- Proof of age such as IC or birth certificate

For Accidental Death, the documents include:

- Police report
- Post Mortem Report
- Newspaper cutting, if any
- Death certificate

In the case of a missing person, a statutory presumption of death has to be obtained from a court of competent jurisdiction, seven (7) years after efforts to search for the missing person have been exhausted.

15.3.1 Payment of Policy Monies on Death of the Policy Owner

Monies payable upon the death of a policy owner do ***not*** form part of the estate of the insured nor are subject to his or her debts. The *Financial Services Act 2013 (Schedule 10)* sets out the provisions for the payment of policy monies under a life policy including a life policy under section 23 of the Civil Law Act 1956, and a personal accident policy.

15.3.2 Payment of Policy Monies where there is a Nomination

The insurer will pay according to the direction of the *nomination* upon receipt of a claim by the *nominee* together with proof of death of the policy owner. A nomination by a policy owner other than a Muslim policy owner shall create a *trust* in favour of the nominee, where the nominee is his spouse, child or parent; this means the policy monies shall *not* form part of the estate of the deceased or be subject to his debts.

15.3.3 Payment of Policy Monies where there is No Nomination

Where the policy owner dies *without* having made a nomination, the insurer will pay the policy monies to the *lawful executor or administrator of the estate*. However, at the time of the payment of the policy monies, if there is *no* lawful executor or administrator (because policy owner dies without leaving a will), the insurer will pay the policy monies to the policy owner's *spouse, child or parent,* in accordance with section 6 of the Distribution Act 1958.

- **Concessions under the Financial Services Act 2013 (FSA)**

The FSA provides that where the policy owner dies without having made a nomination or a will and has no spouse, child or parent, the policy monies:

1) will be payable to the lawful beneficiaries ***without*** a grant of probate or letters of administration, *if the policy monies do not exceed RM 100,000;*
2) will be payable to the lawful beneficiaries as in 1) and the balance to the lawful executor or administrator of the deceased's estate, *if the policy monies exceed RM 100,000*

- **Grant of Probate or Letter of Administration or Distribution Order**

A grant of probate or letter of administration is a court order stating the legal representatives who are entitled to deal with the deceased's estate. This is required if the policy owner dies without having made a nomination or without leaving a will, and without a spouse, child or parent as *sufficient proof* that the person named is the *lawful executor or administrator* of the estate to whom the policy monies will be paid.

15.3.4 Interest on Delayed Payment of a Death Claim

In respect of life (and personal accident) policies effected by a policy owner on his own life, the law provides that where a death claim is *not* paid within 60 days of notification of the claim, the insurer shall pay a minimum compound *interest* at the average fixed deposit rate applicable for the period of twelve months (published by commercial banks), *plus* one per cent or such other rate specified by Bank Negara, on the amount of policy monies upon expiry of the 60 days until the date of payment.

15.4 Maturity Claims

Endowment insurance provides death and *survival* benefits. The sum assured becomes payable if the life insured survives to the end of the policy term or *maturity* date. The insurance company will inform the policyholder of the impending maturity claim and request documentary evidence for *proof of age,* such as identity card or birth certificate to process the claim. The policyholder will receive the claim payment after signing a discharge of liability.

15.5 Critical Illness Insurance Claims

Critical illness insurance provides a lump sum cash payment of the sum assured upon diagnosis of one of the 36 critical illnesses listed in the life policy. In Malaysia, the *definition of a critical illness is standardized* to increase clarity of cover for policyholders and greater comparability of policies from different life insurers. The policy owner is required to submit a *medical report* of the diagnosis by the attending physician for the claim to be processed.

15.6 Total and Permanent Disability (TPD) Claims

Total and permanent disability claims can arise due to natural causes such as illness or by an accident. In addition to the claim form, the following documents are essential to process a TPD claim:

- Duly completed TPD Claim Form
- Total and Permanent Disability Medical Report
- Original Policy Document
- Other supporting test/laboratory report and investigation results where applicable

However, if TPD was caused by an accident, the documents required to process the claim include, in addition to the items above, a copy of the *police report*. It is also a legal requirement to make a police report in the unfortunate event of an accident.

15.7 Personal Accident Claims

The doctrine of *proximate cause* frequently applies to personal accident claims (from riders or supplementary contracts to life insurance) to establish that an *'accident'* was the proximate cause of the death or disability sustained by an insured, particularly if there were more than one concurrent cause. For example, if a person has a heart attack while driving his car and as a result collides into a tree and dies, would the death be deemed accidental?

Accidental injury means an injury that results accidentally from *any external, violent and visible cause*. Insurers rely on the information in the claim form, police report and post mortem or coroner's report to determine the cause of death by an accident, as defined in the policy. Should there be any suspicious circumstances related to the accident, for instance alleged suicide, insurers will conduct further investigation into the claim or engage forensic experts to establish the actual cause of death.

15.8 Claims Register

Regulations require insurers to maintain a claims register which serves as an *official record* of claims notified and filed. The record of registered claims should not be removed from the books of an insurer as long as claims are still outstanding and yet to be settled. The claims register may be kept either manually or stored in a computer database or both.

15.9 Self-Assessment Questions

1. A life claim can arise under any of the following situations, EXCEPT:

a) death of the insured.

b) death of the beneficiary.

c) maturity of the life policy.

d) critical illness.

2. In the case of a missing person, what is the time lapse before a statutory presumption of death can be issued by a court?

a) 1 year

b) 3 years

c) 5 years

d) 7 years

3. What are the supporting documents required for a death claim?

I. Death certificate

II. Post-mortem report

III. Statutory presumption of death (for missing persons)

IV. Burial certificate

a) I and IV

b) I, II and III

c) I, II and IV

d) I, II, III and IV

4. A death claim must be paid within ____ days of receipt of notification of the claim; otherwise, the law requires compound interest to be charged on the amount payable.

a) 15 days

b) 30 days

c) 60 days

d) 7 days

5. What types of claims are NOT handled in the life insurance claims department?

I. Death claim

II. Total and Permanent Disability benefit

III. Maturity claim

IV. Diagnosis of a Critical Illness

V. Personal Accident rider

a) I, II, III and IV
b) V only
c) II and V
d) Neither I, II, III, IV nor V

6. Before a maturity claim under endowment insurance is paid, the life insurer requires proof of the following EXCEPT

a) proof of age of the life assured.
b) proof of death of the life assured.
c) identity of the person entitled to the policy monies.
d) proof of survival of the life assured.

7. Where there is a nomination in a life policy, who will receive the policy monies?

a) Policy owner
b) Spouse, child or parent
c) Nominee
d) Estate of the deceased

8. The following documents are required for a total and permanent disability claim due to an accident, EXCEPT*:*

a) a duly completed claim form.
b) a certified copy of the police report.
c) a medical certification by the attending doctor.
d) a certified copy of the attending doctor's credentials.

9. Where the policy owner dies *without* having made a nomination, the insurer shall pay the policy monies to the

a) lawful executor or administrator of the deceased's estate.
b) policy owner's spouse, child or parent.
c) nominee.
d) policy owner's next of kin.

10. Which documents are NOT required according to the concessions under the Financial Services Act 2013, for a death claim *below* RM 100,000 payable to the lawful beneficiaries?

I. post mortem or coroner's report
II. grant of probate
III. death certificate
IV. letters of administration

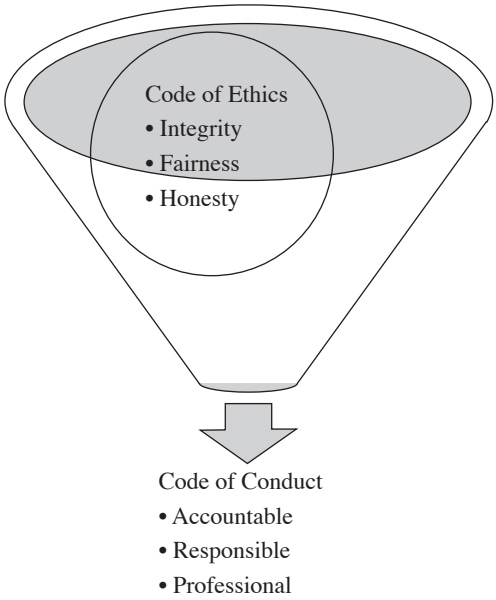
a) I, II and III
b) I only
c) II and IV
d) I and III

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

CHAPTER 16 Code of Practice for Life Insurance Agents

16.1 Introduction

Ethical conduct and behaviour are crucial to preserving not only the trust on which insurance transactions are based on but also the trust of the general public in the industry. After all, insurance is an intangible product and consumers depend on proper advice of intermediaries on products to suit individual need and affordability.



16.2 Code of Ethics

An insurance agent should practise the following:

1. avoid conflicts of interest
2. avoid misuse of position
3. prevent misuse of information
4. ensure completeness and accuracy of relevant records
5. ensure confidentiality of communication and transactions
6. ensure fair and equitable treatment of all policy owners
7. conduct business with the utmost good faith and integrity

16.3 Code of Practice

The Code of Practice (Code) acts as a guide for life insurance agents to conduct business with utmost good faith and integrity and to that

effect, a declaration of observance of the Code has to be signed by the registered life insurance agent.

The Code includes the manner in which agents handle complaints from policyholders and requires them to co-operate with the insurer in establishing the facts as well as to give proper advice of the policyholder's rights and avenues for redress with the insurance company concerned. Insurers also undertake to enforce the Code and to use their best endeavours in ensuring that their marketing representatives observe the provisions therein.

16.4 Selling Life Insurance

- **What the agent should do:**

a) make a prior appointment to call on his prospective client and to ensure unsolicited or unarranged calls are made at a time suitable to the client;
b) identify himself and the insurance company he represents and inform the client outright that his intention is to discuss matters relating to his insurance needs;
c) ensure as far as possible that the policy proposed is suitable to the needs and resources of the prospective policyholder;
d) give advice only on insurance matters in which he is knowledgeable and seek or recommend other specialist advice if necessary; and
e) treat all information supplied by the prospective policyholder in confidence for the sole purpose of issuing an insurance policy.

- **What the agent should *not* do:**

f) inform the prospective policyholder that his name has been given by another person, unless he is prepared to disclose that person's name if requested to do so by the prospective policyholder and has that person's consent to make that disclosure;
g) make, issue or cause any written or oral statement misrepresenting or making misleading unfair or biased comparison regarding the terms, conditions or benefits in any policy; or
h) prevent the prospective policyholder from stating material facts to the insurance company or induce the person not to state them; or
i) induce the person effecting insurance into making false statements misrepresenting material facts or prevent the person effecting the insurance from disclosing material facts or induce the person into hiding any material facts in relation to the proposal for insurance.

16.5 Providing Insurance Coverage

The role of the agent is to explain the main provisions of the insurance contract by drawing the client's attention to policy restrictions and exclusions applicable and if necessary, to obtain

specialist advice (from underwriters) to explain the scope of coverage, terms and conditions of the policy (as recommended by the agent) to ensure that the customer is treated fairly and that he understands the product purchased. This includes any extra charges imposed in addition to the basic premium, by disclosing the amount and purpose of such charges.

16.6 Disclosure Requrements

- **Knowledge of and statement made by an insurance agent:**

An insurance agent who solicits or negotiates a contract of insurance for the purpose of the formation of the contract is **an agent of the insurer** and the knowledge of or statement made or an act done by the insurance agent shall be deemed to be the knowledge of or statement made or an act done by the insurer.

- **When an agent invites any person or individual to make an offer or proposal to enter into a contract of insurance, the agent should disclose:**

a) the name of the licensed insurer,
b) his relationship with the insurer, and
c) the premium charged by the licensed insurer.

- **If a group insurance is arranged for persons in relation to whom the group policy owner has no insurable interest, the agent should disclose to each of the insured person:**

a) the name of the licensed insurer,
b) his relationship with the insurer,
c) the conditions of the group policy, including the remuneration payable to him, and
d) the premium charged by the licensed insurer.

- **An insurance agent shall not:**

a) make a statement which is misleading, false or deceptive whether fraudulently or otherwise; or
b) fraudulently conceal a material fact, or use any sales brochure or sales illustration not authorised by the life insurer in order to induce a person to enter into, vary or renew a contract of insurance.

16.7 Accounts and Financial Aspects

The agent shall, if authorised to collect monies in accordance with the terms of his agency appointment:

i) keep a proper account of all financial transactions with a prospective policyholder which involves the transmission of money in respect of insurance (including any monies due to the policyholder on endorsements or discounts allowed by the insurance company on the policy);

ii) acknowledge receipt (which, unless the intermediary has been otherwise authorised by the insurance company, shall be on his own behalf) of all money received in connection with an insurance policy and shall distinguish the premium from any other payment included in the money; and

iii) remit any such monies so collected in strict conformity with his agency appointment.

16.8 Existing Policyholders

The agent shall:

i) abide by the principles set out in the Code to the extent that they are relevant to his dealings with existing policyholders;

ii) with a view to conserving the business already secured, endeavour to maintain contact with all persons who have become policyholders through him and shall render all reasonable assistance to the claimants in filing claims forms and generally in complying with the requirement laid down in relation to settlement of claims.

16.9 Claims

An insurer is expected not to unreasonably reject a claim especially if the policy has been in force for a period of more than two (2) years, unless the insurer can show proof that the misrepresentation or non-disclosure was of a material fact done deliberately or with fraudulent intent to cheat the insurance company.

The agent is required to assist the policy owner or his beneficiary to notify the insurer of a claim within the time stipulated or as soon as reasonably possible. The claim notification should be supported with relevant supporting documents to ensure the claim is settled without undue delay.

16.10 Self-Assessment Questions

1. Which of the following is NOT an underlying principle of the Code of Ethics for insurance agents?

a) To avoid conflicts of interest

b) To avoid misuse of position

c) To prevent transmission of information

d) To ensure completeness and accuracy of relevant records

2. Which of the following statements is true pertaining to the Code of Practice for Life Insurance Agents?

a) It provides a guide to conduct business with utmost good faith and integrity.

b) It provides guidelines on how to run a business on a day-to-day basis.

c) It provides a guide to assist in the sale and marketing of insurance products.

d) It provides a guide to the claims process.

3. When selling insurance, what should the agent refrain from doing?

a) Ensure unsolicited or unarranged calls are made at a time suitable to the client

b) Inform the client outright of his intention to discuss matters relating to insurance

c) Give specialist advice on insurance and all other matters in order to impress his client

d) Ensure that the policy proposed is suitable to the needs and resources of the prospective policyholder

4. When an agent invites any person or individual to make an offer or proposal to enter into a contract of insurance, the agent should disclose

I. the name of the licensed insurer.

II. his relationship with the insurer.

III. the premium charged by the licensed insurer.

IV. the remuneration payable to him.

a) I and II

b) II and III

c) I, II and III

d) I, II, III and IV

5. Which of the following statements is true about an insurance agent?

a) The agent solicits or negotiates a contract of insurance as an agent of the insured.

b) The agent gives specialist advice on financial matters to his prospective policyholder.

c) The agent ensures that the life policy is best suited to the needs and resources of the prospective policyholder.

d) The agent recommends the best life policy at the lowest premiums available in the market.

6. The insurance agent should NOT

a) inform the prospective policyholder that his name was given by another person, unless he is prepared to disclose that person's name if requested to do so by the prospective policyholder and has that person's consent to make the disclosure.

b) make, issue or cause any written or oral statement misrepresenting or making misleading unfair or biased comparison regarding the terms conditions or benefits in any policy.

c) prevent the prospective policyholder from stating material facts to the insurance company or induce the person not to state them.

d) a, b and c

7. An insurer is not expected to reject a claim if the life policy has been in force for a period of more than two years unless

a) there was no insurable interest at the time of claim.

b) there was misstatement of age at inception of the policy.

c) there is proof of fraudulent misrepresentation or concealment.

d) there was innocent misrepresentation when completing the proposal form.

8. What is the extent of the agent's authority in collecting monies on behalf of his principal?

a) Handle all financial transactions with a prospective policyholder and give an account only when asked to do so

b) Acknowledge receipt and keep a proper account of all monies received in connection with an insurance policy

c) Transmit all monies collected to the insurer's bank account when it is convenient to do so

d) Use the money collected for personal use until such time the premiums are due for payment

9. What issues must be drawn to the client's attention in trying to explain the main provisions of the insurance contract?

a) The basic cover provided by the policy

b) The policy exclusions, extra charges imposed and purpose of such charges

c) The cooling-off period when the insured can object to any provisions in the policy

d) The agent's contact details if after sales service is required by the client

10. An insurance agent is expected to be diligent in his practice of the following EXCEPT

a) prevent misuse of information.

b) ensure the proposal form is completed in his own handwriting.

c) ensure confidentiality in all communication and transactions.

d) ensure fair and equitable treatment of all policy owners.

YOU WILL FIND THE ANSWERS AT THE BACK OF THE BOOK.

Answers to Self Assessment Questions

CHAPTER 1

Answers: 1-a, 2-c, 3-c, 4-d, 5-c, 6-d, 7-c, 8-b, 9-c, 10-c

CHAPTER 2

Answers: 1-a, 2-b, 3-c, 4-c, 5-a, 6-b, 7-b, 8-c, 9-d, 10-c

CHAPTER 3

Answers: 1-a, 2-b, 3-d, 4-c, 5-c, 6-b, 7-c, 8-d, 9-c, 10-b

CHAPTER 4

Answers: 1-d, 2-b, 3-d, 4-b, 5-b, 6-c, 7-d, 8-b, 9-b, 10-c

CHAPTER 5

Answers: 1-c, 2-d, 3-c, 4-a, 5-c, 6-d, 7-d, 8-c, 9-c, 10-b

CHAPTER 6

Answers: 1-c, 2-d, 3-c, 4-d, 5-b, 6-b, 7-c, 8-b, 9-b, 10-d

CHAPTER 7

Answers: 1-b, 2-b, 3-b, 4-b, 5-d, 6-c, 7-b, 8-d, 9-a, 10-c

CHAPTER 8

Answers: 1-c, 2-d, 3-b, 4-b, 5-c, 6-a, 7-c, 8-b, 9-b, 10-c

CHAPTER 9

Answers: 1-b, 2-b, 3-b, 4-d, 5-c, 6-c, 7-a, 8-b, 9-b, 10-d

CHAPTER 10

Answers: 1-c, 2-b, 3-c, 4-b, 5-d, 6-b, 7-a, 8-b, 9-a, 10-d

CHAPTER 11

Answers: 1-b, 2-a, 3-d, 4-b, 5-b, 6-b, 7-d, 8-d, 9-b, 10-d

CHAPTER 12

Answers: 1-c, 2-d, 3-c, 4-d, 5-a, 6-c, 7-c, 8-a, 9-c, 10-d

CHAPTER 13

Answers: 1-d, 2-b, 3-d, 4-c, 5-d, 6-a, 7-b, 8-c, 9-d, 10-b

CHAPTER 14

Answers: 1-a, 2-d, 3-b, 4-c, 5-c, 6-b, 7-a, 8-d, 9-a, 10-b

CHAPTER 15

Answers: 1-b, 2-d, 3-d, 4-c, 5-d, 6-b, 7-c, 8-d, 9-a, 10-c

CHAPTER 16

Answers: 1-c, 2-a, 3-c, 4-c, 5-c, 6-d, 7-c, 8-b, 9-b, 10-b

Index

agency, termination of, 5.5
agents, authority of, 5.4
agents, duties to principal, 5.2
agents, general insurance
biennial certificate, 10.7
certificate of registration, 10.6
Code of Practice, 10.13
conflicts of interest, 10.10
continuing professional development, 10.16
functions, 10.3
minimum entry qualification, 10.5
minimum maintenance requirement, 10.12
notification of changes, 10.9
place of business, 10.8
premiums or monies collected on behalf of principal, 10.14
registration, 10.4
refusal to register or cancellation of registration, 10.11
agents, life insurance
accounts and financial aspects, 16.7
claims, 16.9
Code of Ethics, 16.2
Code of Practice, 16.3
disclosure requirements, 16.6
existing policyholders, 16.8
providing life insurance coverage, 16.5
selling life insurance, 16.4
agents, prohibited business conduct, 5.7
all risks insurance, 7.3.2
Anti-Money Laundering and Anti-Terrorism Financing Act 2011 (AMLATFA), 3.7
Anti-Money Laundering and Counter Financing of Terrorism (AML/CFT), 3.7.1
Customer Due Diligence (CDD), 3.7.1
assignment, 2.3.5
exceptions, 2.3.5
payment of policy monies, life and accident policies, 2.3.7
policy proceeds, 2.3.5
aviation insurance, 7.4.3

Bank Negara Malaysia, role, 3.1.3
basic principles of life insurance, 2.1
BNMLINK, 3.5.3
bonds, 7.6.4
breach of good faith, 2.2.4
remedies, 2.2.5
schedule 9, Financial Services Act 2013, 2.2.6
burglary insurance, 7.3.6
business interruption insurance, 7.3.3
capacity of minor to insure, 11.5

Cash Before Cover (CBC), compliance requirements for motor insurance policies, 10.15
Centralized Database for Motor Repairs Estimation, 9. 9
claims, general insurance
application of average, 9.6
claims process, steps, 9.2
disputes, 9.10
documents, 9.3
guidelines, claims settlement procedures, 9.12
post-settlement action, 9.11
recoveries, 9.5
settlement, 9.4
claims, life insurance
claims register, 15.8
critical illness insurance claims, 15.5
death claims, 15.3
maturity claims, 15.4

personal accident claims, 15.7
total and permanent disability (TPD) claims, 15.6
Companies Act 1965, 3.2
main provisions, 3.2.1
complaints and disputes, 3.5
complaints unit of financial institutions, 3.5.1
Competition Act 2010, 3.8
classification of motor vehicles, 7.2.1
commercial vehicle insurance, 7.2.4
concurrent causes, 2.7.2
contractual capacity, 4.2.5
contribution, 2.6
essentials of contribution, 2.6.1
critical illness insurance, 12.3

disclosure requirements, 2.2.1
disclosure requirements, life insurance, 11.10
documents, general insurance, 8.10
duties of insurance agent to principal, 5.2
duties of principal to agent, 5.3
engineering insurance, 7.7
non-renewable engineering policies, 7.7.2
renewable engineering policies, 7.7.1

fidelity guarantee insurance, 7.6.3
financial consumer protection, 3.3.1
complaints and disputes, 3.5
literacy and education, 3.4
Financial Services Act 2013 (FSA), 3.1.5, 3.1.6
purpose (objectives), 3.1.6
schedule 9, 2.2.6
schedule 10, payment of policy monies, life and accident policies, 2.3.7
main provisions, 3.1.7
Financial Mediation Bureau (FMB), 3.5.2
fire and special perils insurance, 7.3.1
fire insurance, premium computation, 8.7
functions of life insurance, 1.7

general insurance documents, 8.10
general insurance underwriting
considerations and rating factors, 8.8
guidelines, 8.3
pricing of premiums, 8.4
process, 8.2
General Insurance Agents Registration and Regulations (GIARR), 10.2
contravention of, 10.18
inquiries into complaints, 10.19
goods in transit insurance, 7.4.4
group life insurance, 12.4
group medical and health insurance, 6.6

hazard, 1.3
householders insurance, 7.3.5
houseowners insurance, 7.3.4

indemnity, 2.4
measurement of indemnity, 2.4.1
insurable interest, 2.3
insurable interest, life insurance, 11.4
insurance, 1.6
basic principles of, 2.1
functions of, 1.7
market, 1.11
Subject matter of, 2.3.3, 2. 3. 4
insurance contract, formation of, 4.2
insurance legislation
changes in equity, 3.1.2,
historical development, 3.1.1
new legislation, 3.1.5
purpose of, 3.1.6
role of Central Bank (BNM), 3.1.3
insurance market, 1.11
insurance policy, parts of, 4.4
insurable risks, 1.9
Islamic Financial Services Act 2013, 3.1.5
purpose (objectives), 3.1.6
Inter-Company Agreement on General Insurance Business, 10.1

Knock-for-Knock Agreement, 9.8

Law of Agency. 5.1
Law of Contract, 4.1
contractual capacity, 4.2.5
essential factors, 4.2
formation of insurance contract, 4.2
void, voidable and unenforceable contracts, 4.3
liability insurance, 7.5
liability to passengers, 7.2.5
life insurance contracts, non-contestability, 11.12
life insurance, insurable interest, 11.4
life insurance, methods of distributing surplus, 12.7
life insurance, non-payment of premiums, 11.8
life insurance policies, types, 12.2
life insurance, premium rating, 13
costing the risk, 13.2
gross and net premiums, 13.4
group insurance premium, 13.6
level premium, 13.3
loading for contingencies, 13.5
life insurance, supplementary contracts, 12.5
life insurance underwriting
assumption of risk, 14.4
documents, 14.6
guidelines, 14.3
risk selection, 14.2
role of agent, 14.5
life policy monies, payment of, 11.6
life policy, surrender of, 11.7
loss, 1.3

Malaysia Competition Commission (MyCC), 3.8.1
Malaysian Deposit Insurance Corporation Act 2011, 3.3
managed care organisations, 6.3
marine insurance, 7.4
marine cargo, 7.4.2
marine hull, 7.4.1
material facts, 2.2.2
medical and health insurance, 6
automatic termination, 6.9
cost containment measures, 6.7
regulations, 6.4
renewal, 6.8
types of, 6.2
miscellaneous accident insurance, 7.6
minor, capacity to insure, 11.5
misstatement of age, 11.2
money insurance, 7.6.2
motor insurance, 7.2
classification of motor vehicles, 7.2.1
commercial vehicle insurance, 7.2.4
definition of "road", 7.2
liability to passengers, 7.2.5
motor trade, 7.2.6
premium computation, 8.6
private car comprehensive insurance, 7.2.3
Motor Insurers' Bureau, 9.7
motor trade, 7.2.6

non-contestability, life insurance contracts, 11.12
non-payment of premiums, life insurance, 11.8

objection to life policy, 11.3
operation of single cause, 2.7.1

participating and non-participating life contracts, 12.6
payment of life policy monies, 11.6
peril, 1.3
personal accident insurance, 7.6.1
Personal Data Protection Act 2010 (PDPA), 3.6
seven principles of, 3.6.1
personal income tax exemption (relief)
life insurance, 13.7
medical and health insurance, 6.10
premium computation, fire insurance, 8.7
premium computation, motor insurance, 8.6
premium rating, life insurance, 13

private car comprehensive insurance, 7.2.3
property insurance, 7.3
proposal form, 2.2.3
proximate cause, 2.7
concurrent causes, 2.7.2
operation of single cause, 2.7.1
successive causes, 2.7.3

reinsurance, 8.9
risk
classification, 1.2
handling methods, 1.5
management, 1.4
meaning, 1.1
nature of insurable risks, 1.9
Risk-Based Capital Framework, 3.1.4
Road Transport Act 1987 (RTA), 7.2
definition of "road", 7.2

subject matter of insurance, 2.3.3, 2. 3. 4
subrogation, 2.5
how it may arise, 2.5.1
successive causes, 2.7.3
supplementary contracts, life insurance, 12.5
surplus, methods of distributing, 12.7
surrender of life policy, 11.7

takaful, 1.6

underwriting, general insurance
considerations and rating factors, 8.8
guidelines, 8.3
pricing of premiums, 8.4
process, 8.2

underwriting, life insurance
assumption of risk, 14.4
documents, 14.6
guidelines, 14.3
risk selection, 14.2
role of agent, 14.5
uninsurable risk, 1.9
utmost good faith, 2.2
breach of good faith, 2.2.4
remedies, 2.2.5
schedule 9, Financial Services Act 2013, 2.2.6
breach of good faith, 2.2.4
remedies, 2.2.5
schedule 9, Financial Services Act 2013, 2.2.6

void, voidable and unenforceable contracts, 4.3

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